بنك أبوظبي الوطني
NBAD

NBAD Annual Review 2016

Building for a Sustainable Future



The Late Sheikh Zayed bin Sultan Al Nahyan

First President of the United Arab Emirates



His Highness Sheikh Khalifa bin Zayed Al Nahyan

President of the United Arab Emirates
and Ruler of Abu Dhabi



His Highness Sheikh Mohammed bin Zayed Al Nahyan

Crown Prince of Abu Dhabi and Deputy Supreme Commander of the UAE Armed Forces

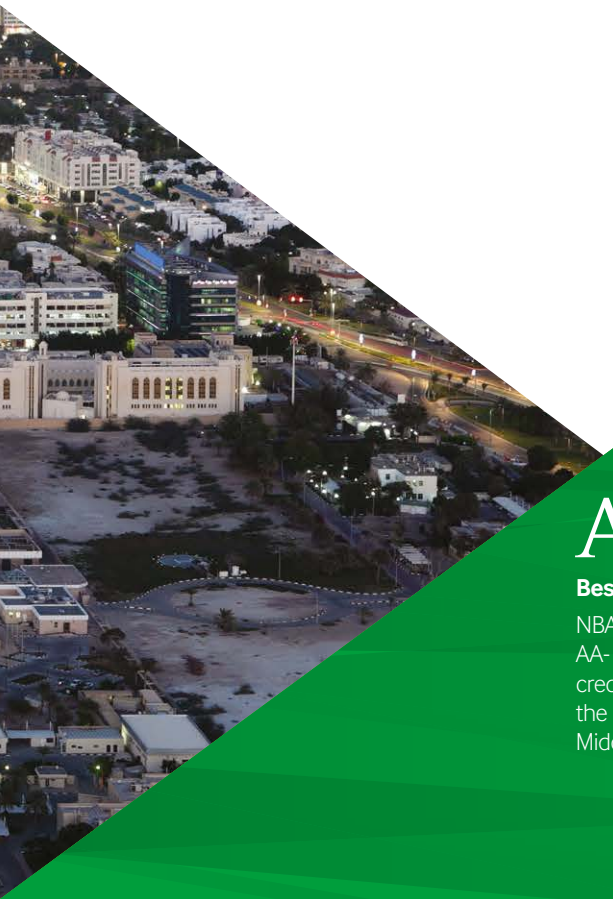


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NBAD is the leading bank in the Middle East and one of the safest banks in the world. Our roots in Abu Dhabi give us a deep understanding of the dynamics of the Arab region and its connection to the world's markets, which allows us to provide our customers with an unparalleled banking experience wherever in the world they are located.



AA–

Best in Middle East

NBAD's credit ratings, AA- with all three major credit rating agencies, are the highest amongst the Middle East banks

#1

Safest Bank in MENA

Safest Bank in the Middle East & North Africa in 2016 in 2016 by Global Finance

#1

Largest Bank in UAE

Based on Total Assets, which grew to AED 421 billion as of 31 December 2016

At a Glance & Financial Highlights

NBAD is one of the oldest and largest banks in the UAE. A comprehensive financial institution, NBAD offers a range of banking services including retail, investment and Islamic banking.

The Bank delivered revenue growth of 2% to AED 10,808 million and net profit growth of 1% to AED 5,296 million.



Since 1968

Incorporated in 1968 to serve as banker to the United Arab Emirates Government and the Emirate of Abu Dhabi



#1

Largest bank in UAE & 3rd largest in MENA by assets



70%

Owned by Government of Abu Dhabi, via the Abu Dhabi Investment Council (ADIC)



AA- Rated

"Safest Bank in the Middle East & Emerging Markets" (Global Finance)



17

Global networks spanning 17 countries and 44 offices internationally



103

UAE network includes 103 branches & cash offices and 525 ATMs/CDMs



6,700+

Over 6,700 employees from more than 85 nationalities



ADX

Listed on the Abu Dhabi Securities Exchange (ADX) since its inception in November 2000



31% Emiratisation

1,214 UAE nationals

Revenues



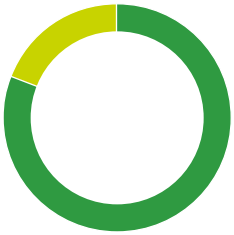
+2%
Up 252
AED million

Net profits



+1%
Up 64
AED million

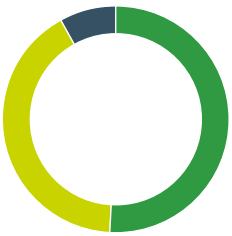
Revenue by Geography



UAE	**81%**
Gulf & International	**19%**

10,808
AED million

Revenue by Segment



Global Wholesale	**51%**
Global Retail & Commercial	**41%**
Global Wealth	**8%**

10,808
AED million

Total Assets (AED billion)

420.7 +3%

Loans at AED 200.5 billion, down 3% in 2016

Customers' Deposits

30% CASA

CASA deposits increased by 6%; Total customer accounts & other deposits AED 253.4 billion, up 8% in 2016

Robust Capital Ratios

18.1% CAR

Tier 1 at 16.9%

Strong Liquidity

79%

Loans-to-deposits ratio

NBAD Year in Review – 2016

2016 was a transformational year for NBAD.

January

NBAD wins "CEEMEA Financial Institution Deal of the Year"

NBAD won Global Capital's "CEEMEA Financial Institution Deal of the Year" award for its USD 750 million 5.25% perpetual note which it issued in June 2015. The deal set a record for the lowest coupon ever achieved on a perpetual issue by an issuer from the Central & Eastern Europe, Middle East and Africa Region (CEEMEA).

NBAD Securities #1 Brokerage in the UAE

NBAD Securities, a subsidiary of National Bank of Abu Dhabi (NBAD), was voted the #1 broker in the combined ADX and DFM markets for traded value, exceeding 40 billion dirhams. NBAD also executed the largest single transaction in ADX history with value exceeding AED 1.6 billion.





$ 10 Billion, 10-Year Commitment to Finance Sustainable Business

NBAD announced its 10-year commitment to lend, invest and facilitate a total of USD 10 billion of financing for projects focussed on environmentally sustainable activities. The announcement follows the findings of NBAD's Financing the Future of Energy report, which identified a renewable energy funding gap of USD 48 trillion over the next 20-years.



March

NBAD wins prestigious awards from EMEA Finance

NBAD won 14 awards including three prestigious House Awards at the 2015 EMEA Finance Achievement Awards. NBAD is also the first-ever firm to win all three of the major regional House Awards in the same year: "Best Bond House in the Middle East", "Best Syndicated Loan House in the Middle East" and "Best Sukuk House".

NBAD holds its 8th annual Global Financial Markets Forum

The eighth Global Financial Markets Forum (GFMF) – regarded as the premier annual financial markets conference in the MENA region – was held at the Emirates Palace in Abu Dhabi. The NBAD Global Markets team joined world-renowned decision makers including Tony Blair and Mohammed El-Erian in roundtable discussions and delivered speeches on the most pressing issues effecting the global economy.

April

NBAD SME Academy completes pilot phase with industry leader Ron Kaufman

Through its strategic collaboration with CPI Media Group, NBAD completed the pilot phase of its SME training programme, the NBAD SME Academy, offering essential skills training to over 500 small and medium enterprises (SME) and executives in the UAE.



NBAD becomes Etihad Airways' Middle East strategic partner

Etihad Airways selected NBAD as its Middle East partner, providing the airline with a full range of transactional banking services across multiple countries in the region, including Bahrain, Egypt, Jordan, Kuwait, Oman and UAE. NBAD's selection reaffirms the bank's leading position in corporate banking and cash management, following its recent recognition as the "Best Bank for Cash Management in the Middle East" by Global Finance magazine.





July

FGB and NBAD Boards recommend merger to create the largest bank in MENA

The Board's of First Gulf Bank and NBAD voted unanimously to recommend to shareholders a merger of the two Abu Dhabi-listed banks. The merger (subsequently approved by the shareholders of both banks on December 7) creates a bank with the financial strength, expertise, and global network to support the UAE's economic ambitions at home and drive international growth for UAE-based businesses.



August

NBAD sponsors SME Conference in Oman

Following a highly successful debut in 2015, SME Beyond Borders – Oman returned to Muscat, focusing on how the SME sector can support the Government's General Budget goals, build capacity, upgrade personnel skills and aspire to best practice. Organized by CPI and sponsored by NBAD, this one-day event brought together 13 key personalities each well-known for their powerful, expert views on Enterprise development.



October

NBAD raises USD 696 million in Formosa bond market

NBAD issued the first-ever 30-year Formosa bond from the MENA region. It is the Bank's inaugural Public Formosa and the largest ever from the UAE. NBAD raised USD 696 million from institutional investors through the issuance of an unsecured zero coupon, callable 30-year bond. The final amount was upsized by more than double the initial target following overwhelming support from Taiwanese investors.

December

NBAD tops S&P/Hawkamah Pan Arab ESG Index

Already named as the safest bank in Emerging Markets and the Middle East by Global Finance magazine, NBAD was ranked first in the S&P/Hawkamah Pan Arab ESG Index, reflecting the Bank's strong environmental, social and corporate governance practices and robust standing among publicly-traded MENA companies.

HAWKAMAH
THE INSTITUTE FOR CORPORATE GOVERNANCE

Chairman's Letter

Core NBAD businesses performed well during a year of economic uncertainty. The Bank also continued to maintain its strong liquidity and capital positions, demonstrating the ongoing financial strength of the Bank.



H.E. Nasser Ahmed Alsowaidi
Chairman

Economic Review

Global economic growth in 2016 was largely in line with expectations due to a number of factors including the price of oil and commodities, tightened monetary policy in the United States, the Chinese slowdown, Egypt's currency devaluation and slight improvements in Europe's economic fortunes. The global economy also faced uncertainties in the form of unprecedented geopolitical shifts, most evident in the United Kingdom's decision to leave the European Union and the US Presidential Election.

Growth in the Gulf Cooperation Council remained subdued in 2016 due to low oil prices. However, during the year, there were positive developments towards conservative fiscal management, prudent infrastructure investment and a renewed drive towards economic diversification. The accepted reality of low oil prices over the longer term has invigorated many of the world's major oil exporters – notably Saudi Arabia – to shift focus towards economic diversification and investment in non-oil industries.

In this respect, the UAE has continued to lead the way in the region. Throughout the year, the country demonstrated robust growth despite the volatility in global economic markets, further enhancing its reputation as a global business hub, a centre for innovation and creativity, a popular tourist destination and an advocate of sustainable economic development.

The financial sector has a significant and important role to play in achieving economic diversification by supporting private sector activity, in particular the ambitions of SMEs and entrepreneurs. NBAD, and banks with scale, can contribute to sustainable growth by elevating the UAE's position in the global markets while also ensuring the domestic market has a strong and stable financial partner with adequate liquidity.

Year in Review

In 2016, NBAD delivered solid financial performance. Additionally, the Bank announced its merger with First Gulf Bank (FGB), creating the largest bank in the UAE. The merger brings together two highly complementary businesses, enabling us to leverage our scale to be an even better bank for our customers, our shareholders and the people of the UAE.

The process of merging the two banks has moved forward very positively, and many of the key building blocks are in place. The senior leadership team has been appointed and with this has come a cohesive culture and a direction of travel for the Bank which will realise many of the opportunities for growth presented for our enlarged new bank.

Along with progressing the merger, core NBAD businesses performed well during a year of economic uncertainty. The Bank also continued to maintain its strong liquidity and capital positions, demonstrating the ongoing financial strength of the Bank.

FY 2016 Highlights

- Net Profits of AED 5.296 billion.
  Strong underlying growth despite macro headwinds
- Revenues of AED 10.808 billion.
  Continued strength in Retail & Global Wholesale flow products
- Expenses were AED 4.013 billion.
  8 consecutive quarters of disciplined cost management
- Customer Loans of AED 201 billion.
- Customer Deposits of AED 253 billion.
- Strong Liquidity: Loans-to-Deposit ratio of 79%
- Robust Capital: Tier 1 Capital Adequacy ratio of 16.9%
- Proposed Cash Dividend of 45% (45 fils per share)

Global Wholesale Banking delivered strong growth across strategic flow businesses; whilst Global Retail and Commercial had solid revenue growth as retail lending continued to grow faster than the market.

By focusing on the needs of our core clients and operating a highly robust risk and governance culture, NBAD continued to deliver great value to our customers and shareholders this year.

NBAD also maintained a strong credit rating (AA- or equivalent) and has again been ranked among the world's Safest Banks by Global Finance, placing it as one of the leading financial institutions in emerging markets.

Our performance this year has positioned us well for the merger with FGB, and as a result, we move toward the start of a new chapter in the history of NBAD with clarity and confidence.

Acknowledgements

I wish to extend our most sincere appreciation and gratitude to His Highness Sheikh Khalifa Bin Zayed Al Nahyan, President of the UAE and Ruler of Abu Dhabi; His Highness Sheikh Mohammed Bin Rashed Al Maktoum, Vice President and Prime Minister of the UAE and Ruler of Dubai; Their Highnesses members of Supreme Council, Rulers of the Emirates; His Highness General Sheikh Mohamed Bin Zayed Al Nahyan, Crown Prince of Abu Dhabi and Deputy Supreme Commander of the UAE Armed Forces and to His Highness Sheikh Mansour Bin Zayed Al Nahyan, Deputy Prime Minister and Minister of Presidential Affairs, for their continued support and interest in the Bank's activities.

On behalf of the Board of Directors, I would like to thank our management and employees for their commitment and dedication throughout 2016.

Our performance this year has positioned us well for the merger with FGB, and as a result, we move towards the start of a new chapter in the history of NBAD with clarity and confidence

Group CEO's Letter

Throughout 2016, the Bank maintained a disciplined focus on its core business activity, underpinned by disciplined cost control, and the preservation of strong capital and liquidity positions.



Abhijit Choudhury
Acting Group Chief Executive Officer

Underlying net profit growth was achieved through adopting a conservative risk profile in light of challenging market conditions, and the bank performed strongly while simultaneously preparing for the merger with First Gulf Bank (FGB), which is on track to complete by the end of the first quarter of 2017.

Financial Performance

NBAD's core business demonstrated robust growth in 2016 and, despite macro headwinds, the Bank ended the year with better asset quality, strong liquidity and robust capital ratios.

The Bank delivered revenues of AED 10.8 billion, an increase of 2% over 2015, and net profits of AED 5.3 billion were higher by 1% over 2015. Total assets grew by 3% to AED 421 billion despite the impact on the balance sheet from significant currency movements during 2016. During the period, underlying growth in revenues, net profits and the balance sheet were considerably stronger, demonstrating the success of the Bank's strategic initiatives and diversified financial profile.

Our prudent and diversified approach to risk management enabled NBAD to maintain its strong credit rating and capital positions in 2016 despite adverse macroeconomic conditions. Our continued investment in key operations, branch sales productivity and talent across the business has supported the Bank's long-term development and growth trajectory.

Business Highlights

Global Wholesale Banking

Global Wholesale Banking (GWB) continued its transformation towards an originate-to-distribute model from a lending-led model. Revenue growth was buoyed by growth across strategic flow businesses. New cash management products were rolled out in Egypt and the GCC, including a new supply chain financing model and a multibank trade portal. Global Projects and Structured Finance won their first ever Export Credit Agency (ECA) mandate, a USD 300 million project in the GCC. Debt Origination & Distribution (DO&D) closed another successful year, ranking #1 in the MENA Bookrunner Loans league table for 2016 by number of deals and in the top 5 by volumes across GCC bonds & Sukuk and International Sukuk league tables. The business executed 56 deals in 2016 further supporting our core clients to raise funding despite challenging and volatile market conditions. Global Markets delivered a robust performance, driven by higher sales and trading gains.

Global Retail and Commercial

The Global Retail and Commercial business maintained its UAE focus, particularly in Dubai. While our retail lending in the UAE continues to outperform the market, the volumes in the Commercial business declined, in line with our tighter risk appetite. New products and creative marketing along with innovations in digital banking have led to higher revenues and a larger customer base. At the same time, a challenging macro environment resulting from lower oil price has adversely impacted certain segments in both Retail and Commercial, leading to some deterioration in asset quality and resulting in higher impairment charges in the business.

Global Wealth

The underlying growth in Global Private Banking was offset by challenging markets, particularly the unexpected steep depreciation in sterling (UK Pound). Even with the backdrop of declining investor sentiment and lower trading volumes, our Asset Management business grew their AUMs (asset under management) by 5% year-over-year while NBAD Securities continued to maintain its leading position in the UAE markets.

Programmes & Initiatives

Dubai Declaration

The Bank was invited to join the UAE Steering Group on Sustainable Finance in 2016, contributing to the development of the Dubai Declaration on Sustainable Finance. It was launched during the United Nations Environment Programme (UNEP) Finance Initiative's 14th Global Roundtable, which took place in Dubai in October 2016. The financial sector has an important role to play in enabling a climate-resilient, inclusive green economy and NBAD is committed to pursuing those goals. By signing the Dubai Declaration, NBAD endorses the Government's commitment to the Paris Climate Agreement, Sustainable Development Goals and the UAE Green Agenda 2015 – 2030.

Managing Future Uncertainty

In 2016 His Royal Highness (HRH) the Prince of Wales visited Abu Dhabi to speak at the GCC CFO Leadership Circle of Practice meeting hosted by the Abu Dhabi Sustainability Group. Speaking on behalf of his Accounting for Sustainability Project, HRH referred to the Bank as an example of how practical steps can be taken in response to the risks faced by organisations in the Gulf. NBAD's report, Financing the Future of Energy – an evidence-based study into the changing nature of the global energy system – was included in the Accounting for Sustainability appendix as a case study.

SME's

SMEs play a critical role in the region's economic development, and supporting these businesses is central to the UAE's national agenda and NBAD's business strategy. The Bank understands that the two main factors that contribute to SME growth are access to capital and development of the skills necessary to succeed. The NBAD SME Academy was established to help small businesses address skills gaps and improve the bankability of their projects. NBAD was also the lead partner at the 2016 SME Beyond Borders conference and Stars of Business Awards – platforms which encourage entrepreneurs to capitalise on the current market environment and focus on opportunities for growth.

Emiratisation

The recruitment and development of Emirati talent has always been of major importance to NBAD. In November 2015, the Bank adopted the Emiratisation Strategy with the goal of having 50-60% of the top 250 jobs in NBAD occupied by UAE Nationals over the next 5-10 years. The foundation of the strategy is to recruit young, high potential UAE nationals with the right attitude and attributes to build their career, ultimately moving into senior management levels within the Bank. Over the course of 2016, 400 UAE national candidates were assessed and 100 identified as high calibre, potential employees as a result of the initiative. We have successfully recruited 50% of the candidates into permanent positions across NBAD.

Summary

The Bank finishes 2016 with strong capital and liquidity, maintaining its strong AA- (or equivalent) credit ratings, a healthy balance sheet and consistent growth across the businesses driven by its commitment to clients, focus on flow-driven businesses while channelling liquidity from its international network in the UAE. NBAD has delivered consistent revenue growth, an increase in net profit and has continued to lead the way in the region in sustainability and citizenship.

The Bank has performed well during this period of economic uncertainty and political change, which is a testament to our conservative, rigorous approach. By maintaining these values, and through our merger with FGB, we remain confident in our strength and increasing prominence in the world markets. Looking forward, NBAD will remain a loyal financial partner to local businesses and a proud contributor to the economic growth in UAE.

The Bank finishes 2016 with strong capital and liquidity, maintaining its strong AA- (or equivalent) credit ratings, a healthy balance sheet and consistent growth across the businesses driven by its commitment to clients and focus on flow-driven businesses while channeling liquidity from its international network in the UAE

CFO Statement

NBAD performed well in a challenging and volatile year for the global economy. Across the bank, our core businesses have demonstrated their revenue generating capabilities, with strong growth in Global Wholesale Banking and Global Retail. At the same time, our robust balance sheet has continued to shield us from economic headwinds, allowing us to look to the year ahead with confidence. Our planned merger with FGB will lead to fundamental changes within the bank, and I am confident that we have all the tools necessary to succeed and create an even stronger bank.



James Burdett
Group Chief Financial Officer

Overview

Our net profits of AED 5.3 billion for FY'16, were up 1.2% year-over-year (year-on-year) as strong underlying performance was partially offset by several macro headwinds, notably higher impairment charges in the Commercial segment. Operating profits (profits before impairment and taxes) rose by 5% year-on-year as non-interest income grew in line with our strategy. Additionally, expenses continued to be tightly managed throughout the year. We maintained our prudent approach to risk management as challenging market conditions persisted in the UAE. Net impairment charges increased 26.3% year-on-year to AED 1.2 billion, which was in line with our guidance provided at the beginning of the year. Liquidity remained strong with loans-to-deposits ratio of 79%, and capital ratios remained robust with a Tier-1 ratio of 16.9%.

Revenues

Revenue growth of 2.4% year-on-year in 2016 reflects strong underlying trends and increases in foreign exchange (FX) & investment income, despite adverse currency movements and challenging market conditions.

Net interest income (including income from Islamic financing) (NII) was AED 7.3 billion in 2016, flat year-on-year. Net interest margin declined 9bps year-on-year to 1.92% as positive underlying trends were largely offset by the impact of excess liquidity and lower interest in suspense recoveries. Overall, trends in our customer asset and investment portfolio remained positive due to a combination of positive repricing in the UAE loan market and growth in retail assets. These factors were offset by the dilution caused by excess short-dated liquidity, which was placed conservatively at Central Banks' (deposit facilities) and other financial institutions. Net fees and commissions (F&C) were up 3.4% to AED 2.2 billion driven by higher lending related fees, and credit card fees. FX and investment income was AED 1.3 billion, up 20.3% year-on-year, driven by both higher FX earnings and trading gains.

Operating Expenses

Operating expenses for the year were AED 4.0 billion, lower by 1.7% year-on-year. We have continued to maintain tight discipline over our expenses and kept it relatively flat over the last 8 quarters, bringing the cost to income ratio down to 37.1% in 2016 from 38.7% in 2015. This along with the growth in revenue resulted in pre-provision profits increasing by 5.0% year-on-year to AED 6.8 billion.

> *Our net profits of AED 5.3 billion for FY'16, were up 1.2% year-over-year (y-o-y) as strong underlying performance was partially offset by several macro headwinds*

Impairment Charges

Net impairment charges for the year were AED 1.2 billion, up 26.3% year-on-year. The higher charges are reflective of the ongoing challenging operating environment, particularly in the retail and commercial segments. Results are, nevertheless, in line with guidance and continue to reflect our prudent provisioning approach. Cost of risk (CoR) (annualised) of 57bps for 2016 has been relatively stable through the year. This is higher than 46bps recorded for 2015 as we manage through a more challenging credit environment.

Non-performing loans (NPL), net of interest in suspense, declined by AED 255 million to AED 5.6 billion in 2016 as we continued to focus on resolution of our problem loans as well as on recoveries. NPL ratio at the end of 2016 was 2.70% of the gross loan book. Total loan-loss provisions were AED 6.4 billion and represented 115% of non-performing loans, while collective provisions continue to be maintained above the Central Bank of UAE's minimum requirement of 1.5% of credit risk-weighted assets.

Balance Sheet

Our balance sheet continues to be characterised by strong liquidity, funding and robust capital position.

Assets grew by 3.5% in 2016 and totalled AED 421 billion at the end of 2016. Net Loans and advances were AED 201 billion, down 2.6% year-on-year. The increase in lending to wholesale and retail clients was offset by our move away from Financial Institutions Trade and towards higher yielding loans and other assets as part of our ongoing balance sheet optimisation. Loan growth was also impacted by the currency devaluation/depreciation of the Egyptian pound and sterling (UK Pound). Customer accounts and other deposits were AED 253 billion, up 8.4% year-on-year driven by higher Government deposits and despite being negatively impacted due to the currency movements mentioned earlier. Low cost current and savings accounts (CASA) was up 6% year-on-year to AED 75 billion, representing 30% of total customer accounts and deposits. Equity, consisting of shareholders' funds of AED 39.8 billion and perpetual Tier-1 capital notes of AED 6.75 billion, was also up 8% year-on-year, reflecting the earnings growth in 2016.

Basel-II ratios, in accordance with UAE Central Bank's framework, improved further and remain well above the minimum 12% and 8% (Tier-1), with a capital adequacy ratio (CAR) of 18.1% and a Tier-1 ratio of 16.9% as of 31 December 2016. Our liquidity position and loans-to-deposits ratio (79%) remains strong. We have continued to focus on diversification and extension of our liability profile, and executed selective private debt transactions throughout 2016, including a successful debut 30 year Formosa bond of USD 696 million (USD bond listed in Taiwan). Due to continual demand, NBAD followed up this transaction in January 2017 with an additional 30 year transaction of USD 885 million. Both these issuances are a testament to NBAD's prominent position and innovative approach amongst MENA issuers to raise funding from new investors in new geographies. Additionally, NBAD executed a USD 2 billion syndicated loan in December 2016, drawing strong interest of around USD 3 billion from leading financial institutions around the world.

Revenues



Net profits



Global Wholesale Banking (GWB)

2016 revenues grew 6% year-on-year to AED 5.5 billion, contributing 50.9% to the Group's revenues, driven by strong performance in flow, trade & value-added products. Costs remained tightly controlled across all products, and impairment charges decreased during the period. GWB's liquidity position remained strong despite challenging economic conditions, benefitting from the Bank's diversified funding sources. The product team managed its risk effectively, through the volatile periods in 2016 resulting from events like Brexit, U.S elections and the Egyptian Pound (EGP) floatation. Consequently, net profits increased by 34.7% year-on-year to AED 4.1 billion in 2016.

Global Retail and Commercial (GRC)

The segment continued its trend of strong growth in revenues, generating 7.1% year-on-year growth and contributing 40.6% to the Group's revenues in 2016, driven mainly by Retail and Islamic product sales. Operating expenses declined 4.6% year-on-year, driven by a disciplined cost management focus across all lines of business. However, net profits were down 16.7% year-on-year, driven by higher impairment charges due to challenges in the commercial (SME) and retail segments.

Retail lending in the UAE grew 7% year-on-year in 2016, faster than the market and in line with strategy. Growth reflected strong sales performance and customer acquisition, particularly in mortgages, which grew 34% year-on-year in 2016. However, commercial lending in 2016 in the UAE decreased 8% year-on-year in line with tighter risk appetite, while deposits increased 6% year-on-year. Islamic Banking lending grew 11% year-on-year in 2016 as revenues grew 27% versus 2015.

Global Wealth (GW)

Revenues in 2016 were AED 918 million, down 8.7% year-on-year and contributed 8.5% to the Group's revenues. Net profits were AED 434 million, down by 16.9% year-on-year. Overall business results were impacted by challenging market conditions and FX depreciation/devaluation, while the Securities and Asset Management businesses were also impacted by local trading volumes and market volatility. However, there was underlying growth in the Global Private Banking business which remained focused on building momentum with strong client acquisition and successful diversification of its client base.

FY 2016		Change % vs FY 2015	
Revenue	**AED 10.8b**	**↑ 2.4%**	Underlying growth in Retail & Wholesale flow products continues, offset by macro headwinds and lower AFS gains;
Expenses	**AED 4.0b**	**↓ 1.7%**	Disciplined expense management continues; JAWS +4% in FY'16;
Net Profits	**AED 5.3b**	**↑ 1.2%**	Significantly higher provisions (Retail & SMEs) impact Net profits;
RoSF	**13.1%**	**↓ 113bps**	Impacted by lower AFS gains and higher provisions
NPL ratio	**2.70%**	**↓ 6bps**	Strong recoveries offset by increase in Retail & Commercial NPLs; Provision coverage ↑ to 115%
Loans-to-Deposit ratio	**79%**	**↓ 900bps**	Loans ↓ 3%, Deposits ↑ 8%, CASA ↑ 6% Redeploying reduction in FI Trade to other higher yielding loans & assets, Loans (ex-trade loans) ↑ 1%; both, loans and deposits impacted by currency devaluation /depreciation
Tier-1 ratio	**16.9%**	**↑ 121bps**	Balance sheet optimisation drives lower RWAs + internal capital generation enhances capital ratios; Total CAR at 18.1%

AFS – Available for Sale Investments
RWA – Risk Weighted Assets

Board of Directors

NBAD has a Board of Directors with significant and diverse experiences and myriad areas of expertise, enabling them to provide strong guidance to the bank.



Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan
Member



Sheikh Ahmed Mohammed Sultan Al Dhaheri
Member



H.E. Nasser Ahmed Alsowaidi
Chairman



H.E. Sultan Nasser Alsuwaidi
Deputy Chairman



H.E. Sultan Bin Rashed Al Dhaheri
Member



Mr. Matar Hamdan Al Ameri
Member



Ms. Mariam Saeed Ghobash
Member



Mr. Khalifa Sultan Al Suwaidi
Member & Managing Director



H.E. Hareb Masood Al Darmaki
Member



Mr. Hashim Fawwaz Al Kudsi
Member



Mr. David Beau
Member

Senior Management
(as of 31 December 2016)

Abhijit Choudhury
Acting Group Chief Executive Officer

Abdulla M. S. Abdul Raheem
Deputy Group Chief Executive Officer

Abdulla Al Otaiba
Senior Managing Director & Group Head of Global Retail and Commercial

George Yazbek
Acting Group Chief Risk Officer

James Burdett
Group Chief Financial Officer

Khalaf Al Dhaheri
Senior Managing Director & Group Chief Operating Officer

Mahmood Al Aradi
Senior Managing Director & Head of Global Markets & Co-Head of Wholesale Banking

Malcolm Walker
Senior Managing Director & Group Chief Audit Officer

Mark Yassin
Senior Managing Director of Global Banking and Co-Head Wholesale Banking

Qamber Al Mulla
Senior Managing Director and CEO of Gulf & International

Rüdiger von Wedel
Senior Managing Director of Global Wealth and CEO – Europe & Americas

Saif Al Shehhi
Senior Managing Director – UAE Government Group and VVIP Clients

Samer Abdelhaq
Senior Managing Director and Group General Counsel – Legal & Compliance – Board Secretary

Read more on Board of Directors' profiles **www.nbad.com – About NBAD**

Creating the largest bank in the UAE

The merger of FGB and NBAD will create a bank with the financial strength, expertise, and global network to support the UAE's economic ambitions at home and drive the country's growing international business relationships.

AED 671bn Total Assets ($ 183bn)	AED 98bn Equity ($ 27bn)	19 Countries presence outside UAE
16.5%[1] Tier-1 ratio	89% Loan to deposits ratio	AED 110bn Market cap* ($ 30bn)

[1] After considering proposed dividends of AED 2.3bn for NBAD and AED 4.5bn for FGB, to be approved at banks' respective AGMs on 28 February 2017

* Based on 31 December 2016 closing prices

A transformational merger of equals

The merger of First Gulf Bank (FGB) and National Bank of Abu Dhabi (NBAD) will create the largest bank in the UAE with approximately AED 671bn ($ 183bn) of assets, representing a 27% share of the UAE banking sector.

In combining two highly complementary, best-in-class consumer and wholesale businesses, the new bank will deliver significant benefits to employees, customers and investors. The merger creates a financial powerhouse with the capital strength, expertise and global network to cultivate UAE's business environment, while also supporting the country's relationships around the world.

Meanwhile, the integration of two banks affords substantial opportunities for cost savings and the realisation of synergies through the consolidation of common business functions and the ability to cross-sell an enhanced suite of banking products and services.

Formidable leadership team

The new bank's Board of Directors, which will preserve the highest standards of Corporate Governance at the new bank, has been drawn from the current Boards of FGB and NBAD, with H.H. Sheikh Tahnoon bin Zayed Al Nahyan appointed as Chairman Designate. Led by Abdulhamid M. Saeed, Chief Executive Officer Designate, the combined bank's executive management comprises a mixture of current NBAD and FGB executives with the strength and experience to take advantage of sustainable growth opportunities in both the UAE and international markets.

Cohesive culture

The new bank will have a unified, customer-driven culture, based on shared values of teamwork, empowerment and accountability. The bank can benefit from a strong pool of talent and will have a focus on attracting and developing UAE nationals. Meanwhile, investment into technology, risk management, compliance and governance, as well as in consumer digital platforms, will ensure that the bank is internationally competitive and able to serve the needs of an increasingly sophisticated client base.

Post-merger structure

بنك الخليج الأول
FGB
Shareholders
52%

NBAD
Shareholders
48%

Post-merger shareholding structure



ADIC	33.2%
Mubadala	3.7%
Free float	63.1%

Timeline 3Q'16

3 July 2016 merger announcement

Appointment of Chief Integration Officer (CIO)

Appointment of external consultants

Integration Steering Committee (ISC) and Integration Management Office (IMO) established

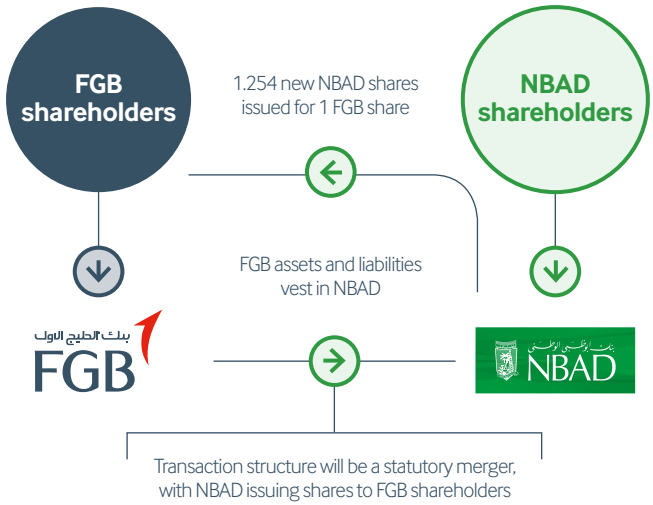
Growth opportunities

At home, the Bank will support the UAE's economic ambitions, financing growth as the country continues to implement its economic diversification strategy. The Bank is well-positioned to grow its market-leading consumer banking offering with the strength to grow its market share amongst corporates and SMEs. While the UAE market will remain the Bank's primary focus, the combined bank's expertise and global reach will support the development of an international business, particularly in wholesale banking, capital markets advisory, and other key segments, such as private banking.

Meeting regulatory demands

The combined Bank will benefit from robust financial metrics and is well-placed to manage higher capital requirements imposed by international regulators. Meanwhile, the funding profile of the new Bank is balanced between wholesale and retail customers, with key profitability metrics positioning it among sector leaders.

Merger process

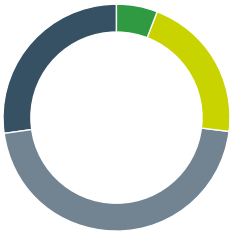


Well-diversified business

Gross loans mix by counterparty

AED 365bn

($ 99bn)

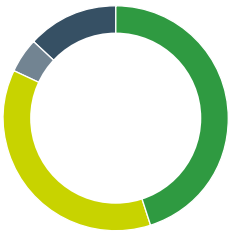


Financial institutions	6%
Government	21%
Corporate	46%
Consumer	27%

Operating income by customer type

AED 20bn

($ 6bn)



Corporate	45%
Consumer	37%
Wealth	5%
Other	13%

Based on company information and pro forma financials as of 31 December 2016.

Benefits to stakeholders

1. Creates No. 1 bank in the UAE by assets, internationally connected for its target clients
2. Combination of best in-class consumer and wholesale businesses and potential for growth in global wealth
3. Fit for the changing regulatory landscape
4. Efficiency through cost and revenue synergies
5. Enhanced capacity through capital consolidation and strong core liquidity to capture strategic growth opportunities

Board of Directors / Executive Leadership

Chairman
H.H. Sheikh Tahnoon Bin Zayed Al Nahyan

Vice Chairman
H.E. Nasser Ahmed Alsowaidi

Board Members
H.E. Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan
H.E. Khaldoon Khalifa Al Mubarak
H.E. Sheikh Ahmed Mohammed Sultan Al Dhaheri
H.E. Mohammed Thani Al-Romaithi
Mr. Khalifa Sultan Al Suwaidi
Mr. Jassim Mohammed Al Siddiqi
Mr. Mohamed Saif Al Suwaidi

Executive Leadership
Abdulhamid M. Saeed – Chief Executive Officer
James Burdett – Chief Financial Officer
Zulfiqar Sulaiman – Chief Integration Officer

4Q'16

- Appointment of Senior Leadership team
- 23 October: Publication of Shareholder Circular
- 7 December: General Assembly Meetings
  NBAD and FGB shareholders approve the merger
- 11 December: Filing of Special Resolution

1Q'17

- Creditor objection period completed
- **Effective date of merger**

Read more about the merger on **www.bankfortheuae.com**

Business & Operational Review

Global Wholesale

NBAD's Global Wholesale Banking business comprises Global Banking, Global Markets and Client Relationships. The challenging operating environment that characterised 2015 continued throughout 2016; nevertheless, Global Wholesale grew througout the year.

Global Wholesale

NBAD's Global Wholesale Banking business comprises Global Banking, Global Markets and Client Relationships. The challenging operating environment that characterised 2015 continued throughout 2016, however Global Wholesale saw growth throughout the year. Whilst tighter liquidity and margin compression have remained challenging; the Wholesale business delivered growth in its strategic flow businesses, focusing on core customers. Global Transaction Banking grew by 8%, Debt Origination & Distribution by 23% and Global Market Sales grew by 10% year-on-year in 2016.

The business continued to attract strong liquidity across its regional and international network. While our lending to core clients continued to grow, overall loans declined as we deliberately managed the run down of our Financial Institutions trade book to further optimise the return on capital deployed and balances negatively impacted from the currency devaluation/depreciation (Egyptian Pound/UK sterling). Expenses declined by 3% year-on-year in 2016 even as the Bank invested in strengthening the "spine" and strengthening its cash management and flow generating businesses. Net impairment charges significantly declined driven by strong recoveries and lower collective provisions, resulting in net profit growth of 35% year-on-year to AED 4.1 billion.

Global Banking

The Global Banking business, which provides financing solutions, financial advisory and transaction banking, places its clients at the heart of its operations. The Global Banking team also advises on mergers and acquisitions, project finance, equity and debt capital markets and balance sheet structuring. The business also provides financing for organisations across multiple industry sectors, including major infrastructure development, real estate, energy, aviation, manufacturing and machinery and construction.

2016 Highlights

- Strong flow revenue growth with fees and commissions income (net) growing 25% year-on-year
- Our cash management platforms has improved significantly resulting in over 50 cash management mandates won in 2016
- Cash management & Trade Finance products were rolled out in Egypt and GCC countries, including supply chain financing and a multibank trade portal
- Wholesale won the first-ever ECA (export credit agency) mandate, a USD 300 million project in the GCC





Sustainable Business

We set up our Sustainable Business practice last year within Wholesale Banking to lead NBAD's institutional response to the opportunities and challenges of climate change, an important and enduring force that is certain to shape the business world of the future.

2016 saw our credit policy and processes amended to ensure that environmental unsound business practices are systematically identified and, where appropriate, avoided. NBAD became the first bank in the UAE to adopt the Equator Principles in 2015, the global best practice in environmental and social risk management for major capital projects. Over 175 staff have now been trained in environmental and social risk evaluation.

At the World Future Energy Summit in Abu Dhabi in January 2016, we announced our pledge to promote environmentally sustainable development through financing, investing and facilitating USD 10 billion of business activity in sectors like renewable energy, energy efficient buildings, clean transportation and pollution prevention schemes. This is a decade-long commitment that provides a direction of travel for the Bank as well as a strong statement of strategic intent and progress is well underway towards this target.

NBAD continued its advocacy programme in the renewables and sustainable business sectors. We added to our "Financing the Future of Energy" thought leadership series in 2016 to chart the remarkable progress of the renewable industry across the growing economies of MENA, where solar is now the least cost source of power in some geographies. NBAD has helped to build understanding and capacity in sustainable business at platforms as diverse as COP 22 in Marrakech, United Nations Environmental Programme Financing Initiative round tables in Dubai and at the annual meeting of the International Bar Association in Washington DC, an event attended by 6,000 lawyers.

In October 2016, we were one of the initial signatories to the "Dubai Declaration on Sustainable Financing" a commitment from the UAE banking sector to further promote sustainable business in conjunction with the UAE Ministry of Climate Change and Environment.

NBAD's Sustainable Banking practice will enable the Bank to understand better the impact of the transition to a lower carbon global economy and is a positive force in strengthening partnerships between the financial sector and the environmentally sustainable business community.

Global Markets

The NBAD Global Markets business provides clients with access to global markets. Despite global economic headwinds, it has continued to be recognised as one of the foremost financial market destinations in the region. The strategy adopted in 2015 of leveraging the Bank's international network, proved successful throughout 2016; widening access to financial markets across the world.

The Bank's success in geographical expansion has given it considerable competitive advantage; selling FX and credit across the network.

2016 Highlights

- Global market sales increased by 10% year-on-year to AED 278 million
- The Bank maintained its market-leading position in the region with increasingly diverse hedging, liquidity and investment solutions
- Geographic growth in key markets of the United Kingdom, Hong Kong, Malaysia, Egypt and India; delivered a greater foothold in FX and Credit
- Significant growth of liquidity from the international network has supported the Bank's global funding requirements
- New Technology platforms were introduced to our international network (Murex) and further enhancements were made to our E-commerce platforms

"At the World Future Energy Summit in Abu Dhabi in January 2016, we announced our pledge to promote environmentally sustainable development through financing, investing and facilitating USD 10 billion of business activity... This is a decade-long commitment that provides a direction of travel for the Bank as well as a strong statement of strategic intent and progress is well underway towards this target"



Business & Operational Review

Global Wholesale

continued

Client Relationships

The Bank further cemented its relationships with its core clients in 2016, adding value across the UAE and globally, delivering expert advice to large companies, financial institutions and Governments. The level of activity from network clients increased in 2016; with the Bank launching a cash management platform, more syndicated loan deals and a greater volume of supply chain financing. NBAD is the only local bank to offer supply chain management.

Owing to the depth of the Bank's relationships and its strategy of focusing on core clients, NBAD has seen more customers move towards choosing the Bank as their core relationship bank. Despite challenging global economic conditions, the Bank has maintained its rating and increased deposits from clients both locally and internationally.

In 2016, core clients from the UAE and the Bank's expanding international network have benefited from NBAD's expertise in high-value industries such as aviation, energy, real estate and family conglomerates. The Bank deepened the penetration with core clients, increased the number of cash mandates and the number of Global Markets client relationships. Results from customer satisfaction surveys have been pleasing with improvement over the previous year. Our commitment to long-term returns has helped us to manage our customers' immediate and near-distant needs in working capital, trade, FX and cash flow optimisation.

"The level of activity from network clients increased in 2016; with the Bank launching a cash management platform, more syndicated loan deals and a greater volume of supply chain financing. NBAD is the only local bank to offer supply chain management"

2016 Awards & Accolades (across GWB)

- Global Finance
  Best Treasury and Cash Management Bank in the Middle East
  Best Foreign Exchange Provider in the UAE
- EMEA Finance
  Best Bond House in the Middle East
  Best Syndicated Loan House in the Middle East
  Best Sukuk House
- Best Cash Management Bank for 2016 by The Asian Banker
- Best Trade Finance Bank in the UAE by Global Trade Review
- Best Bank for Markets in the Middle East – 2016 Euromoney Award for Excellence
- Most Innovative Investment Bank in the Middle East by The Banker
  NBAD is the first ever regional bank to win this prestigious award recognising our strengths in bonds, loans and Sukuk
- Best Sukuk House of the Year 2016 in the Global Islamic Finance Awards NBAD won this same award in 2015 and is the first-ever winner in successive years

"Most Innovative Investment Bank in the Middle East"
The Banker

"Best Sukuk House of the Year"
Global Islamic Finance Awards

"Sukuk House of the Year, UAE"
The Asset Triple A

"Best Trade Finance Bank in the UAE"
Global Trade Review

"Best Foreign Exchange Provider in the UAE"
Global Finance

"Best Bond House in the Middle East"
EMEA Finance



Business & Operational Review

Global Retail and Commercial

The UAE Retail segment lending grew by 7%, continuing to grow faster than the market.

Overview

Global Retail and Commercial (GRC) saw steady growth in loans, credit cards and in its merchant-acquiring business in 2016. Investments were made in new branches and branch renovations; whilst several innovative new products were launched and initiatives including Mercury and UBF wallet (mobile wallets) commenced. NBAD also launched a new online banking platform in 2016, enhancing the customer journey for each transaction and service.

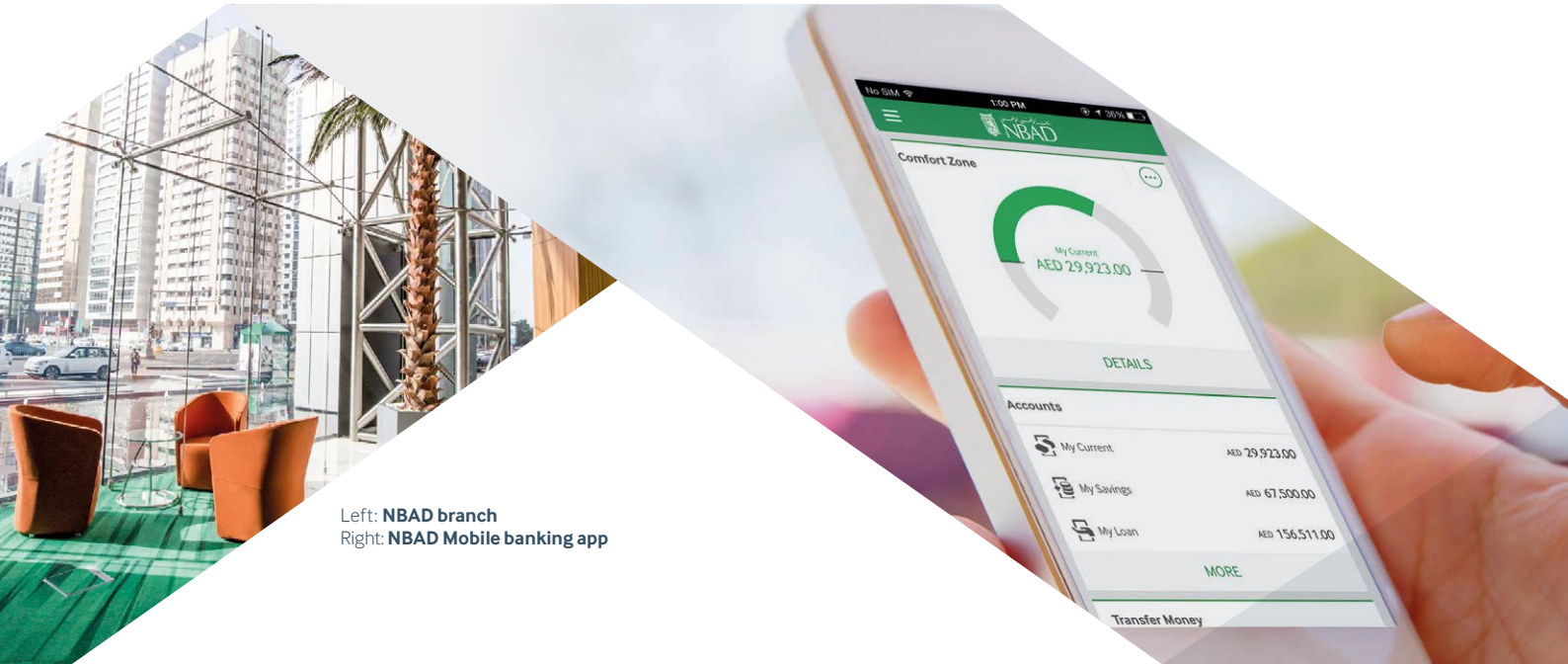
NBAD continued its support for SMEs in the region with training courses to help them become better businesses. These covered a range of subjects including SME funding, effective and efficient marketing, Companies Law and VAT.

The Dubai Strategy within GRC

Despite the challenging environment, rolling out the Dubai Strategy has enabled NBAD to achieve double-digit growth (+11%) in GRC Dubai revenues (excluding Wholesale) in 2016. Retail revenues in Dubai grew by 24%, whilst commercial revenues remained stable in a shrinking market. The Dubai Strategy is primarily focused on cross-selling between Retail and Wholesale/Commercial clients. In 2016, GRC Dubai lending volumes grew by 10% while deposits grew by 7%. Dubai's contribution towards the volume of new loans acquisitions increased from 21% in 2015 to 25% in 2016.

Islamic Finance

NBAD's subsidiary, Abu Dhabi National Islamic Finance (ADNIF), made significant achievements and investments in its services and products in 2016. In the Islamic Retail segment, double-digit growth was achieved in mortgages and acquisition of new customers. We opened a new branch in Fujairah and also a dedicated ADNIF Call Centre was setup to serve our customers. Throughout the year, the business launched promotional campaigns to enhance customer experience leading to higher lending volumes and revenues.



Left: **NBAD branch**
Right: **NBAD Mobile banking app**

2016 Performance and Initiatives

GRC revenues were higher by 7% year-on-year to AED 4.4 billion, although net profits declined by 17% year-on-year due to significantly higher impairment charges. Nevertheless, the UAE Retail segment lending grew by 7%, continuing to grow faster than the market.

- A new insurance product called Smart Family Care Protection was launched, offering customised family-wide protection for different salaried segments
- Card acceptance at ADNOC Smart Service Stations was initiated
- 0% finance promotions were launched under Auto-Loans for various market-leading auto-dealers
- Enhancements were made to mobile banking, including the addition of fingerprint authentication
- Property Management was launched through Better Homes, along with Abu Dhabi National Properties (ADNP – NBAD's property management arm) in the Northern Emirates

Awards and Events in 2016

- Best co-branded card in the Middle East and Africa at the MasterCard Innovation Forum for the NBAD Al-Futtaim co-branded card
- Sponsored the SME Banking Egypt event in May 2016 and "Presenting Partner" of The Intelligence Report in association with DMCC and Etisalat in Dubai
- NBAD was also the "Presenting Partner" of The Challenge Debate a closed-door roundtable conducted in Muscat in April 2016 – in addition to acting as Presenting Partner of The S2 Syndrome: Succession & Sustainability in Dubai; the SME Beyond Borders conference in Oman and the Egypt edition of SME Beyond Borders & Stars of Business Awards in Egypt.

SME Beyond Borders Dubai 2016



NBAD & Al-Futtaim co-branded credit cards



"Investments were made in new branches and branch renovations, whilst several innovative new products were launched and initiatives including Mercury and UBF wallet (mobile wallets) commenced"

Business & Operational Review

Global Wealth

NBAD Global Wealth continued to deliver its core value proposition of offshore booking capability, regional and international product offerings and wealth advisory services, all of which have delivered value and further generated trust with our clients.

Overview

Over the course of 2016, NBAD Global Wealth continued to deliver its core value proposition of offshore booking capability, regional and international product offerings and wealth advisory services, all of which have delivered value and further generated trust with our clients. Our prudence and experience in wealth solutions and capital preservation has continued to pay off, with clients increasingly regarding NBAD as an institution that can advise across all the investment alternatives.

NBAD Securities ended 2016 with a market share (combined ADX & DFM) exceeding 8.2%, and traded value of nearly AED 30 billion. While our Global Asset Management continued to hold the leading asset manager position within MENA, and was a top-tier performer in 2016 in comparison to our peer groups.

Core clients

We continued to grow and protect our clients' wealth in 2016, by tailoring products and delivering new investment solutions over a range of diversified platforms. Accordingly, we remained competitive at the same time aligned to the needs of our core clients. The Bank has implemented initiatives to bring us closer to our clients, including attracting top-notch talent, all of which to promote client loyalty. In addition, we have enhanced our open-architecture by developing a "hub-and-spoke" approach with multi-booking centres.

Global Wealth worked even more closely with core clients to deliver effective and bespoke investment strategies capable of successfully navigating the challenges seen. With fiscal austerity measures being implemented across the MENA region, our priority has been to maintain strong relationships and safeguard our client assets, rather than to increase existing allocations. In summary, we regard our clients' satisfaction as being key to the long-term success of our business, and look upon our clients as our best brand ambassadors.



2016 performance

Our MENA focused funds have generated positive returns, despite the backdrop of significant political events. Trading by clients through our Direct Access service has seen growing momentum, and has benefited from tactical trading. Investment Advisory services have been welcomed by clients seeking guidance while retaining the right to make the final investment decisions. Clients were especially keen to preserve capital, and enhance yield. Structured products solutions, bespoke leveraged structures, and our open-architecture investment funds platform were therefore valuable sources of investment performance.

In 2016, Global Wealth recorded revenues of AED 918 million, 9% lower year-on-year, and a net profit of AED 434 million, 17% down on the previous year. The financial results were adversely affected by the unexpected steep depreciation in sterling (GBP). The underlying performance in our Private Bank was therefore better than the results suggest, which should be judged against the background of the year's very volatile market conditions.

Awards received in 2016

Private Bank:

- The National Bank of Abu Dhabi (NBAD) Private Banking – awarded the "Best Private Bank in the UAE" for the 5th consecutive year by the Banker & Professional Wealth Management magazine

Asset Management:

- Best Asset Management in the Region
- Best Investment Advisory
- Best Fixed Income Fund
- Best ETF Provider
- Best Asset Management Takaful (Islamic)

NBAD Securities:

- Best Brokerage House in the UAE – 2016 – IFM
- Best Research House in the UAE 2016 – IFM 3
- Best New Mobile Application in UAE 2016 – IFM
- Best Brokerage House 2016 – UAE – Banker Middle East magazine

Global Investor MENA Awards 2016



Best Private Bank in the UAE by The Banker



"We continued to grow and protect our clients' wealth in 2016, by tailoring products and delivering new investment solutions over a range of diversified platforms"

Our people

A diverse, ambitious and highly skilled workforce is not only a defining characteristic of the Bank but critical to the development of a sustainable economy.

The development and nurturing of talent is central to NBAD's commitment to delivery of excellence in all that it does, giving it a competitive edge and a reputation as a high-quality employer. A diverse, ambitious and highly skilled workforce is not only a defining characteristic of the Bank but critical to the development of a sustainable economy.

The recruitment and development of Emirati talent has always been of major importance to NBAD. In November 2015, the Bank adopted the Emiratisation Strategy with the goal of having 50-60% of the top 250 jobs in NBAD occupied by UAE Nationals over the next 5-10 years. The foundation of the strategy is to recruit young, high potential UAE nationals with the right attitude and attributes to build their career, ultimately moving into senior management levels within the Bank. Over the course of 2016, the initiative saw 400 UAE national candidates assessed and 100 identified as high calibre, potential employees. We have successfully recruited 50% of the candidates into permanent positions across NBAD.

At the end of 2016, UAE nationals represented 30.8% of total permanent Bank staff, which was an increase from 30.2% at the end of 2015.

> *"The foundation of our Emiratisation strategy is to recruit young, high potential UAE nationals with the right attitude and attributes to build their career, ultimately moving into senior management levels within the Bank"*



2016 Highlights

Watani initiative

- Over the course of the year, 25 "AFAQ" UAE nationals were sponsored under the Bank's Watani initiative, enabling them to complete their Master's Degree in Finance at the Zayed University. All 25 graduates have been employed across NBAD in divisions including Group Finance & Treasury, Group Internal Audit, Group Risk Management, Global Wealth, Group Operations and Wholesale Banking.

Mustaqbali and Tomouh programmes

- In 2016, the Mustaqbali and Tomouh programmes continued with 35 Mustaqbali and 5 Tomouh students being sponsored to complete their higher education degrees from local and overseas universities.

Professional Banker Programme

- The programme entered its third year in 2016, placing chosen candidates on a roadmap towards a first-class career in the banking industry. We currently have 298 Associates active in the programme.

Career Management

- We adopted a new NBAD Career Management Framework (CMF) in 2016. The CMF is defined in terms of 5 career stages, streams (core banking, specialist banking and professional banking streams) and 10 career steps which range from 1 – entry level roles to 10 – CEO role. This framework has subsequently been used to develop a variety of career management and learning & development tools.

Engaging as a Leader programme

- Launched in 2015, NBAD's Engaging as a Leader programme entered its second year; teaching managers how to build stronger, positive employee relations with their team members. The programme's overarching goal is to help teams achieve greater levels of productivity through better communications processes and the sharing of ideas and information.

NBAD Employee Town hall in February 2016 in Abu Dhabi



Middle East Society for Human Resource Management 2016 Leadership Assembly in "Path Breaking, Game Changing and Excellence" category.





Citizenship & Corporate Sustainability

Our strategy is aligned with the UAE Government's economic plans, policies and commitments towards economic diversification and sustainability.

Overview

In 2016, NBAD made significant progress in its journey towards meeting the highest possible global standards of citizenship and sustainability. The developments and achievements made in 2016 were underpinned by the Bank's commitment to being a good corporate citizen and to build on our performance in responsible banking practices across our core operations. Our strategy is aligned with the UAE Government's economic plans, policies and commitments towards economic diversification and sustainability. Alignment with recognised international standards continues to be important and good progress has been made in this respect.

Key achievements in 2016:

Supporting the UAE Government's Sustainability Commitments: The Bank regularly engages with the UAE Ministry of Climate Change and Environment through its membership on the National Council for Climate Change and the UAE Steering Group on Sustainable Finance. In October 2016, the Bank became signatory to the "Dubai Declaration on Sustainable Financing" – a UAE banking sector commitment towards sustainable business practices.

Carbon Disclosure Project (CDP): The challenges of climate change and the UAE's commitments and participation in COP 21 and COP 22, has prompted us to understand and address our own environmental footprint. NBAD has been recognised as a regional leader in reporting its carbon disclosure to the CDP. In 2016, the Bank's CDP disclosure rating for NBAD moved up from Level D to Level B, which is higher than the score achieved by some of the world's biggest banking networks during this year.

S&P Hawkamah Pan Arab ESG Index: NBAD was ranked first in the S&P/Hawkamah Pan Arab ESG Index, in recognition of its Environmental, Social and Corporate Governance (ESG) performance in the region. The S&P/Hawkamah Pan Arab ESG Index is a S&P Dow Jones Index, and the first of its kind in the region. It offers investors further disclosure and transparency, through ranking listed companies based on ESG metrics.

Dubai Chamber CSR Label: The Bank's own sustainability performance was recognised again in 2016 when it was awarded the CSR Label by the Dubai Chamber for the fifth consecutive year. The Dubai Chamber CSR Label is a diagnostic tool that helps a company assess its current CSR contribution based on international standards and best practices. It identifies key areas of risk and opportunities in managing social and environmental impacts. NBAD scored 82% of the maximum score for 2016, an improvement from the 2015 score of 79.5%.



Annual Reporting on Sustainability Performance: The Bank continues to release an annual Corporate Sustainability Report, providing details of the bank's sustainable business practices and progress against its sustainability commitments. The report is prepared in accordance with the Global Reporting Initiative (GRI) G4 international guidelines and is accredited by GRI. NBAD also continues to be the only bank in the region to report its carbon disclosure, submitting its greenhouse gas emissions data to CDP annually.

Sustainability Awareness Campaigns: Internal sustainability awareness campaigns were carried out throughout the year, including the annual Sustainability Week conducted in the Abu Dhabi Head Office, Sustainable Transport Day, Earth Hour, World Water Day, World Environment Day and Workplace Wellness Day campaigns. Over 500 employees attended Employee Wellness Day as part of the Sustainability Week. A successful pilot test of an employee charity day was also conducted in 2016, raising over AED 77,000 for three selected charities.

Citizenship

The Bank's UAE SME advocacy programme continued to make progress in 2016. Since the launch of this programme, the SME Academy has attracted over 800 participants from SMEs across the UAE. In 2016, 10 training workshops were conducted, which addressed the critical skills required by SMEs to achieve success. Topics such as Corporate Governance, "being bankable" and basic accountancy were covered as part of the training.

NBAD continued its Future of Energy advocacy programme, which was commended by His Royal Highness (HRH), the Prince of Wales, in a recent visit to Abu Dhabi. In 2016, HRH visited Abu Dhabi to speak at the GCC CFO Leadership Circle of Practice meeting hosted by the Abu Dhabi Sustainability Group (ADSG). Speaking on behalf of his Accounting for Sustainability Project, HRH referred to the Bank's "Financing the Future of Energy" thought leadership report series, commending its outcome as an example of how practical steps can be taken in response to the risks faced by organisations in the Gulf.

> *"NBAD made significant progress in its journey towards meeting the highest possible global standards of citizenship and sustainability"*

Dubai Declaration of Financial Institutions in the UAE on Sustainable Finance



NBAD Employee Wellness Day 2016



CDP
DRIVING SUSTAINABLE ECONOMIES

2016 DUBAI CHAMBER CSR LABEL

GRI Materiality Disclosures NBAD Aug 2016 Service

To find out more go to
www.nbad.com

Risk Management

The Bank maintained a conservative, rigorous approach to risk management in 2016.

Awarded Asian Banker Award for Operational Risk Implementation of the year 2016



The Group maintained a conservative and rigorous approach to risk management in 2016. It is one of the defining features of the Group's approach to maintaining strength, safety and delivering shareholder value. During a year of continued low oil prices and slowing global growth, the Group has prudently managed risk and found solutions for core clients across the network.

The Group's new Early Warning System now provides for timely identification and remediation of problem credits. In addition, NBAD's Professional Banking Programme has strengthened the risk capabilities of our employees, with new modules focusing on "Risk Skills Enhancement".

Risk Management Objectives

At a strategic level, our risk management objectives are:

- To be guided by our risk appetite, which is the aggregate level and types of risk the Group is willing to accept or to avoid in order to achieve its business objectives
- Identify, assess, control, report and manage all material risks to ensure that our risk profile remains within our risk appetite at all times
- Enable and empower business divisions to identify, interpret, discuss and make choices and decisions between risk and opportunities, however, at the same time establish strong and independent review and challenge structures
- Ensure that business growth plans are properly supported by effective risk infrastructure
- Continuously strive to institutionalise the belief that risk management is the responsibility of every employee within the Group
- Foster a high performance culture that continually focuses on strengthening the risk capabilities of our people

Review

The Group held its conservative approach to lending within the commodities sectors in 2016, alongside more conservative underwriting standards and improved balance sheet optimisation measures. This helped the Group to achieve its risk targets as communicated to market participants and investors during the course of the year.

NBAD Group is rated Aa3 by Moody's, AA– by Fitch and AA– by S&P giving it one of the strongest combined ratings of any global financial institution. NBAD Group has once again been ranked as one of the World's 50 Safest Banks by Global Finance magazine. This is a true reflection of Group's continuous efforts to maintain its low risk profile demonstrated by its Cost of Risk and NPL ratios, which are at the lower end among our peers.

Risk Governance

The Group's robust risk governance structure provides it with a highly effective and comprehensive company-wide approach to the management of risk.

- The Board of NBAD Group has the overall responsibility for the establishment and oversight of the Group's Risk Management framework

- The Risk Management Committee of the Board (RMC) is responsible for approving the risk appetite and ensuring that the Group's risk profile remains within its risk appetite at all times. The Group Chief Risk Officer regularly presents reports to the RMC summarising developments in the risk environment, alignment of business strategy with risk appetite and performance trends in the key portfolios. The RMC oversees the management of the most significant risks through the regular review of risk exposures and related key controls
- The RMC is assisted by two Management Level Committees in order to carry out reviews and make recommendations to the RMC. These are the Group Risk Committee (GRC) and the Group Assets and Liability Committee (G-ALCO). The former reviews and recommends the risk appetite to the RMC and also ensures effective management of credit, market, operational, business continuity and reputational risks. The latter reviews and is accountable to the RMC for the Group's balance sheet structure and quality, management of liquidity and funding plans

Three Lines of Defence

The Group follows a "three lines of defence" model, which is central to its risk management framework.

- First line: Business divisions, at the first line of defence, identify and manage risk in their day-to-day activities by ensuring that activities are within the Group's risk appetite and in compliance with all relevant internal policies and processes
- Second line: Group Risk (comprising head office risk and risk functions embedded in business divisions), and Legal and Compliance division, act as the second line of defence, establishing risk controls comprising policies, frameworks, processes and analytical tools, whilst also providing oversight, independent to the first Line
- Third line: Internal audit forms the third line of defence, providing independent assurance to senior management and the Board over the design and operation of NBAD's risk management, governance, and controls

Risk Culture

NBAD's risk culture is fundamental to the delivery of our strategic objectives. For NBAD, risk culture is defined by the norms for behaviour within the Group that determine the collective ability to identify and understand, openly discuss and act on NBAD's current and future risks.

Certain key elements of risk culture that are embedded across the Group include:

- Institutionalising risk appetite: In addition to setting risk appetite at the Group level, we seek to institutionalise risk appetite at business division level by way of divisional risk appetite and underwriting standards which is further cascaded to sectors and country risk limits
- Communication: We encourage information sharing and engagement between the Group risk and business divisions, leading to enhanced risk transparency and effective communication. We promote a culture where concerns regarding potential or emerging risks are escalated to Senior Management so that they can be evaluated and appropriately addressed
- Reward and recognition: We reward and recognise people to reinforce actions that are aligned with prudent risk-taking and appropriate use of capital. We also remain mindful that our compensation practices do not encourage excessive risk-taking. Individual awards are based on compliance with NBAD's values and the achievement of financial and non-financial objectives, which are aligned to our risk appetite and global strategy

Risk skills enhancement

Our risk skills enhancement programmes aim to foster a deep understanding of NBAD's capital and risk management frameworks across the Group. We partner with the NBAD Academy, risk experts – both internal and external – teaching professionals and educational service providers to develop and deliver bespoke training programmes for all levels of people across the Group. Our Professional Banker programme is a step in that direction.

Recognition and 2016 highlights

The Group has a proud history of highly disciplined risk management strategies and in 2016 NBAD continued to gain recognition for its initiatives, procedures and oversight.

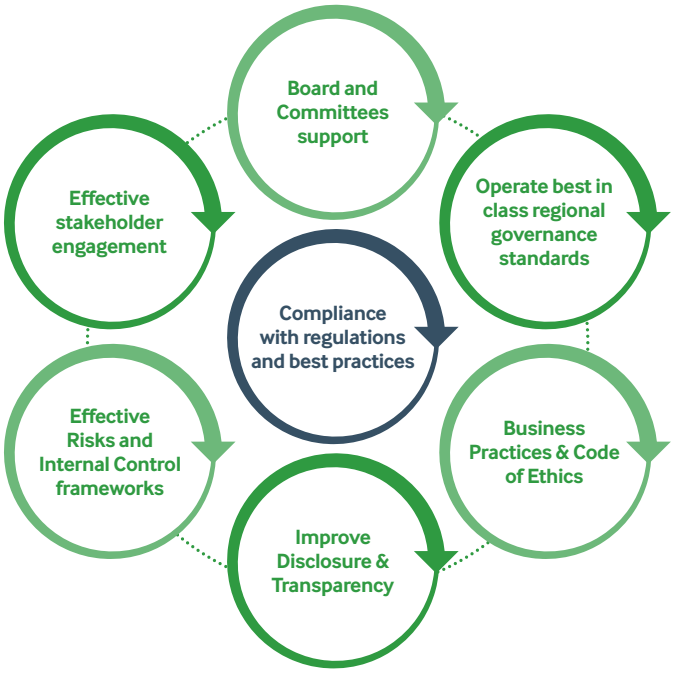
- NBAD enjoys one of the strongest combined ratings of any Middle Eastern financial institution
- Since 2009, NBAD has been ranked consecutively as one of the World's 50 Safest Banks by Global Finance magazine
- NBAD successfully deployed operational risk management system (ORMS) across 17 countries which is fully integrated with NBAD's core banking solutions within each country for auto reconciliation and postings of suspense and loss events
- NBAD has been awarded the Asian Banker Award for Operational Risk Implementation of the year 2016
- NBAD has received an approval from the Central Bank of the UAE to use the standardised approach (TSA) for calculating operational risk capital requirements from Q4-2016 demonstrating regulator's confidence in NBAD's operational risk management
- NBAD activated new auto-write off functionality for its retail personal instalment loans (PIL) in UAE
- NBAD's Cost of Risk and NPL Ratio are one of the lowest among its peers
- NBAD engaged to revamp the Counterparty traded risk framework including the counterparty valuation adjustment calculation and the pre-settlement risk

The Group continued to deliver shareholder value in 2016 during a period when financial markets faced strong global headwinds. It continues to be one of the safest banks in the world, with respected risk management protocols and infrastructure. NBAD's control functions, security and prevention systems, codes of conduct and conservative approach leave it well placed to not only weather a difficult global economy but also to grow and deliver results for its clients and shareholders.

To find out more go to
www.nbad.com

Corporate Governance

The Bank's overarching corporate governance protocols are driven by the responsibility and leadership of the Board to direct the Group's affairs and set its objectives.



A culture of strong Corporate Governance

The Bank's overarching Corporate Governance protocols are driven by the responsibility and leadership of the Board to direct the Group's affairs and set its objectives. NBAD is also driven by the selection of productive strategies and management of risk, the appropriate delegation and monitoring of power and accountability (to management), by acting as a sounding board and advisor to the Group Chief Executive; satisfying the interests of stakeholders through transparent and material disclosures. In addition, the Bank operates in complete compliance with all regulatory obligations and engages positively and transparently with the community and its customers.

Board of Directors

NBAD's Board of Directors consists of 11 Board Members. 6 of the 11 Directors, including the Chairman of the Board, are nominees of the Abu Dhabi Government and five Directors are elected by the minority shareholders at the shareholders' General Assembly.

All the Board members are non-Executive and two of those elected by minority shareholders are considered to be independent, according to criteria set out by the Securities & Commodities Authority (SCA). The composition of the Board satisfies the generally acceptable Corporate Governance practice relating to the separation of Chairman and Group Chief Executive and the majority membership of Non-Executive Directors.

The Board of NBAD has overall responsibility for directing the Group's affairs, to create and preserve value through the Group's operations, and to consider the shareholders' and other stakeholders' interests. It has documented its roles and responsibilities in a Board Charter and associated policies. The Board is responsible for making delegations to the management, including the definition, scope, frequency and nature of powers.

Aside from certain authorities and powers reserved by the Board for its own decision-making, the Group Chief Executive is delegated full responsibility for the management, operations and compliance of NBAD. To satisfy its oversight role, the Board has defined a clear control structure, which monitors the management activities, in addition to creating supporting controls and reporting structures both internal and external to the firm. The delegation and control structure is also subject to compliance with and oversight by regulators and third parties, including the Central Bank of the UAE and the Securities & Commodities Authority of the UAE and regulators in jurisdictions where NBAD operates.

Codes of Conduct

The Board has mandated Codes of Conduct, which apply to Directors, employees and subsidiaries of NBAD. The codes encourage appropriate behaviour, define inappropriate behaviour and the process and outcomes for the identification and reporting of such behaviour. Consistent with NBAD's approach to employing high standards for transparency and disclosure for the benefit of shareholders and other stakeholders, NBAD publishes a wide range of reports containing financial and non-financial data through its Investor Relations function, in addition to disclosures required for regulatory purposes.

NBAD has established a number of functions committed to engagement and communication with external stakeholders. These include investor relations, sustainability, Company Secretariat and corporate communications. In addition, internal transparency and disclosure is considered from operational, ethical and regulatory perspectives, ensuring that staff are aware of NBAD developments,

strategies, risks and their personal responsibilities and duties, whilst protecting customer and personal data confidentiality, sensitive information and confidential commercial information. Shareholder rights and interests include reserved powers in the UAE Commercial Companies Law and NBAD Articles of Association and are supported by the duty of the Board to act in the interest of the Company. NBAD acknowledges that there are diverse interests within the shareholder base and that the Board considers such interests when determining the objectives and strategies for the Group.

Governance committees

To ensure that the Board can devote the maximum time possible to strategies, risk management, financial reporting, internal controls, succession and talent nominations; these are delegated to five Board Sub-Committees as follows:

1. Risk Management Committee
2. Audit Committee
3. Human Resources Committee
4. Corporate Governance and Nominations Committee
5. Strategy and Transformation Committee

Each of these committees remains an integral part of the Board and its members are Directors of the Board. The remit of these Committees is to consider topics in greater detail, to manage conflicts of interest, to satisfy regulatory requirements, give leadership, satisfy the interests of shareholders and provide management oversight to ensure the proper governance of the Group. The Terms of References, Mandates and Charters of these Committees are reviewed on a yearly basis, to align more closely with the changing structure of the Group.

Regulatory Compliance

NBAD is regulated by the Central Bank of the UAE and is therefore required to comply with Central Bank regulations, circulars and notices issued from time to time. In addition, NBAD is required to comply with all applicable laws and regulations of the UAE, including without limitation, the UAE Commercial Companies Law, rules and standards established by the Securities and Commodities Authority (SCA) of the UAE and the NBAD Articles of Association.

It is also mandated to comply with all international regulations in all jurisdictions where the Bank operates. Senior management has the responsibility to ensure compliance with applicable laws and regulations and report on such matters to the Board.

The Board provides guidance and oversight in terms of risk appetite, significant compliance and risk strategies and dealing with compliance and risk outcomes.

Risk and Control Framework

The Board of Directors has approved and implemented an extensive internal control system, which includes:

- Control environment and codes of conduct for the Board and employees
- Risk management
- Control functions
- Management information systems
- Monitoring security and prevention systems

The significant functions that firm the control system include internal audit, risk, legal and compliance and Company Secretariat. NBAD has implemented a comprehensive set of policies for the prevention and detection of fraud, corruption, bribery, money laundering and other criminal and civil offences.

NBAD has an overarching Whistleblowing Policy, which incorporates independent reporting channels, confidentiality and sensitivity, investigation powers, escalations reporting, reintegration of findings into the operational and control framework and regulatory co-operation.

Recognition, Achievements, Training and Evaluation

NBAD was top-ranked in the S&P/Hawkamah Pan Arab ESG Index among 100+ listed organisations from various industries in the Middle East and Africa region on its environmental, social and Corporate Governance practices.

NBAD's Annual General Assembly was conducted on 15 March 2016 where the Board was re-elected.

On 3 July 2016, FGB and NBAD announced that their Boards of Directors had voted unanimously to recommend to shareholders a merger of the two Abu Dhabi-listed banks. On 7 December 2016, separate General Assembly Meetings were held with shareholders of both banks approving the transaction and the combined entity's Board of Directors once the merger becomes effective.

Performance evaluation of the NBAD Board and its committees takes place on an annual basis, forming a key component of the Bank's Corporate Governance Framework. Latest update on financial crime, anti-money laundering and sanctions regulations, in addition to the new UAE Companies Law No (2) of 2015, were presented to the Board of Directors. The Articles of Association was amended accordingly to the new UAE Companies Law No (2) of 2015.

NBAD AGM 2016



To find out more go to **www.nbad.com**

Shareholders' Information

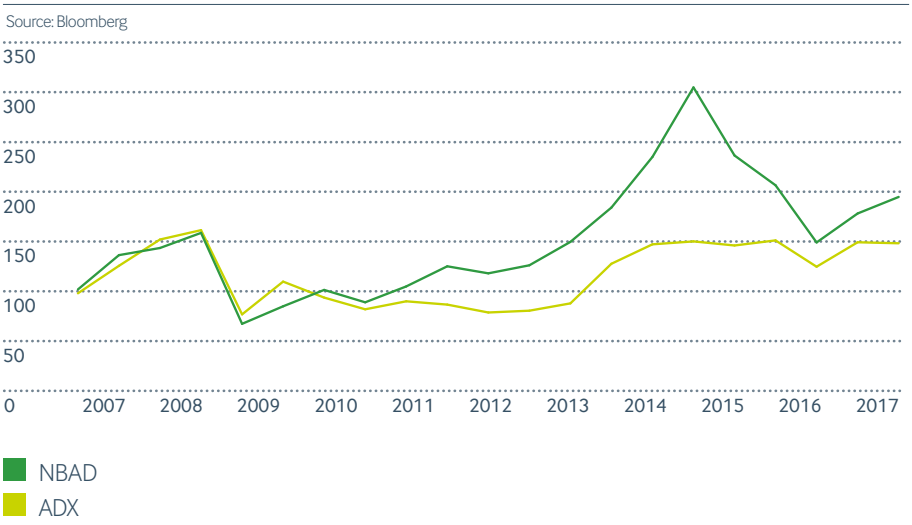
Major Shareholders

Shareholders holding more than 5% of NBAD shares as at 31 December 2016

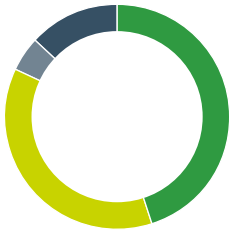
69.82%[1]

Abu Dhabi Investment Council (ADIC)

NBAD vs ADX (indexed performance since Jan 2007)

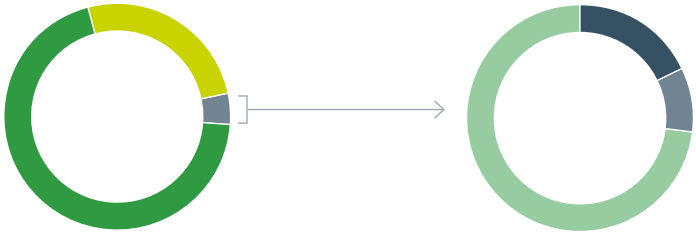


NBAD Shareholding[1] by Category



Abu Dhabi Investment Council (1)	**69.82%**
Other Government Institutions (11)	**1.45%**
Institutional Investors – Private (456)	**8.32%**
Individuals (1997)	**20.41%**

NBAD Shareholding[1] by Nationality



Abu Dhabi Investment Council	**69.82%**
UAE Nationals (excl. ADIC)	**25.94%**
Foreigners	**4.23%**

GCC	**0.77%**
Arabs (excl. GCC)	**0.39%**
Others	**3.07%**

Foreign ownership is restricted to 25% of the total shares listed on the exchange. As of 31 December 2016, foreign ownership in NBAD shares amounted to 4.23% (31 December 2015 – 3.55%).

1 Based on total outstanding number of shares (issued less treasury shares)

Shareholder Returns & Share Price Information

Description	2012	2013	2014	2015	2016
Return to shareholders:					
• Capital Gains[2]	27.1%	48.4%	10.8%	-37.5%	**25.5%**
• Cash Dividend Yield[3,6]	3.4%	2.9%	2.9%	5.7%	**4.5%**
Stock Dividends (Bonus shares)[4]	10%	10%	10%	0%	**0%**
Cash Dividend (AED/share)	0.35	0.40	0.40	0.45	**0.45**
Cash Dividend Payout	31.4%	36.2%	33.9%	44.8%	**46.3%**
Market Capitalisation (AED mn)[3]	39,908	49,471	60,291	41,469	**54,491**
Number of shares issued (AED mn)	3,875	4,306	4,736	5,210	**5,455**
P/E Ratio (on Basic EPS)	9.7	13.2	12.3	8.2	**10.4**
P/B Ratio	1.5	1.9	1.9	1.1	**1.3**
Share Price[5]: (AED/share)					
• High	7.81	11.57	15.68	12.73	**10.35**
• Low	5.79	7.74	9.14	7.65	**6.86**
• Closing	7.74	11.49	12.73	7.96	**9.99**
• Daily Average Volume (shares)	399,553	646,533	948,979	625,168	**778,578**
Relative Returns (capital gains):					
• NBAD vs ADX return	17.6%	-14.6%	5.2%	-32.6%	**20.0%**
• NBAD vs ADX Banks' return	9.3%	-19.6%	-3.3%	-20.2%	**25.1%**

1 Based on total outstanding number of shares (Issued less treasury shares)
2 Percentage change in price during the year (closing price – opening price)
3 Based on unadjusted closing price
4 Shown as a percentage of face value
5 Shares prices adjusted for bonus shares issuances
6 Cash Dividends for 2016 are proposed and subject to approval by the shareholders at the AGM

Sources: Bloomberg, ADX, NBAD Financials

Key Financials

Income Statement – Summary	Quarterly – 2016				Annual	
(in AED million)	Q1	Q2	Q3	Q4	2015	2016
Net interest income (incl. net income from Islamic financing)	1,831	1,837	1,807	1,830	7,307	7,305
Non-interest income	819	922	877	885	3,249	3,503
Total Revenues	**2,650**	**2,759**	**2,684**	**2,715**	**10,556**	**10,808**
UAE	*2,110*	*2,227*	*2,144*	*2,241*	*8,364*	*8,723*
Gulf & International	*540*	*532*	*540*	*474*	*2,192*	*2,086*
Operating expenses	(1,008)	(1,009)	(1,000)	(996)	(4,083)	(4,013)
Operating Profits	1,642	1,751	1,684	1,719	6,473	6,795
Impairment charges, net	(295)	(298)	(287)	(311)	(943)	(1,191)
Taxes	(77)	(76)	(77)	(79)	(298)	(309)
Net Profit	**1,271**	**1,376**	**1,320**	**1,329**	**5,232**	**5,296**

Revenues by Business	Quarterly – 2016				Annual	
(in AED million)	Q1	Q2	Q3	Q4	2015	2016
Global Wholesale (GWB)	1,356	1,391	1,355	1,403	5,186	5,505
Global Retail & Commercial (GRC)	1,092	1,126	1,066	1,109	4,103	4,393
Global Wealth (GW)	225	233	224	236	1,005	918
Head Office (HO)	(24)	10	39	(33)	262	(8)
Total Revenues	**2,650**	**2,759**	**2,684**	**2,715**	**10,556**	**10,808**

Note: During the period, the Group has changed the basis of allocation around centrally held profit & losses and other inter-segmental allocations resulting in a restatement of comparative segmental information.

Key Ratios	Quarterly – 2016				Annual	
	Q1	Q2	Q3	Q4	2015	2016
Return on Equity	12.0%	13.0%	12.0%	11.6%	12.9%	11.8%
Return on Shareholders' Funds[1]	13.5%	14.7%	13.4%	12.9%	14.3%	13.1%
Cost-Income ratio	38.0%	36.6%	37.3%	36.7%	38.7%	37.1%
Net Interest Margin[2]	2.02%	1.98%	1.89%	1.85%	2.01%	1.92%
Return on Risk-Weighted Assets	1.84%	1.98%	1.88%	1.92%	1.99%	1.94%
Tier-1 ratio (YTD)	15.1%	15.5%	15.8%	16.9%	15.7%	16.9%
Capital Adequacy ratio (YTD)	16.0%	16.4%	17.0%	18.1%	16.7%	18.1%

1 Excluding Tier-1 capital notes and interest thereof
2 Annualised; based on daily average of performing assets

Balance Sheet – Summary

(in AED billion)	Dec-15	Mar-16	Jun-16	Sep-16	Dec-16
Assets	406.6	399.7	419.4	414.9	420.7
Customer Loans	205.9	199.6	202.9	205.3	200.5
Customer accounts & other deposits	233.8	233.3	243.3	242.9	253.4
CASA (current accounts & savings accounts)	71.3	71.6	74.6	74.0	75.3
Equity	43.2	41.6	43.0	45.0	46.5
Contingencies (Trade & Market)	1,291	1,432	1,536	1,542	1,476

– Trade contingencies are defined as LCs & LGs; Market contingencies reflect nominal value of FX contracts & derivatives.
– Equity includes Tier-1 capital notes.

NBAD's Climate Change Risks and Opportunities

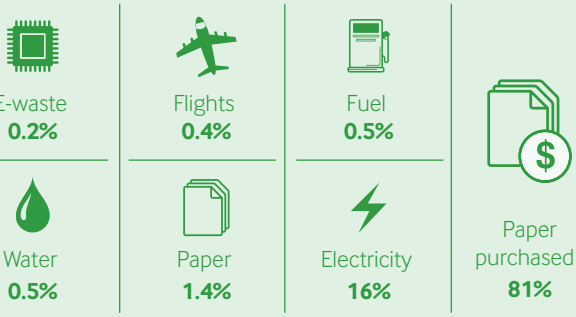
NBAD is exposed to climate-related risks and opportunities through our lending and other financial intermediary activities as well as through our direct operations.

By understanding our climate-related risks and opportunities, we promote more informed investment, lending and insurance underwriting decisions and, in turn, enable stakeholders to understand better the concentrations of carbon-related assets in the financial sector and the financial system's exposures to climate-related risks.

We face risks associated with the physical impact of climate change on our business, as well as risks associated with the global transition to a lower carbon economy.

Efforts to mitigate and adapt to climate change also produce opportunities for our business both operationally and in terms of green finance.

Our Direct Carbon Footprint in 2015



NBAD's Climate Change Risks

Policy & Legal Risks

Electricity and water costs in the Abu Dhabi Emirate will rise due to the removal of subsidies as part of a new water and electricity tariff system for Emiratis and expatriates.
We're investing in energy and water efficiency to bring down our consumption and mitigate the financial impact.

Acute Physical Risk

In 2016 there were thunderstorms across the UAE with winds of over 100 km per hour causing damage to our buildings and disruption to business act.
Business continuity plans are developed at departmental levels and all our business units identify their critical business process and recovery time objectives.

Reputational Risks

We face reputational risk associated with failure to report on how we are playing our role to mitigate dangerous climate change.
We are the only bank in the GCC region to report on how we're managing climate change to the CDP. The CDP is backed by 827 investors with USD 100 trillion in assets.

Chronic Physical Risk

85% of the UAE's population and 90% of its coastal zones are at risk of climate change and associated sea level rise.
Our Sustainable Business team seeks to support the financing of climate change mitigation and adaptation projects.

NBAD's Climate Change Opportunities

Changing Markets

New opportunities can be captured through financing green bonds and green infrastructure (e.g. low-emission energy production).
We have committed to lend, invest and facilitate USD 10 billion in the next 10 years to finance environmentally sustainable projects.

Energy Source

Under the Paris Climate Change Agreement, the UAE has set a target to source 27% of its energy from low carbon sources by 2021.
Our research identified approximately USD 640 billion of investment required for renewable energy projects across across emerging markets in Asia and Africa.

Resource Efficiency

Population growth and a surge in income levels has given rise to non-sustainable production and consumption patterns.
As part of the 2015 Sustainability Awareness Week staff participated in recycling activities and had a significant contribution to NBAD's waste management programme.

Resilience

Banks that provide loans to companies with direct exposure to climate-related risks may accumulate climate-related risks via their credit and equity holdings.
We have adopted the Equator Principles, a riskmanagement framework for determining, assessing and managing environmental risks in projects.

بنك أبوظبي الوطني
NBAD

NBAD

Consolidated Financial Statements

31 December 2016



Consolidated financial statements

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Independent auditor's report to the shareholders of National Bank of Abu Dhabi PJSC

Report on the audit of the consolidated financial statements

Our opinion

In our opinion, the consolidated financial statements present fairly, in all material respects the consolidated financial position of National Bank of Abu Dhabi PJSC (the "Bank") and its subsidiaries (the "Group") as at 31 December 2016, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board.

What we have audited

The Group's consolidated financial statements comprise:

- the consolidated statement of financial position as at 31 December 2016;
- the consolidated statement of profit or loss for the year then ended;
- the consolidated statement of other comprehensive income for the year then ended;
- the consolidated statement of changes in equity for the year then ended;
- the consolidated statement of cash flows for the year then ended; and
- the notes to the consolidated financial statements, which include a summary of significant accounting policies.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the consolidated financial statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) and the ethical requirements that are relevant to our audit of the consolidated financial statements in the United Arab Emirates. We have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code.

Our audit approach

Overview

This was the first year we were appointed as the auditor of the Group. As part of developing our knowledge for the 2016 audit, we attended key meetings held between the former auditor and NBAD at the end of the 2015 audit to assist in understanding the significant audit judgements which were made as part of forming their audit opinion for that year. We also reviewed the working papers of the former auditor to help us familiarise ourselves with the IT systems and controls on which they relied

on for the purposes of issuing their opinion and also to understand the evidence they obtained in respect of key judgements.

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the consolidated financial statements. In particular, we considered where management made subjective judgements; for example, in respect of significant accounting estimates that involved making assumptions and considering future events that are inherently uncertain.

The areas, in our professional judgement, that are of most significance to the audit ('Key audit matters') and where we focused most effort were:

- Impairment of loans and advances to customers; and
- Revenue recognition.

We have set out below an explanation of each item and a summary of the audit approach.

As in all of our audits, we also addressed the risk of management override of internal controls, including among other matters, consideration of whether there was evidence of bias that represented a risk of material misstatement due to fraud. In addition, in common with all banks, the Group is highly dependent on technology due to the significant number of transactions that are processed daily. The audit approach relied extensively on automated controls and therefore procedures were designed to test access and control over IT systems.

We tailored the scope of our audit in order to perform sufficient work to enable us to provide an opinion on the consolidated financial statements as a whole, taking into account the structure of the Group, the accounting processes and controls, and the industry in which the Group operates.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	*How our audit addressed the key audit matter*
Impairment of loans and advances Impairment allowances represent management's best estimate of the losses incurred within the loan portfolios at the balance sheet date. They are calculated on a collective basis for portfolios of loans of a similar nature and on an individual basis for non-performing loans. The calculation of both collective and individual impairment allowances is inherently judgemental for any bank. As disclosed in note 11, as at 31 December 2016, the Bank has recognised a provision for impairment of loans and advances of AED 6.4 billion.	We assessed and tested the design and operating effectiveness of the controls over impairment data and calculations to ensure compliance with IFRS. These controls included those over the internal credit rating of counterparty facilities, the identification of which loans and advances were impaired, the data transfer from source systems to impairment models and model output to the general ledger, and the calculation of the impairment provisions. In addition, we performed detailed testing on the models used to calculate both identified and unidentified impairment. This testing typically included testing of the extraction of data used in the model, assessing the appropriateness of the assumptions used (including applying sensitivities) and re-performance of the impairment calculation. We also engaged experts to review the methodology applied in certain models.

Collective impairment allowances are used to recognise unidentified impairment. Collective impairment allowances are calculated using statistical models, which approximate the impact of current economic and credit conditions on portfolios of similar loans. The inputs to these models are subject to management judgement.

For specific impairments, judgement is required to determine when an impairment event has occurred and then to estimate the expected future cash flows related to that loan.

We focused on this area because the Directors and management make subjective judgements over both timing of recognition of impairment and the estimation of the size of any impairment, including taking into account economic factors such as the impact of the reduced oil and gas prices and reduced available liquidity in the market.

Information on credit risk and the Group's credit risk management is provided in note 4. The use of estimates and judgements in respect of impairment of loans and advances is disclosed in note 5. Disclosure of the impairment allowance and net impairment charge is given in notes 11 and 35.

Where the models were designed to meet the UAE Central Bank requirements in respect of impairment allowances, we tested the reconciliation of the output of these models to the provisioning requirements under IFRS.

Where impairment was individually calculated, we tested controls over the timely identification of potentially impaired loans. We also tested a sample of loans and advances to ascertain whether the loss event (the point at which impairment is recognised) had been identified in a timely manner. Where impairment had been identified, for a sample of loans we examined the forecasts of future cashflows prepared by management to support the calculation of the impairment, including those related to collateral values, challenging the assumptions and comparing estimates to external evidence where available.

We examined a sample of loans and advances, which had not been identified by management as potentially impaired and formed our own judgement as to whether that was appropriate including using external evidence in respect of the relevant counterparties.

Where we formed a different view from that of management on certain specific provisions, the differences were assessed in the context of the overall level of provisioning, including the collective provision.

Revenue recognition

We assess the risk of material misstatement in revenue recognition for each material revenue stream individually. The level of judgement involved in determining whether recognition criteria have been met as well as the extent of manual intervention in the recognition process are factors which can increase the inherent risk of fraud.

We focused on the timing of recognition of fee income, as there is often judgement involved in determining whether fees should be recognised up front or spread over a period of time. For example fees earned from the provision of a service are recognised as revenue as the services are provided whereas fees that form an integral part of the effective interest rate of a financial instrument are recognised as an

Our audit procedures included, amongst others, assessing the appropriateness of the Group's revenue recognition accounting policies including those relating to arrangement and syndication fees and assessing their compliance with IFRS.

We tested the design and operating effectiveness of the Group's controls over the calculation and recording of fees and commissions.

For a sample of significant transactions during the year, we tested the timing of revenue recognition, checking the necessary contractual obligations had been fulfilled. We tested revenue recognised by agreeing to cash received or accounts receivable as appropriate. We also tested the recoverability of the year end accounts receivables.

We tested the reconciliations between the revenue systems used by the Group and its general ledger. We also tested a risk based sample of journal entries, which included postings to revenue accounts, to identify unusual or irregular items.

adjustment to the effective interest rate and recorded in interest income. During the year the Group recognised total fee and commission income of AED 3.2 billion. The Group's accounting policy for fee and commission income is disclosed in note 3. Details of the Group's fee and commission income is given in note 30.	

Other information

The directors are responsible for the other information. The other information comprises the Chairman's letter (but does not include the consolidated financial statements and our auditor's report thereon), which we obtained prior to the date of this auditor's report, and the Bank's complete Annual Report which is expected to be made available to us after that date.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the Bank's complete Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of management and those charged with governance for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board and in compliance with the applicable provisions of the UAE Federal Law No. 2 of 2015, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is

not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

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Independent auditor's report to the shareholders of National Bank of Abu Dhabi PJSC (continued)

Report on other legal and regulatory requirements

Further as required by the UAE Federal Law No. (2) of 2015, we report that:

(i) we have obtained all the information we considered necessary for the purposes of our audit;

(ii) the consolidated financial statements have been prepared and comply, in all material respects, with the applicable provisions of the UAE Federal Law No. (2) of 2015;

(iii) the Group has maintained proper books of account;

(iv) the financial information included in the Chairman's letter is consistent with the books of account of the Group;

(v) as disclosed in notes 8 and 12 to the consolidated financial statements the Group has purchased or invested in shares during the financial year ended 31 December 2016;

(vi) note 40 to the consolidated financial statements discloses material related party transactions and the terms under which they were conducted;

(vii) note 34 to the consolidated financial statements discloses the social contributions made during the year ended 31 December 2016; and

(viii) based on the information that has been made available to us nothing has come to our attention which causes us to believe that the Group has contravened during the financial year ended 31 December 2016 any of the applicable provisions of the UAE Federal Law No. (2) of 2015 or in respect of the Bank, its Memorandum and Articles of Association which would materially affect its activities or its financial position as at 31 December 2016.

Further, as required by the UAE Union Law No (10) of 1980, as amended, we report that we have obtained all the information and explanations we considered necessary for the purpose of our audit.

Other matter

The consolidated financial statements of the Group as at and for the year ended 31 December 2015 were audited by another auditor, whose report dated 27 January 2016 expressed an unmodified audit opinion.

PricewaterhouseCoopers
31 January 2017



Mohamed ElBorno
Registered Auditor Number 946
Abu Dhabi, United Arab Emirates

Consolidated statement of financial position

As at 31 December

	Note	2016 AED'000	2015 AED'000
Assets			
Cash and balances with central banks	7	**98,664,599**	76,382,109
Investments at fair value through profit or loss	8	**14,525,506**	12,291,138
Due from banks and financial institutions	9	**8,523,107**	10,891,768
Reverse repurchase agreements	10	**9,566,579**	13,330,186
Derivative financial instruments	39	**12,019,406**	10,574,091
Loans and advances	11	**200,531,811**	205,913,553
Non-trading investments	12	**64,441,924**	63,794,151
Other assets	13	**9,545,979**	10,550,483
Investment properties	14	**45,604**	190,546
Property and equipment	15	**2,848,985**	2,645,782
Total assets		**420,713,500**	406,563,807
Liabilities			
Due to banks and financial institutions	16	**40,963,741**	39,502,515
Repurchase agreements	17	**17,222,136**	30,550,652
Commercial paper	18	**7,372,911**	8,720,597
Derivative financial instruments	39	**13,380,789**	12,852,358
Customer accounts and other deposits	19	**253,382,492**	233,814,558
Term borrowings	20	**28,915,650**	21,046,668
Other liabilities	21	**12,614,291**	15,582,508
		373,852,010	362,069,856
Subordinated notes	22	**355,987**	1,275,298
Total liabilities		**374,207,997**	363,345,154
Equity			
Share capital	23	**5,254,546**	5,209,723
Share premium	25	**307,885**	265,245
Treasury Shares		**(48,746)**	(11,083)
Statutory and special reserves	23	**5,254,546**	5,209,722
Other reserves	23	**21,196,859**	18,628,226
Tier 1 capital notes	24	**6,754,750**	6,754,750
Share option scheme	25	**228,349**	190,232
Convertible notes - equity component	20	**108,265**	108,265
Retained earnings		**7,449,049**	6,863,573
Total equity		**46,505,503**	43,218,653
Total liabilities and equity		**420,713,500**	406,563,807

Nasser Ahmed Khalifa Alsowaidi
Chairman

Abhijit Choudhury
Acting Group Chief Executive Officer

James Burdett
Group Chief Financial Officer

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 2 to 7.

Consolidated statement of profit or loss

For the year ended 31 December

	Note	2016 AED'000	2015 AED'000
Interest income	26	**9,656,957**	8,965,129
Interest expense	27	**(2,836,654)**	(2,021,044)
Net interest income		**6,820,303**	6,944,085
Income from Islamic financing contracts	28	**509,473**	385,625
Depositors' share of profits	29	**(24,969)**	(22,632)
Net income from Islamic financing contracts		**484,504**	362,993
Net interest and Islamic financing income		**7,304,807**	7,307,078
Fee and commission income		**3,205,336**	2,994,548
Fee and commission expense		**(1,027,232)**	(888,306)
Net fee and commission income	30	**2,178,104**	2,106,242
Net foreign exchange gain	31	**961,286**	817,587
Net gain on investments and derivatives	32	**327,816**	254,189
Other operating income	33	**36,171**	70,754
		1,325,273	1,142,530
Operating income		**10,808,184**	10,555,850
General, administration and other operating expenses	34	**(4,012,759)**	(4,082,919)
Profit before net impairment charge and taxation		**6,795,425**	6,472,931
Net impairment charge	35	**(1,190,677)**	(942,971)
Profit before taxation		**5,604,748**	5,529,960
Overseas income tax expense	36	**(308,706)**	(298,143)
Net profit for the year		**5,296,042**	5,231,817
Basic earnings per share (AED)	42	**0.96**	0.97
Diluted earnings per share (AED)	42	**0.95**	0.95

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 2 to 7.

Consolidated statement of other comprehensive income

For the year ended 31 December

	Note	2016 AED'000	2015 AED'000
Net profit for the year		**5,296,042**	5,231,817
Other comprehensive income			
Items that are or may subsequently be reclassified to consolidated statement of profit or loss			
Exchange difference on translation of foreign operations		**(45,259)**	(20,736)
Cash flow hedges:			
Effective portion of cash flow hedges	*23*	**(20,660)**	(38,237)
Fair value reserve:			
Net change in fair value during the year	*23*	**1,133,474**	17,013
Net cumulative amount transferred to profit or loss	*23*	**(498,922)**	(635,645)
Items that will not subsequently be reclassified to consolidated statement of profit or loss			
Re-measurement of defined benefit obligations		**(20,508)**	(5,033)
Other comprehensive income for the year		**548,125**	(682,638)
Total comprehensive income for the year		**5,844,167**	4,549,179

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 2 to 7.

Consolidated statement of changes in equity

For the year ended 31 December

	Share capital AED'000	Share Premium AED'000	Treasury Shares AED'000	Statutory and special reserve AED'000	General reserve AED'000	Tier 1 capital notes AED'000	Share option scheme AED'000	Fair value reserve AED'000	Foreign currency translation reserve AED'000	Convertible notes - equity component AED'000	Retained earnings AED'000	Total AED'000
Balance at 1 January 2015	**4,736,112**	**245,473**	**(12,940)**	**4,736,112**	**17,174,332**	**4,000,000**	**151,427**	**324,932**	**(112,143)**	**108,265**	**6,611,812**	**37,963,382**
Total comprehensive income for the year	-	-	-	-	-	-	-	(656,869)	(20,736)	-	5,226,784	**4,549,179**
Transactions with owners of the Group												
Zakat	-	-	-	-	-	-	-	-	-	-	(10,255)	**(10,255)**
Share options exercised	-	19,772	2,976	-	-	-	-	-	-	-	-	**22,748**
Treasury shares adjustment	-	-	(1,119)	-	1,119	-	-	-	-	-	-	**-**
Bonus shares issued *(note 23)*	473,611	-	-	-	(473,611)	-	-	-	-	-	-	**-**
Dividends paid for 2015 *(note 23)*	-	-	-	-	-	-	-	-	-	-	(1,889,971)	**(1,889,971)**
Transfer to general reserve *(note 23)*	-	-	-	-	2,400,000	-	-	-	-	-	(2,400,000)	**-**
Options granted to staff *(note 25)*	-	-	-	-	-	-	38,805	-	-	-	-	**38,805**
Issuance of Tier 1 capital notes (note 24)	-	-	-	-	-	2,754,750	-	-	-	-	-	**2,754,750**
Costs on issue of Tier 1 capital notes	-	-	-	-	(8,798)	-	-	-	-	-	-	**(8,798)**
Payment of Tier 1 capital notes coupon *(note 24)*	-	-	-	-	-	-	-	-	-	-	(201,187)	**(201,187)**
Transfer to statutory / special reserve *(note 23)*	-	-	-	473,610	-	-	-	-	-	-	(473,610)	**-**
Balance at 31 December 2015	**5,209,723**	**265,245**	**(11,083)**	**5,209,722**	**19,093,042**	**6,754,750**	**190,232**	**(331,937)**	**(132,879)**	**108,265**	**6,863,573**	**43,218,653**
Total comprehensive income for the year	-	-	-	-	-	-	-	613,892	(45,259)	-	5,275,534	**5,844,167**
Transactions with owners of the Group												
Zakat	-	-	-	-	-	-	-	-	-	-	(21,870)	**(21,870)**
Share options exercised	-	42,640	7,160	-	-	-	-	-	-	-	-	**49,800**
Treasury shares adjustment	44,823	-	(44,823)	-	-	-	-	-	-	-	-	**-**
Bonus shares issued *(note 23)*	-	-	-	-	-	-	-	-	-	-	-	**-**
Dividends paid for 2015 *(note 23)*	-	-	-	-	-	-	-	-	-	-	(2,339,949)	**(2,339,949)**
Transfer to general reserve *(note 23)*	-	-	-	-	2,000,000	-	-	-	-	-	(2,000,000)	**-**
Options granted to staff *(note 25)*	-	-	-	-	-	-	38,117	-	-	-	-	**38,117**
Costs on issue of Tier 1 capital notes	-	-	-	-	-	-	-	-	-	-	-	**-**
Payment of Tier 1 capital notes coupon *(note 24)*	-	-	-	-	-	-	-	-	-	-	(283,415)	**(283,415)**
Transfer to statutory / special reserve *(note 23)*	-	-	-	44,824	-	-	-	-	-	-	(44,824)	**-**
Balance at 31 December 2016	**5,254,546**	**307,885**	**(48,746)**	**5,254,546**	**21,093,042**	**6,754,750**	**228,349**	**281,955**	**(178,138)**	**108,265**	**7,449,049**	**46,505,503**

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 2 to 7.

Consolidated statement of cash flows

For the year ended 31 December

	Note	2016 AED'000	2015 AED'000
Cash flows from operating activities			
Profit before taxation		**5,604,748**	5,529,960
Adjustments for:			
Depreciation	*34*	**228,792**	230,959
Accreted interest		**137,347**	82,756
Gain on sale of non-trading investments	*32*	**(498,922)**	(635,645)
Loss on buy back of subordinated notes	*22*	**-**	148
Gain on sale of investment properties	*33*	**(3,500)**	-
Net impairment charges	*35*	**1,641,934**	1,363,412
Foreign currency translation adjustment		**(152,695)**	(462,750)
Share option scheme		**38,117**	38,805
		6,995,821	6,147,645
Change in investments at fair value through profit or loss		**(2,234,368)**	3,134,513
Change in due from central banks, banks and financial institutions		**2,206,504**	124,732
Change in reverse repurchase agreements		**3,763,607**	2,514,191
Change in loans and advances		**3,749,372**	(13,004,150)
Change in other assets		**1,001,161**	(4,168,689)
Change in due to banks and financial institutions		**1,461,226**	2,823,011
Change in repurchase agreements		**(13,328,516)**	16,674,735
Change in Customer accounts and other deposits		**19,566,539**	(9,373,701)
Change in derivative financial instruments		**(1,929,349)**	(810,147)
Change in other liabilities		**(3,028,988)**	4,111,163
		18,223,009	8,173,303
Overseas income tax paid, net of recoveries		**(287,198)**	(295,499)
Net cash from operating activities		**17,935,811**	7,877,804
Cash flows from investing activities			
Purchase of non-trading investments		**(43,958,498)**	(51,186,794)
Proceeds from sale / maturity of non-trading investments		**44,442,197**	54,902,778
Proceeds from sale of investment properties		**146,498**	-
Purchase of property and equipment, net of disposals		**(432,876)**	(395,800)
Net cash from investing activities		**197,321**	3,320,184
Cash flows from financing activities			
Proceeds from issue of shares under share option scheme	*25*	**49,800**	22,748
Net movement of Commercial Paper		**(1,347,686)**	3,236,421
Issue of term borrowings		**13,597,876**	9,104,457
Repayment of term borrowings		**(4,774,900)**	(3,279,464)
Net proceeds from issue of Tier 1 Capital Notes		**-**	2,745,952
Buy back of subordinated notes		**(914,525)**	(124,938)
Dividends paid	*23*	**(2,339,949)**	(1,889,971)
Payment on Tier 1 capital notes	*24*	**(283,415)**	(201,187)
Net cash from financing activities		**3,987,201**	9,614,018
Net increase in cash and cash equivalents		**22,120,333**	20,812,006
Cash and cash equivalents at 1 January		**74,938,932**	54,126,926
Cash and cash equivalents at 31 December	*37*	**97,059,265**	74,938,932

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 2 to 7.

Notes to the consolidated financial statements

1 Legal status and principal activities

National Bank of Abu Dhabi PJSC (the "Bank") was established in Abu Dhabi in 1968 with limited liability and is registered as a Public Joint Stock Company in accordance with the United Arab Emirates Federal Law No. 8 of 1984 (as amended) relating to Commercial Companies.

Its registered office address is P. O. Box 4, Abu Dhabi, United Arab Emirates. The consolidated financial statements as at and for the year ended 31 December 2016 comprise the Bank and its subsidiaries (together referred to as the "Group"). The Group is primarily engaged in corporate, retail, private and investment banking activities, management services, Islamic banking activities; and carries out its operations through its local and overseas branches, subsidiaries and representative offices located in United Arab Emirates, Bahrain, Egypt, France, Oman, Kuwait, Brazil, Cayman Islands, Sudan, Libya, the United Kingdom, Switzerland, Hong Kong, India, Jordan, Lebanon, Malaysia, China and the United States of America.

The Group's Islamic banking activities are conducted in accordance with Islamic Sharia'a laws issued by the Sharia'a Supervisory Board.

The Bank is listed on the Abu Dhabi Securities Exchange (Ticker: NBAD). The parent company of the Bank is the Abu Dhabi Investment Council, an entity owned by the Government of the Emirate of Abu Dhabi.

These consolidated financial statements were authorised for issue by the Board of Directors on 31 January 2017.

Merger between National Bank of Abu Dhabi PJSC ("NBAD") and First Gulf Bank PJSC ("FGB")

On 3 July 2016, the Boards of Directors of NBAD and FGB have voted unanimously to recommend to shareholders a merger of the two Abu Dhabi-listed banks.

Subsequently, on 7 December 2016, the proposed merger (the Merger) of the NBAD and First Gulf Bank PJSC (FGB) was approved by the Shareholders to be effected by way of a merger pursuant to Article 283(1) of UAE Federal Law No. 2 of 2015 Concerning Commercial Companies (the Law), through the issuance of 1.254 new NBAD shares for every 1 share in FGB subject to the terms and conditions of the Merger and with effect from the Merger becoming effective..

The share capital of the merged Company would increase from AED 5,254,545,318 to AED 10,897,545,318.

Upon completion of the approved merger, FGB shareholders will own approximately 52 percent of the combined bank and NBAD shareholders will own approximately 48 percent. The combined bank will retain NBAD's legal registrations and the brand name of "National Bank of Abu Dhabi". On the effective date of the merger, FGB shares will be delisted from the Abu Dhabi Securities Exchange.

Notes to the consolidated financial statements

2 Basis of preparation

(a) Statement of compliance

These consolidated financial statements have been prepared on a going concern basis in accordance with the International Financial Reporting Standards (IFRSs) (which comprises accounting standards issued by International Accounting Standards Board (IASB) as well as Interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC)) and the requirements of applicable laws in the UAE.

On 1 April 2015, a new UAE Federal Law No 2 for Commercial Companies ("UAE Companies Law of 2015") was issued with effective date 1 July 2015. As per the transitional provisions of the new law, companies are to ensure compliance by 30 June 2017. The Bank is in the process of adopting the new federal law and will be fully compliant before the transitional provisions deadline.

(b) Basis of measurement

These consolidated financial statements are prepared under the historical cost basis except for the following:

- investments at fair value through profit or loss are measured at fair value;
- derivative financial instruments are measured at fair value;
- non-trading investments classified as available-for-sale are measured at fair value;
- recognised assets and liabilities designated as hedged items in qualifying hedge relationships are adjusted for changes in fair value attributable to the risk being hedged; and
- non-financial assets acquired in settlement of loans and advances are measured at the lower of their fair value less costs to sell and the carrying amount of the loan and advances.

(c) Functional and presentation currency

These consolidated financial statements are presented in United Arab Emirates Dirhams ("AED"), which is the Bank's functional currency. Items included in the financial statements of each of the Bank's overseas subsidiaries and branches are measured using the currency of the primary economic environment in which they operate. Except as indicated, information presented in AED has been rounded to the nearest thousand.

(d) Use of estimates and judgements

The preparation of consolidated financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expense. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in these consolidated financial statements are described in note 5.

3 Significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements and have been applied consistently by Group entities except for the new standards and interpretations that became applicable and were adopted during the year.

New standards and interpretations adopted

During the year new standards, amendments to standards and interpretations have become effective for the period and have been applied in preparing these consolidated financial statements. These amendments are listed below:

IAS 1 The amendments to IAS 1 Presentation of Financial Statements clarify existing IAS 1 requirements. The amendments clarify:

- The materiality requirements in IAS 1
- Those specific line items in the statement of profit or loss and OCI and the statement of financial position that may be disaggregated
- that entities have flexibility to arrange the order in which they present the notes to financial statements
- That the share of OCI of associates and joint ventures accounted for using the equity method must be presented in aggregate as a single line item, and classified between those items that will or will not be subsequently reclassified to profit or loss

Furthermore, the amendments clarify the requirements that apply when additional subtotals are presented in the statement of financial position and the statement of profit or loss and OCI.

IAS 16 / 38 IAS 16 and IAS 38 clarifies that revenue reflects a pattern of economic benefits that are generated from operating a business (of which the asset is part) rather than the economic benefits that are consumed through use of the asset. As a result, a revenue-based method cannot be used to depreciate property, plant and equipment and may only be used in very limited circumstances to amortise intangible assets.

The amendments are effective prospectively for annual periods beginning on or after 1 January 2016, with early adoption permitted. These amendments are not expected to have any impact to the Group given that the Group has not used a revenue-based method to depreciate its non-current assets.

<u>Annual Improvements 2012-2014 Cycle</u>

IFRS 7 The amendment clarifies that in a servicing contract an entity must assess the nature of the fee and the arrangement against the guidance for continuing involvement in IFRS 7 in order to assess whether the disclosures are required. The assessment of which servicing contracts must be done retrospectively. However, the required disclosures are required when the entity first applies the amendments.

IAS 19 The amendment clarifies that market depth of high quality corporate bonds is assessed based on the currency in which the obligation is denominated, rather than the country where the obligation is located. When there is no deep market for high quality corporate bonds in that currency, government bond rates must be used.

The Group does not have a material impact on adoption of these amendments.

Notes to the consolidated financial statements

3 Significant accounting policies *(continued)*

(a) Basis of consolidation

IFRS 10 governs the basis for consolidation where it establishes a single control model that applies to all entities including special purpose entities or structured entities. The definition of control is such that an investor controls an investee when it is exposed to, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. To meet the definition of control in IFRS 10, all three criteria must be met, including:

(a) the investor has power over an investee;
(b) the investor has exposure to, or rights, to variable returns from its involvement with the investee; and
(c) the investor has the ability to use its power over the investee to affect the amount of the investor's returns.

(i) Subsidiaries

Subsidiaries are investees that controlled by the Group. The Group controls the investee if it meets the control criteria discussed in note 3(a). The Group reassesses whether it has control if, there are changes to one or more of the elements of control. This includes circumstances in which protective rights held become substantive and lead to the Group having power over an investee. The financial statements of subsidiaries are included in these consolidated financial statements from the date that control commences until the date that control ceases. These consolidated financial statements of the Group comprise the Bank and its subsidiaries as listed below:

Legal Name	***Country of incorporation***	***Principal activities***	***Holding %*** **2016**
NBAD Americas N.V. (*formerly Abu Dhabi International Bank N.V.)*	Curacao	Banking	100%
NBAD Securities LLC	United Arab Emirates	Brokerage	100%
Abu Dhabi National Leasing LLC	United Arab Emirates	Leasing	100%
Abu Dhabi National Properties PrJC	United Arab Emirates	Property Management	100%
NBAD Private Bank (Suisse) SA	Switzerland	Banking	100%
Abu Dhabi National Islamic Finance Pvt.JSC	United Arab Emirates	Islamic Finance	100%
Ample China Holdings Limited	Hong Kong	Leasing	100%
Abu Dhabi Brokerage Egypt[1]	Egypt	Brokerage	96%
National Bank of Abu Dhabi Malaysia Berhad	Malaysia	Banking	100%
NBAD Employee Share Options Limited	United Arab Emirates	Shares and Securities	100%
SAS 10 Magellan	France	Leasing	100%
NBAD Global Multi-Strategy Fund[1]	Cayman Island	Fund Management	100%
National Bank of Abu Dhabi Representações Ltda	Brazil	Representative office	100%
NBAD Financial Markets (Cayman) Limited	Cayman Islands	Financial Institution	100%
Nawat Management Services	United Arab Emirates	Services	100%

[1] *under liquidation*

(ii) Structured entities

A structured entity is established by the Group to perform a specific task. Structured entities are designed so that their activities are not governed by way of voting rights. In assessing whether the Group acts as a principal or has power over investees in which it has an interest, the Group considers factors such as the purpose and design of the investee, its practical ability to direct the relevant activities of the investee; the nature of its relationship with the investee; and the size of its exposure to the variability of returns of the investee.

3 Significant accounting policies *(continued)*

(a) Basis of consolidation *(continued)*

(ii) Structured entities (continued)

The Group acts as fund manager to a number of investment funds. Determining whether the Group controls such an investment fund usually focuses on the assessment of the aggregate economic interests of the Group in the fund. Whilst assessing control, the Group reviews all facts and circumstances to determine whether as a fund manager the Group is acting as agent or principal. If deemed to be a principal, the Group controls the fund and would consolidate them else as an agent the Group would account for them as investments in funds.

The Group's interest in investment funds in which it act as an agent is set out below, these funds are included as part of investments.

Type of Structured Entity	Nature and purpose	Interest held by the Group
Investment Funds	Generate fees from managing assets on behalf of third-party investors	Investments in units issued by the fund amounting to AED 49,221 thousand *(31 December 2015: AED 154,472 thousand)*

(iii) Joint Arrangements and Investments in Associates

An Associate is an investee over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but not control or joint control over those policies. Investment in associates is accounted under the equity method of accounting.

A joint arrangement is an arrangement of between the Group and other parties where the Group along with one or more parties has joint control by virtue of a contractual agreement. Joint arrangement may be a joint operation or a joint venture. A joint operation is a joint arrangement whereby the parties that have joint control of the arrangement have rights to and record their respective share of the assets, and obligations for the liabilities, relating to the arrangement. A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement, have rights to the net assets of the arrangement and, thus, are accounted under the equity method of accounting.

(iv) Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in consolidated statement of profit or loss. If the Group retains any interest in the former subsidiary, then such interest is measured at fair value when control is lost.

(v) Transactions eliminated on consolidation

The carrying amount of the Bank's investment in each subsidiary and the equity of each subsidiary is eliminated on consolidation. All significant intra-group balances, and unrealised income and expenses (except for foreign currency transaction gains or losses) arising from intra-group transactions are eliminated on consolidation. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

(b) Financial assets and liabilities

(i) Recognition

The Group initially recognises loans and advances, Customer accounts and other deposits, debt securities and subordinated notes on the date that the Group becomes a party to the contract. All other financial assets and liabilities are initially recognised on the consolidated statement of financial position when, the Group becomes a party to the contractual provisions of the instrument. These are initially measured at fair value plus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue.

Notes to the consolidated financial statements

3 Significant accounting policies *(continued)*

(b) Financial assets and liabilities *(continued)*

(i) Recognition (continued)

All *regular way* purchases and sales of financial assets are recognised on the settlement date, i.e. the date the asset is delivered to or received from the counterparty. *Regular way* purchases or sales of financial assets are those that require delivery of assets within the time frame generally established by regulation or convention in the market place.

(ii) Classification

(a) Fair value through profit or loss

(i) Designation at fair value through profit or loss

The Group designates financial assets and liabilities at fair value through profit or loss when either:

- the assets or liabilities are managed, evaluated and reported internally on a fair value basis; or
- the designation eliminates or significantly reduces an accounting mismatch which would otherwise arise.

(ii) Held for trading

Trading assets are those assets that the Group acquires for the purpose of selling in the near term, or holds as part of a portfolio that is managed together for short-term profit taking.

Fair value through profit or loss assets are not reclassified subsequent to their initial recognition.

(b) Loans and receivables

Loans and receivables includes cash and balances with central banks, due from bank and financial institutions, finance lease receivables, reverse repurchase agreements and loans and advances. These are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and that the Group does not intend to sell immediately or in the near term.

(c) Held-to-maturity

Held-to-maturity investments are non-derivative assets with fixed or determinable payments and fixed maturity that the Group has the positive intent and ability to hold to maturity.

(d) Available-for-sale

The Group has non-derivative financial assets designated as available-for-sale when these are not classified as loans and receivables, held-to-maturity investments or financial assets at fair value through profit or loss. Available for sale assets are intended to be held for an indefinite period of time and may be sold in future to manage liquidity requirements or in response to market fluctuation in interest rates or pricing of the financial assets.

(e) Financial liabilities

The Group classifies its financial liabilities, other than financial guarantees and loan commitments, as measured at amortised cost or fair value through profit or loss.

3 Significant accounting policies *(continued)*

(b) Financial assets and liabilities *(continued)*

(iii) De-recognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or when it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire.

The Group enters into transactions whereby it transfers assets recognised on its consolidated statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. In such transactions, the transferred assets are not derecognised from the consolidated statement of financial position. Transfers of assets with retention of all or substantially all risks and rewards include repurchase transactions.

The Group also derecognises certain assets when it writes off balances pertaining to the assets deemed to be uncollectible.

(iv) Offsetting

As per IAS 32, financial assets and liabilities are offset and the net amount presented in the consolidated statement of financial position when, and only when, the Group has a legal right to set off the amounts and intend either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under IFRS, or for gains and losses arising from a group of similar transactions.

(v) Amortised cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the "effective interest rate / method" of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment.

The effective interest rate is the rate that exactly discounts estimated future cash receipts or payments through the expected life of the financial instrument or, where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability. When calculating the effective interest rate, the Group estimates cash flows considering all contractual terms of the financial instrument but excluding future credit losses. The calculation includes all amounts paid or received by Group that are an integral part of the effective interest rate of a financial instrument, including transaction costs and all other premiums or discounts.

(vi) Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

When applicable, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

3 Significant accounting policies *(continued)*

(b) Financial assets and liabilities *(continued)*

(vi) Fair value measurement (continued)

When there is no quoted price in an active market, the Group uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Group determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognized in the consolidated statement of profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is supported wholly by observable market data or the transaction is closed out.

If an asset or a liability measured at fair value has a bid price and an ask price, the Group measures assets and long positions at a bid price and liabilities and short positions at an ask price.

Portfolios of financial assets and financial liabilities that are exposed to market risk and credit risk that are managed by the Group on the basis of the net exposure to either market or credit risk, are measured on the basis of a price that would be received to sell a net long position or paid to transfer a net short position for a particular risk exposure.

The Group recognizes transfers between levels of the fair value hierarchy as at the end of the reporting period during which the change has occurred.

(vii) Identification and measurement of impairment

An assessment is made at each reporting date and periodically during the year to determine whether there is any objective evidence that financial assets not carried at fair value through profit or loss, are impaired. Financial assets are impaired when objective evidence indicates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

Objective evidence that financial assets are impaired can include significant financial difficulty of the borrower or issuer, default or delinquency by a borrower, restructuring of a loan or an advance by the Group on terms that the Group would not otherwise consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the group. In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

The Group considers evidence of impairment at both specific and collective levels. All individually significant assets are assessed for specific impairment. All individually significant assets found not to be specifically impaired are required to be collectively assessed for any impairment that has been incurred but not yet identified. Assets that are not individually significant are collectively assessed for impairment by grouping together financial assets with similar risk characteristics.

3 Significant accounting policies *(continued)*

(b) Financial assets and liabilities *(continued)*

(vii) Identification and measurement of impairment (continued)

In assessing collective impairment the Group uses IFRS and Central Bank of UAE guidelines to establish a statistical modelling which incorporates historical trends of the probability of default, timing of recoveries and the amount of loss incurred, adjusted for management's judgement as to whether current economic and credit conditions are such that the actual losses are likely to be greater or lesser than suggested by historical modelling. Default rates, loss rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure that they remain appropriate.

Impairment losses on financial assets carried at amortised cost are measured as the difference between the carrying amount of the financial assets and the present value of estimated cash flows discounted at the original effective interest rate. Impairment losses are recognised in the consolidated statement of profit or loss and reflected in an allowance account against such financial assets. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through the consolidated statement of profit or loss.

Impairment losses on available-for-sale investment securities are recognised by transferring the difference between the amortised acquisition costs and current fair values out of other comprehensive income to the consolidated statement of profit or loss. When a subsequent event causes the amount of impairment loss on available-for-sale debt security to decrease, the impairment loss is reversed through the consolidated statement of profit or loss. However, any subsequent recovery in the fair value of an impaired available-for-sale equity investment is recognised in other comprehensive income.

Impairment losses on an unquoted equity instruments that are carried at cost because their fair value cannot be reliably measured, are measured as the difference between the carrying amount of the financial assets and the present values of estimated future cash flows discounted at the current market rate of return for similar financial assets. Such impairment losses shall not be reversed.

(c) Cash and cash equivalents

For the purpose of consolidated statement of cash flows, cash and cash equivalents comprise cash, balances with central banks and due from banks and financial institutions with original maturities of less than three months, which are subject to insignificant risk of changes in fair value, and are used by the Group in the management of its short-term commitments.

Cash and cash equivalents are non-derivative financial assets stated at amortised cost in the consolidated statement of financial position.

(d) Investments at fair value through profit or loss

These are financial assets classified as held for trading or designated as such upon initial recognition.

Held for trading financial assets includes debt securities, treasury bills, equity securities, short positions in securities and funds. They have been acquired or incurred principally for the purpose of selling or repurchasing in the near term, or they form part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent pattern of short-term profit-taking. In addition, derivatives that are not effective accounting hedging instruments are carried at fair value through profit or loss.

Notes to the consolidated financial statements

3 Significant accounting policies *(continued)*

(d) Investments at fair value through profit or loss *(continued)*

Financial assets designated at fair value through profit or loss applies to groups of financial assets where performances are evaluated and managed on a fair value basis in accordance with a documented risk management or investment strategy.

These financial assets are initially recognised and subsequently measured at fair value with transaction costs taken directly to the consolidated statement of profit or loss. All related realised and unrealised gains or losses are included in net gain on investments.

(e) Due from banks and financial institutions

These are non-derivative financial assets that are stated at amortised cost, less any allowance for impairment.

(f) Reverse repurchase agreements

Assets purchased with a simultaneous commitment to resell at a fixed price on a specified future date are not recognised. The amount paid to the counterparty under these agreements is shown as reverse repurchase agreements in the consolidated statement of financial position. The difference between purchase and resale price is treated as interest income and accrued over the life of the reverse repurchase agreement and charged to the consolidated statement of profit or loss using the effective interest rate method.

(g) Loans and advances

Loans and advances are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and that the Group does not intend to sell immediately or in the near term.

Loans and advances include loans and advances originated by the Bank which are not classified as held for trading or designated at fair value. Loans and advances are recognised when cash is advanced to a borrower. They are derecognised when either the borrower repays its obligations, or the loans are sold or written off. These are initially measured at fair value (being the transaction price at inception) plus incremental direct transaction costs and subsequently measured at amortised cost using the effective interest rate method, adjusted for effective fair value hedges for the risk being hedged, net of interest suspended and provisions for impairment.

Loans and advances include direct finance provided to customers such as overdrafts, credit cards, term loans, finance lease receivables and commercial bills.

When the Group is the lessor in a lease agreement that transfers substantially all of the risks and rewards incidental to ownership of the asset to the lessee, the arrangement is classified as a finance lease and a receivable equal to the net investment in the lease is recognised and presented within loans and advances.

In determining whether an arrangement is a lease, the Group ascertains the substance of the arrangement and assesses whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and whether the arrangement conveys a right to use the assets.

Notes to the consolidated financial statements

3 Significant accounting policies *(continued)*

(h) Islamic financing and investing contracts

The Group engages in Shari'ah compliant Islamic banking activities through various Islamic instruments such as Ijara, Murabaha, Mudaraba and Wakala.

(i) Definitions

Ijara
Ijara consists of Ijara muntahia bitamleek.

Ijara financing is an agreement whereby the Group (lessor) leases or constructs an asset based on the customer's (lessee) request and promise to lease the assets for a specific period against certain rent instalments. Ijara could end in transferring the ownership of the asset to the lessee at the end of the lease period. Also, the Group transfers substantially all the risks and rewards related to the ownership of the leased asset to the lessee. Ijara income is recognised on an effective profit rate basis over the lease term.

Murabaha
A sale contract whereby the Group sells to a customer commodities and other assets at an agreed upon profit mark up on cost. The Group purchases the assets based on a promise received from customer to buy the item purchased according to specific terms and conditions. Profit from Murabaha is quantifiable at the commencement of the transaction. Such income is recognised as it accrues over the period of the contract on effective profit rate method on the balance outstanding.

Mudaraba
A contract between the Group and a customer, whereby one party provides the funds (Rab Al Mal) and the other party (the Mudarib) invests the funds in a project or a particular activity and any profits generated are distributed between the parties according to the profit shares that were pre‑agreed in the contract. The Mudarib would bear the loss in case of default, negligence or violation of any of the terms and conditions of the Mudaraba, otherwise, losses are borne by the Rab Al Mal. Income is recognised based on expected results adjusted for actual results on distribution by the Mudarib, whereas if the Group is the Rab Al Mal the losses are charged to the Group's consolidated income statement when incurred.

Wakala
An agreement between the Group and customer whereby one party (Rab Al Mal) provides a certain sum of money to an agent (Wakil), who invests it according to specific conditions in return for a certain fee (a lump sum of money or a percentage of the amount invested). The agent is obliged to guarantee the invested amount in case of default, negligence or violation of any of the terms and conditions of the Wakala. The Group may be Wakil or Rab Al Mal depending on the nature of the transaction.
Estimated income from Wakala is recognised on the effective profit rate basis over the period, adjusted by actual income when received. Losses are accounted for when incurred.

(ii) Revenue recognition

Ijara
Income from Ijara is recognised on a declining-value basis, until such time a reasonable doubt exists with regard to its collectability.

Murabaha
Income from Murabaha is recognised on a declining-value basis, until such time a reasonable doubt exists with regard to its collectability.

Mudaraba
Income or losses on Mudaraba financing are recognised on an accrual basis if they can be reliably estimated. Otherwise, income is recognised on distribution by the Mudarib, whereas the losses are charged to the consolidated statement of profit or loss on their declaration by the Mudarib.

3 Significant accounting policies *(continued)*

(h) Islamic financing and investing contracts *(continued)*

(ii) Revenue recognition (continued)

Wakala
Estimated income from Wakala is recognised on an accrual basis over the period, adjusted by actual income when received. Losses are accounted for on the date of declaration by the agent.

(i) Non-trading investments

Included in non-trading investments are available-for-sale assets which are initially recognised at fair value plus incremental transaction costs directly attributable to the acquisition.

After initial recognition, these investments are re-measured at fair value. For investments which are not part of an effective hedge relationship, unrealised gains or losses are recognised in other comprehensive income until the investment is derecognised or until the investment is determined to be impaired, at which time the cumulative gain or loss previously recognised in other comprehensive income, is included in the consolidated statement of profit or loss for the year. For investments which are part of an effective fair value hedge relationship, any unrealised gain or loss arising from a change in fair value is recognised directly in the consolidated statement of profit or loss to the extent of the changes in fair value being hedged.

Interest income is recognised on available-for-sale debt securities using the effective interest rate, calculated over the asset's expected life. Premiums and/or discounts arising on the purchase of debt investment securities are included in the calculation of their effective interest rates. Dividends on equity instruments are recognised in the statement of profit or loss when the right to receive payment has been established.

For the purpose of recognising foreign exchange gains and losses, an available-for-sale financial asset is treated as if it were carried at amortised cost in the foreign currency. Accordingly, for such a financial asset, exchange differences are recognised in the consolidated statement of profit or loss.

For unquoted equity investments where fair value cannot be reliably measured, these are carried at cost less provision for impairment in value. Upon de-recognition, the gain or loss on sale is recognised in the consolidated statement of profit or loss for the year.

Included in non-trading investments are held-to-maturity assets which are non-derivative assets with fixed or determinable payments and fixed maturity and that the Group has the positive intent and ability to hold them till maturity. These are initially recorded at fair value plus any directly attributable transaction costs, and are subsequently measured at amortised cost using the effective interest rate method, less any impairment losses.

A sale or reclassification of a more than insignificant amount of held-to-maturity investments would result in the reclassification of all held-to-maturity investments as available-for-sale, and would prevent the Group from classifying investment securities as held-to-maturity for the current and the following two financial years. However, sales and reclassifications in any of the following circumstances would not necessarily trigger a reclassification:

- sales or reclassifications that are so close to maturity that changes in the market rate of interest would not have a significant effect on the financial asset's fair value;
- sales or reclassifications after the Group has collected substantially all of the asset's original principal; and
- sales or reclassifications that are attributable to non-recurring isolated events beyond the Group's control that could not have been reasonably anticipated.

Notes to the consolidated financial statements

3 Significant accounting policies *(continued)*

(j) Investment properties

(i) Recognition and measurement

Investment properties are properties held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes. Investment properties are measured at cost as per the cost model under IAS 40- Investment property. Cost includes expenditure that is directly attributable to the acquisition of the asset.

When the use of a property changes such that it is reclassified as property and equipment, its original cost and the current carrying amount at the date of reclassification continue to be the cost and carrying amount of the asset for measurement and disclosures.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal.

Any income or expenses on the investment properties are recognised in the consolidated statement of profit or loss in other operating income or other operating expense respectively.

(ii) Depreciation

Depreciation is recognised in the consolidated statement of profit or loss on a straight-line basis over the estimated useful lives of investment properties. The estimated useful lives of investment properties for the current period are as follows:

Buildings and villas	20 to 50 years

Depreciation methods, useful lives and residual values are reassessed at every reporting date.

(iii) Impairment

The carrying amounts are reviewed at each reporting date for indication of impairment. If any such indication exists then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. An impairment loss is recognised in the consolidated statement of profit or loss to the extent that carrying values do not exceed the recoverable amounts.

(k) Property and equipment

(i) Recognition and measurement

All items of property and equipment are measured at cost less accumulated depreciation and impairment losses, if any. Capital projects in progress are initially recorded at cost and regularly tested for impairment and upon completion are transferred to the appropriate category of property and equipment and thereafter depreciated.

Cost includes expenditures that are directly attributable to the acquisition of the asset. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

Gains and losses on disposal of an item of property and equipment are determined by comparing the proceeds from disposal with the carrying amount of property and equipment and are recognised net within other operating income in the consolidated statement of profit or loss.

3 Significant accounting policies *(continued)*

(k) Property and equipment *(continued)*

(i) Recognition and measurement (continued)

Subsequent expenditures are only capitalised when it is probable that the future economic benefits of such expenditures will flow to the Group. On-going expenses are charged to consolidated statement of profit or loss as incurred.

(ii) Depreciation

Depreciation is recognised in the consolidated statement of profit or loss on a straight-line basis over the estimated useful lives of all property and equipment. Freehold land and capital work in progress are not depreciated.

The estimated useful lives of assets for the current and comparative period are as follows:

Buildings and villas	20 to 50 years
Office furniture and equipment	1 to 5 years
Alterations to premises	10 years
Safes	10 to 20 years
Computer systems and equipment	3 to 7 years
Vehicles	3 years

Depreciation methods, useful lives and residual values are reassessed at every reporting date.

(iii) Capital work in progress

Capital work in progress assets are assets in the course of construction for production, supply or administrative purposes, are carried at cost, less any recognised impairment loss. Cost includes all direct cost attributable to design and construction of the property capitalised in accordance with Group's accounting policy. When the assets are ready for the intended use, the capital work in progress is transferred to the appropriate property and equipment category and is depreciated in accordance with the Group's policies.

(iv) Impairment

The carrying amounts are reviewed at each reporting date for indication of impairment. If any such indication exists then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. An impairment loss is recognised in the consolidated statement of profit or loss to the extent that carrying values do not exceed the recoverable amounts.

(l) Collateral pending sale

Real estate and other collateral may be acquired as the result of settlement of certain loans and advances and are recorded as assets held for sale and reported in "Other assets". The asset acquired is recorded at the lower of its fair value less costs to sell and the carrying amount of the loan (net of impairment allowance) at the date of exchange. No depreciation is provided in respect of assets held for sale. Any subsequent write-down of the acquired asset to fair value less costs to sell is recorded as an impairment loss and included in the consolidated statement of profit or loss. Any subsequent increase in the fair value less costs to sell, to the extent this does not exceed the cumulative impairment loss, is recognised in the consolidated statement of profit or loss. The Group's collateral disposal policy is in line with the respective regulatory requirement of the regions in which the Group operates.

3 Significant accounting policies *(continued)*

(m) Due to banks and financial institutions, Customer accounts and other deposits and Commercial Paper

Due to banks and financial institutions, customer deposits and Commercial Paper are financial liabilities and are initially recognised at their fair value minus the transaction costs and subsequently measured at their amortised cost using the effective interest rate method.

(n) Repurchase agreements

Assets sold with a simultaneous commitment to repurchase at a fixed price on a specified future date are not derecognised. The liability to the counterparty for amounts received under these agreements is shown as repurchase agreements in the consolidated statement of financial position. The difference between sale and repurchase price is treated as interest expense and accrued over the life of the repurchase agreement and charged to the consolidated statement of profit or loss using the effective interest rate method.

(o) Term borrowings and subordinated notes

Term borrowings and subordinated notes include convertible notes that can be converted into share capital at the option of the holder, where the number of shares issued do not vary with changes in their fair value, are accounted for as compound financial instruments. The equity component of the convertible notes is calculated as the excess of issue proceeds over the present value of the future interest and principal payments, discounted at the market rate of interest applicable to similar liabilities that do not have a conversion option.

Term borrowings and subordinated notes without conversion option are financial liabilities and are initially recognised at their fair value minus the transaction costs and subsequently measured at their amortised cost using the effective interest rate method and adjusted to the extent of fair value changes for the risks being hedged.

(p) Share option scheme

On the grant date fair value of options granted to staff is estimated and the cost is recognised as staff cost, with a corresponding increase in equity, over the period required for the staff to become unconditionally entitled to the options. The amount recognised as an expense is adjusted to reflect the number of share options for which the related service conditions are expected to be met; as such the amount ultimately recognised as an expense is based on the number of share options that do meet the related service and non-market performance conditions at the vesting date. These shares may contribute to the calculation of dilutive EPS once they are deemed as potential ordinary shares.

(q) Interest

Interest income and expense are recognised in the consolidated statement of profit or loss using the effective interest rate method. The effective interest rate is the rate that exactly discounts estimated future cash receipts or payments through the expected life of the financial instrument or, where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability. When calculating the effective interest rate, the Group estimates cash flows considering all contractual terms of the financial instrument but excluding future credit losses. The calculation includes all amounts paid or received by Group that are an integral part of the effective interest rate of a financial instrument, including transaction costs and all other premiums or discounts. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability.

Notes to the consolidated financial statements

3 Significant accounting policies *(continued)*

(q) Interest *(continued)*

Interest income and expense presented in the consolidated statement of profit or loss include:

- interest on financial assets and liabilities at amortised cost on an effective interest rate basis.
- interest on available-for-sale investment securities on an effective interest rate basis.
- interest on held for trading securities and derivative financial instruments on an effective interest rate basis.

(r) Depositors' share of profit

Depositors' share of profit is amount accrued as expense on the funds accepted from banks and customers in the form of wakala and mudaraba deposits and recognised as expenses in the consolidated statement of profit or loss. The amounts are calculated in accordance with agreed terms and conditions of the wakala deposits and Sharia'a principles.

(s) Fee and commission

The Group earns fee and commission income from a diverse range of services provided to its customers. The basis of accounting treatment of fees and commission depends on the purposes for which the fees are collected and accordingly the revenue is recognised in consolidated statement of profit or loss. Fee and commission income is accounted for as follows:

- income earned from the provision of services is recognised as revenue as the services are provided;
- income earned on the execution of a significant act is recognised as revenue when the act is completed;
- income which forms an integral part of the effective interest rate of a financial instrument is recognised as an adjustment to the effective interest rate and recorded in "Interest income".

Fee and commission expense relates mainly to transaction and service fees which are expensed as the services are received.

(t) Zakat

Zakat represents islamic business zakat payable by the Group on behalf of its shareholders to comply with the principles of Sharia'a and is approved by the Sharia'a Supervisory Board. The Group's appointed Zakat Committee is mandated to recommend zakat distribution.

(u) Net gain on investments and derivatives

Net gain on investments and derivatives comprises realised and unrealised gains and losses on investments at fair value through profit or loss and derivatives, realised gains and losses on non-trading investments and dividend income. Net gain on investment at fair value through profit or loss includes changes in the fair value of financial assets and financial liabilities held for trading and net income from investments designated at fair value.

Gains and losses arising from changes in fair value of available for sale assets are recognised in the statement of other comprehensive income and recorded in fair value reserve with the exception of impairment losses, interest calculated using the effective interest rate method and foreign exchange gains and losses on monetary assets which are recognised directly in the consolidated statement of profit or loss. Where the investment is sold or realised, the cumulative gain or loss previously recognised in equity under fair value reserve is reclassified to the consolidated statement of profit or loss.

3 Significant accounting policies *(continued)*

(u) Net gain on investments and derivatives *(continued)*

Non-trading investment includes available for sale and held to maturity instruments.

Held to maturity investments that are not close to their maturity are not ordinarily sold. However when they are sold or realised, the gain or loss is recognised in the consolidated statement of profit or loss.

Dividend income is recognised when the right to receive payment is established.

(v) Foreign currency

(i) Foreign currency transactions

Transactions in foreign currencies are translated into the respective functional currencies of the Group entities at spot exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the spot exchange rates at the reporting date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and the amortised cost in foreign currency translated at the exchange rate at the end of the period. Foreign currency differences arising on retranslation are recognised in consolidated statement of profit or loss.

(ii) Foreign operations

The activities of subsidiaries and branches based outside the UAE are not deemed an integral part of the head office operations, as they are financially and operationally independent of the head office. The assets and liabilities of the subsidiaries and overseas branches are translated into UAE Dirhams at rates of exchange at the reporting date. Income and expense items are translated at average rates, as appropriate. Exchange differences (including those on transactions which hedge such investments) arising from retranslating the opening net assets, are taken directly to foreign currency translation adjustment account in other comprehensive income.

(w) Overseas income tax expense

Income tax expense is provided for in accordance with fiscal regulations of the respective countries in which the Group operates and is recognised in the consolidated statement of profit or loss. Income tax expense is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the reporting date and any adjustment to tax payable in respect of previous years.

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences: the initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss, and differences relating to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future. Deferred tax is measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on laws that have been enacted at the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

3 Significant accounting policies *(continued)*

(x) Derivative financial instruments and hedging

Derivatives are initially recognised, and subsequently measured at fair value with transaction costs taken directly to the consolidated statement of profit or loss. The fair value of a derivative is the equivalent of the unrealised gain or loss from marking to market the derivative or using valuation techniques, mainly discounted cash flow models.

The method of recognising the resulting fair value gains or losses depends on whether the derivative is held for trading, or is designated as a hedging instrument and, if so, the nature of the risk being hedged. All gains and losses from changes in fair value of derivatives held for trading are recognised in the consolidated statement of profit or loss. When derivatives are designated as hedges, the Group classifies them as either: (i) fair value hedges which hedge the exposure to changes in the fair value of a recognised asset or liability; (ii) cash flow hedges which hedge exposure to variability in cash flows that is either attributable to a particular risk associated with a recognised asset or liability or a highly probable forecast transaction; (iii) hedge of net investment which are accounted similarly to a cash flow hedge. Hedge accounting is applied to derivatives designated as hedging instruments in a fair value or cash flow, provided the criteria are met.

Embedded derivatives
Derivatives may be embedded in another contractual arrangement (a host contract). The Group accounts for an embedded derivative separately from the host contract when the host contract is not itself carried at fair value through profit or loss, the terms of the embedded derivative would meet the definition of a derivative if they were contained in a separate contract, and the economic characteristic and risks of the embedded derivative are not closely related to the economic characteristics and risk of the host contract. Separated embedded derivatives are measured at fair value, with all changes in fair value recognised in profit or loss unless they form part of a qualifying cash flow or net investment hedging relationship, and are presented separately from host contract in the consolidated statement of financial position.

Hedge accounting
It is the Group's policy to document, at the inception of a hedge, the relationship between hedging instruments and hedged items, as well as risk management objective and strategy. The policy also requires documentation of the assessment, at inception and on an on-going basis, of the effectiveness of the hedge.

The Group makes an assessment, both at the inception of the hedge relationship as well as on an on-going basis, as to whether the hedging instrument(s) is(are) expected to be highly effective in offsetting the changes in the fair value or cash flows of the respective hedged item(s) during the period for which the hedge is designated, and whether the actual results of each hedge are within a range of 80-125 percent. The Group makes an assessment for a cash flow hedge of a forecast transaction, as to whether the forecast transaction is highly probable to occur and presents an exposure to variations in cash flows that could ultimately affect profit or loss.

Fair value hedge
In relation to fair value hedges, any gain or loss from re-measuring the hedging instrument to fair value, as well as related changes in fair value of the item being hedged, are recognised immediately in the consolidated statement of profit or loss together with the changes in the fair value of the hedged item that are attributable to the hedged risk. Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or exercised, or no longer qualifies for hedge accounting. Any adjustment up to that period to the hedged item for which effective interest rate method was used is amortised to the consolidated statement of profit or loss as a part of the recalculated effective interest rate of the then hedged item over its remaining life.

3 Significant accounting policies *(continued)*

(x) Derivative financial instruments and hedging *(continued)*

Hedge accounting (continued)

Cash flow hedge
In relation to effective cash flow hedges, the gain or loss on the hedging instrument is recognised initially in other comprehensive income and transferred to the consolidated statement of profit or loss in the period in which the hedged transaction impacts the consolidated statement of profit or loss. Gains or losses, if any, relating to the ineffective portion, are recognised immediately in the consolidated statement of profit or loss. If the hedged transaction is no longer expected to occur, the net cumulative gain or loss recognised in other comprehensive income is transferred to the consolidated statement of profit or loss.

Net investments hedges
When a derivative instrument or a non-derivative financial liability is designated as the hedging instrument in a hedge of a net investment in a foreign operation, the effective portion of the changes in the fair value of the hedging instrument is recognised in other comprehensive income in the translation reserve. Any ineffective portion of the changes in the fair value of the derivative is recognised immediately in the consolidated statement of profit or loss. The amount recognised under other comprehensive income is reclassified to statement of profit or loss on disposal of the foreign operation.

Other derivatives
All gains and losses from changes in the fair values of derivatives that do not qualify for hedge accounting or are not designated as such are recognised immediately in the consolidated statement of profit or loss as a component of net gain on investments and derivatives or net foreign exchange gain.

(y) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Where the effect of time value of money is material, provisions are determined by discounting the expected future cash flows, at a pre-tax rate, that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

(z) Employees' end of service benefit

Defined contribution plan
A defined contribution plan is a post - employment benefit plan under which an entity pays fixed contributions into a separate entity or to a government organisation and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an employee benefit expense in consolidated statement of profit or loss in the periods during which services are rendered by employees.

Pension and national insurance contributions for eligible employees are made by the Bank to Pensions and Benefits Fund in accordance with the applicable laws of country where such contributions are made.

Notes to the consolidated financial statements

3 Significant accounting policies *(continued)*

(z) Employees' end of service benefit *(continued)*

Defined benefit plan

A defined benefit plan is a post - employment benefit plan other than a defined contribution plan. The liability recognised in the statement of financial position in respect of defined benefit gratuity plans is the present value of the defined benefit obligation at the end of the reporting period together with adjustments for unrecognised past - service costs. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high - quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation.

Remeasurements of the net defined benefit liability, which comprise actuarial gains and losses, the return on plan assets (excluding interest) and the effect of the asset ceiling (if any, excluding interest), are recognised immediately in OCI. Net interest expense and other expenses related to defined benefit plans are recognised in Staff cost in consolidated statement of profit or loss. When the benefits of a plan are changed or when a plan is curtailed, the resulting change in benefit that relates to past service or the gain or loss on curtailment is recognised immediately to profit or loss. The Group recognises gains and losses on the settlement of a defined benefit plan when the settlement occurs.

(aa) Directors' remuneration

Pursuant to Article 118 of the Commercial Companies Law No. 8 of 1984 and in accordance with the Bank's Articles of Association, Directors' shall be entitled for remuneration which shall not exceed 10 % of the net profits after deducting depreciation, reserves and distribution of dividends not less than 5% of capital to shareholders.

(ab) Fiduciary activities

Assets held in a fiduciary capacity are not treated as assets of the Group as they are only held in trust where the Group acts as a custodian on customers' behalf. The Group has no liability or obligations towards the customer on these assets held in trust . Accordingly, these assets are not included in these consolidated financial statements.

(ac) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, which comprise convertible notes and share options granted to staff.

(ad) Financial guarantees

Financial guarantees are contracts that require the Group to make specified payments to reimburse the holder for a loss it incurs because a specified party fails to meet its obligation when due in accordance with the contractual terms.

Certain financial guarantee contracts in the nature of credit default guarantees are not held for proprietary trading purposes and are treated as insurance contracts and accounted for under IFRS 4.

3 Significant accounting policies *(continued)*

(ad) Financial guarantees *(continued)*

For other financial guarantee contracts, these are initially recognised at their fair value (which is the premium received on issuance). The received premium is amortised over the life of the financial guarantee. The guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment (when a payment under the guarantee has become probable). The premium received on these financial guarantees is included within other liabilities.

(ae) Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Group's Chief Executive, being the chief operating decision maker, to make decisions about resources to be allocated to the segment and to assess its performance for which discrete financial information is available. Segment results that are reported to the Group Chief Executive include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

(af) Lease payments

Payments made under operating leases are recognised in the consolidated statement of profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease.

(ag) New standards and interpretations not yet adopted

A number of new standards, amendments to standards and interpretations have been issued that are applicable to the Group but are not yet effective for the year ended 31 December 2016, and have not been applied in preparing these consolidated financial statements:

IFRS 15 *Revenue from contracts with customer:* issued in May 2014 and establishes a five-step model to account for revenue arising from contracts with customers. Under IFRS 15, revenue is recognised at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer. It replaces existing all revenue recognition guidance, including IAS 18 Revenue, IAS 11 Construction Contracts and IFRIC Customer loyalty Programmes.

IFRS 15 is effective for annual period beginning on or after 1 January 2018, with early adoption permitted. The Group is assessing potential impact of this standard on its consolidated financial statements.

IFRS 16 IFRS 16 was issued in January 2016. It will result in almost all leases being recognised on the balance sheet, as the distinction between operating and finance leases is removed. Under the new standard, an asset (the right to use the leased item) and a financial liability to pay rentals are recognised. The only exceptions are short-term and low-value leases.

IFRS 16 is effective for annual period beginning on or after 1 January 2019, with early adoption permitted. As the accounting for lessors will not significantly change, the Group does not foresee any significant accounting impact on its consolidated financial statements.

3 Significant accounting policies *(continued)*

(ag) New standards and interpretations not yet adopted *(continued)*

IFRS 9

In July 2014, the IASB issued the final version of IFRS 9 Financial Instruments that replaces IAS 39 Financial Instruments: Recognition and Measurement and all previous versions of IFRS 9. IFRS 9 brings together all three aspects of the accounting for financial instruments project: classification and measurement, impairment and hedge accounting.

The impact of IFRS 9 will be dependent on the financial instruments that the Group holds, the economic conditions, as well as accounting elections and judgements that the Group will make in its consolidated financial statements when the standard becomes applicable. The Group is currently reviewing its accounting processes and internal controls related to reporting financial instruments which need to be aligned before the effective date. The Group has performed a preliminary assessment of the potential impact of adoption of IFRS 9 based on its positions and hedging relationships designated at 31 March 2016 under IAS 39. Overall, the Group expects no significant impact except on the loss allowance resulting in an impact on equity. As certain key assumptions relating to loss given defaults are currently under review, the impact of the loss allowance cannot be reliably determined.

Classification and measurement

The Group does not expect a significant impact on its balance sheet or equity on applying the classification and measurement requirements of IFRS 9. It expects to continue measuring at fair value all financial assets currently held at fair value. Quoted equity shares currently held as available-for-sale with gains and losses recorded in OCI will be measured at fair value through profit or loss instead, which will increase volatility in recorded profit or loss. The AFS reserve currently in accumulated OCI will be reclassified to opening retained earnings. Debt securities that are currently recorded as available for sale financial assets are expected to be measured at fair value through OCI under IFRS 9 as the Group expects not only to hold the assets to collect contractual cash flows but also to sell a significant amount on a relatively frequent basis.

The equity shares in non-listed companies are intended to be held for the foreseeable future. The Group expects to apply the option to present fair value changes in OCI, and, therefore, believes the application of IFRS 9 would not have a significant impact. If the Group were not to apply that option, the shares would be held at fair value through profit or loss, which would increase the volatility of recorded profit or loss.

Loans as well as receivables are held to collect contractual cash flows and are expected to give rise to cash flows representing solely payments of principal and interest. Thus, the Group expects that these will continue to be measured at amortised cost under IFRS 9. However, the Group will analyse the contractual cash flow characteristics of those instruments in more detail before concluding whether all those instruments meet the criteria for amortised cost measurement under IFRS 9.

Impairment

IFRS 9 requires the Group to record expected credit losses on all of its debt securities, loans and receivables, either on a 12-month or lifetime basis. The Group expects to apply the simplified approach and record lifetime expected losses on all receivables. The preliminary results of impact analysis suggest that the Group carries sufficient amount of provisions, but it will need to perform a more detailed analysis which considers all reasonable and supportable information, including forward-looking elements to determine the extent of the impact.

3 Significant accounting policies *(continued)*

(ag) New standards and interpretations not yet adopted *(continued)*

Hedge accounting

The Group believes that all existing hedge relationships that are currently designated in effective hedging relationships will still qualify for hedge accounting under IFRS 9. As IFRS 9 does not change the general principles of how an entity accounts for effective hedges, the Group does not expect a significant impact as a result of applying IFRS 9. The Group will assess possible changes related to the accounting for the time value of options, forward points or the currency basis spread in more detail in the future.

IFRS 9 is effective for annual periods beginning on or after 1 January 2018, with early application permitted. Except for hedge accounting, retrospective application is required but providing comparative information is not compulsory. For hedge accounting, the requirements are generally applied prospectively, with some limited exceptions. The Group plans to adopt the new standard on the required effective date.

Notes to the consolidated financial statements

4 Financial risk management

Introduction and overview

The Group is exposed to a variety of risks inherent in carrying out its business activities. Principal risks include credit, market (traded and non-traded interest rate and foreign currency related risks), liquidity and funding, capital, operational, and business continuity. The Group has institutionalized a risk management framework which seeks to effectively manage these risks.

This note presents information about the Group's exposure to each of the above risks, along with an overview of relevant frameworks, policies and processes for measuring and managing these risks.

Risk management framework

The Board of Directors (the "Board") has overall responsibility for the establishment and oversight of the Group's risk management framework and they are assisted by two board committees (Risk Management Committee and Audit Committee), and two management committees (Group Risk Committee ("GRC") and Group Assets and Liabilities Committee ("G-ALCO")).

- The Risk Management Committee (RMC), comprising of members from the Board, is responsible for recommending and setting the Group's risk strategy and policy guidelines, and subsequently monitoring adherence. RMC takes credit decisions above management's discretionary powers, defines risk limits within which the Group's management operates and also monitors the overall risks for the Group.

- The Audit Committee, a board level committee, exercises oversight to monitor compliance with regulatory guidelines and the Bank's internal policies and procedures.

The management committees are responsible for implementing the risk management framework. The major functions of the two management committees are given below:

- The GRC is accountable to the Board RMC in respect of all Risk Management facets within the Group. The primary function of the committee is to ensure that the Bank's policies and procedures incorporate sound risk management practices and that the same are implemented. It also reviews, and recommends to the Board, the risk appetite, risk limits, risk aspects of business strategy and planning, and approves risk policies & analytical models to ensure effective risk management.

- The G-ALCO is the driving force and key decision maker behind the structure and quality of the balance sheet. The G-ALCO is directly accountable to the RMC for ensuring that the risks within the Group Asset and Liability position are prudently managed by way of strong Bank policy and procedures and an appropriate risk framework. The G-ALCO must be constantly aware of and actively manage these risks and their potential impact on the Banks business and strategic objectives.

The Group manages risks using three lines of defence comprising of business units, control units and Internal Audit. Business units, as the first line of defence, identify and manage risk in their day-to-day activities by ensuring that activities are within the Group's risk appetite and are in compliance with all relevant internal policies and processes. Group Risk (comprising head office risk and risk functions embedded in business divisions) and Legal & Compliance division, as the second line of defence, establishes risk controls comprising of policies and processes while also providing oversight and independent challenge to the first line of defence. The Group Chief Risk Officer ("GCRO") has a direct reporting line to the RMC to ensure the independence of Group Risk from business. Internal audit, as the third line of defence, provides assurance to management and the Board of the effectiveness of risk management practices employed by the first two lines of defence. The Group Chief Audit Officer has a direct reporting line to the Board Audit Committee.

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(a) Credit risk

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and cause the Group to incur a financial loss. It arises principally from the Group's loans and advances, due from banks and financial institutions, reverse repurchase agreements and non-trading debt investments, derivative financial instruments and certain other assets.

For risk management purposes, credit risk arising on trading investments is managed independently, and reported as a component of market risk exposure.

Management of credit risk

The Group uses an internal risk rating system to assess the credit quality of corporate borrowers and counterparties. Each corporate borrower is assigned a rating, including classified accounts. The risk rating system has 11 grades, further segregated into 24 notches. Grades 1-8 are performing and Grades 9 -11 are non – performing. Non-performing grades are classified based on the below criteria:

Grade	Classification	Criteria	
		Corporate loans	Retail loans
9	Sub-standard loans	Arrears 90 days or more and shows some loss due to adverse factors that hinder repayment	Arrears 90 days or more
10	Doubtful loans	Based on available information, full recovery seems doubtful, leading to a loss on portion of these loans	Arrears 120 days or more
11	Loss loans	Probability of no recovery; after all available courses of action are exhausted	Arrears 180 days or more

The Performing loan portfolio of the Group based on the internal credit ratings is as follows:

Rating grade	Performing loans and advances	
	2016	2015
	AED'000	AED'000
1 – 4	**111,203,941**	129,088,419
5 – 6	**34,705,857**	25,932,438
7	**21,936,989**	18,617,851
8	**3,229,250**	3,758,947
Retail programme lending	**30,273,567**	28,794,228
	201,349,604	206,191,883

In addition, the Group manages credit risk by obtaining collateral where appropriate and limiting the duration of exposure. In certain cases, the Group may also close out transactions or assign them to other counterparties to mitigate credit risk. Credit risk in respect of derivative financial instruments is limited to those with positive fair values.

Credit risk arising from other financial instruments is managed by assigning limits, diversification of investment activities, limiting concentration of exposure to industry sectors, geographical locations and counterparties.

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Impairment:

The Group measures its exposure to credit risk by reference to the gross carrying amount of financial assets less amounts offset, interest suspended and impairment losses, if any. The carrying amount of financial assets represents the maximum credit exposure.

	Due from banks and financial institutions		Loans and advances		Non-trading investments	
	2016 AED'000	2015 AED'000	**2016 AED'000**	2015 AED'000	**2016 AED'000**	2015 AED'000
Individually impaired						
Substandard	**-**	-	**723,277**	1,750,262	**-**	-
Doubtful	**718**	718	**2,984,142**	2,347,374	**-**	3,342
Loss	**-**	-	**3,040,902**	2,785,672	**-**	-
Gross amount	**718**	718	**6,748,321**	6,883,308	**-**	3,342
Interest suspended	**-**	-	**(1,156,681)**	(1,036,665)	**-**	-
Specific allowance for impairment	**(718)**	(718)	**(2,287,034)**	(2,087,568)	**-**	-
Carrying amount	**-**	-	**3,304,606**	3,759,075	**-**	3,342
Past due but not impaired						
Past due comprises:						
Less than 30 days	**-**	-	**1,021,089**	342,240	**-**	-
31 – 60 days	**-**	-	**698,980**	608,016	**-**	-
61 – 90 days	**-**	-	**369,466**	272,687	**-**	-
More than 90 days	**-**	-	**870,404**	603,693	**-**	-
Carrying amount	**-**	-	**2,959,939**	1,826,636	**-**	-
Neither past due nor impaired	**8,523,107**	10,891,768	**198,389,665**	204,365,247	**64,441,924**	63,790,809
Collective allowance for impairment	**-**	-	**(4,122,399)**	(4,037,405)	**-**	-
Carrying amount	**8,523,107**	10,891,768	**200,531,811**	205,913,553	**64,441,924**	63,794,151

Non trading investment includes investment in equity instruments amounting to AED 42.7 million *(2015: AED 36.2 million)* which does not carry credit risk .

The category of neither past due nor impaired includes renegotiated loans amounting to AED 3,227 million *(2015: AED 2,673 million).*

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Impaired loans and advances and non-trading investments

Impaired loans and advances and non-trading investments are financial assets for which the Group determines that there is objective evidence that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the estimated future cash flows of the financial asset that can be reliably estimated.

Past due but not impaired

Past due but not impaired are accounts where either contractual principal or interest cash flows are past due but the assets are not impaired. When these accounts show weakness in the borrower's financial position and creditworthiness, and requires more than normal attention such weakness is specifically monitored to ensure that the quality of the asset does not further deteriorate. On this class of asset the Group believes that specific impairment is not appropriate at the current condition.

Loans with renegotiated terms

Loans with renegotiated terms are loans that have been restructured due to deterioration in the borrower's financial position and where the Group has made material concessions that it would not otherwise consider. Once a loan is restructured, it remains in this category for a minimum period of twelve months, in order to establish satisfactory track record of performance under the restructuring agreement. The Bank determines the twelve-month period to commence from the date of signing of the agreement for restructuring. On this class of asset the Group believes that specific impairment may not be required. In the last twelve months, the Group has renegotiated the following exposures:

	2016 AED'000	2015 AED'000
Renegotiated loans	**3,226,952**	2,673,243

Movement of renegotiated loans during the year

	2016 AED'000	2015 AED'000
Balance at the beginning of the year	**2,673,243**	1,301,787
Upgraded to neither past due nor impaired during the year or settled	**(593,565)**	(586,987)
Downgraded to individually impaired or past due but not impaired during the year	**(6,870)**	(526,770)
Additions during the year	**1,154,144**	2,485,213
Balance at the end of the year	**3,226,952**	2,673,243

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Allowances for impairment

The Group establishes an allowance for impairment losses on assets carried at amortised cost that represents its estimate of incurred losses in its loan portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loss allowance. In assessing the collective loss allowance, the Group applies IFRS and the central bank guidelines to cover incurred but not identified losses established for groups of homogeneous assets with similar risk characteristics that are indicative of the debtor's ability to pay amounts due according to the contractual terms on the basis of a credit risk evaluation or grading process that considers asset type, industry, geographical location, collateral type, past due status and other relevant factors. Future cash flows in a group of financial assets that are collectively evaluated for impairment are estimated on the basis of historical loss experience for assets with credit risk characteristics similar to those in the group.

Individually assessed loans are required to be classified as impaired as soon as there is objective evidence that an impairment loss has been incurred. Objective evidence of impairment includes observable data such as when contractual payment of principal or interest is overdue and there is known difficulties in the cash flows of counterparties, credit rating downgrades or original terms of the contractual repayment are unable to be met.

Write-off policy

The Group writes off a loan or investment balance (and any related allowances for impairment losses) when it determines that the loans or investments are uncollectible. This is determined after all possible efforts of collecting the amounts have been exhausted.

Collateral

The Group holds various types of collateral against loans and advances and reverse repurchase agreement in the form of mortgage interests over property, other securities, cash deposits and guarantees. The Group accepts sovereign guarantees and guarantees from well reputed local or international banks, well established local or multinational large corporate and high net-worth private individuals. When calculating provisions, discount factors as defined by the Central Bank of the UAE are applied to market value of the collateral. Collateral generally is not held against due from banks and financial institutions, and no such collateral was held at 31 December 2016 or 2015.

An estimate of the collateral coverage against non-performing loans and advances (including Islamic financing) is shown below:

	2016	2015
	AED'000	AED'000
Collateral value cover		
0 – 50%	**2,198,716**	2,227,378
50 – 100%	**839,071**	1,164,453
Above 100%	**3,710,534**	3,491,477
Total Gross non-performing loans	**6,748,321**	6,883,308

While the Group might not have repossessed significant amount of collateral in 2015 and 2016, however, the right to repossess these collaterals assist the Group in the restructuring and settlement of non-performing loans.

The Group monitors concentrations of credit risk by industry sector, counterparty and geographic location. An analysis of concentrations of credit risk at the reporting date is shown below:

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Concentrations by industry sector

	Loans and advances		Investments		Reverse repurchase agreements		Undrawn loan Commitments	
	2016 AED'000	2015 AED'000	**2016 AED'000**	2015 AED'000	**2016 AED'000**	2015 AED'000	**2016 AED'000**	2015 AED'000
Concentration by industry sector:								
Agriculture	**60,941**	121,016	**-**	-	**-**	-	**2,401**	3,025
Energy	**17,432,780**	16,715,572	**13,263,730**	11,369,131	**-**	-	**3,610,083**	4,895,118
Manufacturing	**14,093,970**	18,676,518	**98,859**	187,700	**-**	-	**4,887,167**	4,126,633
Construction	**10,436,678**	10,275,513	**51,811**	276,635	**-**	-	**4,323,859**	3,552,609
Real estate	**41,860,131**	37,729,525	**3,791**	55,237	**-**	-	**7,936,954**	5,197,494
Trading	**9,224,060**	10,797,566	**-**	69,644	**-**	-	**1,134,321**	2,149,929
Transport and communication	**19,504,913**	16,467,741	**3,576,438**	3,592,124	**-**	-	**4,053,922**	4,422,957
Banks	**14,950,955**	23,337,915	**26,915,550**	26,276,979	**8,661,666**	12,278,944	**797,793**	510,794
Other financial institutions	**20,401,184**	17,402,161	**8,760,973**	11,283,337	**904,913**	1,051,242	**2,173,537**	3,330,402
Services	**5,734,609**	5,768,988	**70,601**	94,728	**-**	-	**764,025**	888,396
Government	**17,900,011**	20,319,828	**24,653,294**	20,940,249	**-**	-	**78,028**	84,850
Supranational	**-**	-	**1,572,383**	1,939,525	**-**	-	**-**	-
Personal loans for consumption	**28,358,847**	25,961,457	**-**	-	**-**	-	**256,497**	237,613
Personal loans others	**7,972,043**	9,407,613	**-**	-	**-**	-	**496,280**	388,371
Others	**166,803**	93,778	**-**	-	**-**	-	**3,651**	2,147
	208,097,925	213,075,191	**78,967,430**	76,085,289	**9,566,579**	13,330,186	**30,518,518**	29,790,338

Investments include both investments at fair value through profit or loss and non-trading investments.
The above numbers are presented on a gross basis and are not adjusted for provisions or interest in suspense if any.

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Concentration by location:

	UAE AED'000	Europe AED'000	Arab countries AED'000	Americas AED'000	Asia AED'000	Others AED'000	Total AED'000
As at 31 Dec 2016							
Cash and balances with central banks	**21,714,354**	**54,240,386**	**3,065,775**	**19,638,035**	**6,049**	**-**	**98,664,599**
Investments at fair value through profit or loss	**6,862,195**	**1,569,606**	**3,584,586**	**417,168**	**2,062,108**	**29,843**	**14,525,506**
Due from banks and financial institutions	**165,837**	**7,138,067**	**678,929**	**409,671**	**89,472**	**41,131**	**8,523,107**
Reverse repurchase agreements	**3,756,726**	**2,616,857**	**2,990,065**	**202,931**	**-**	**-**	**9,566,579**
Derivative financial instruments	**2,072,392**	**7,861,077**	**1,691,892**	**39,982**	**242,618**	**111,445**	**12,019,406**
Loans and advances	**124,738,352**	**33,848,967**	**23,327,195**	**13,535,292**	**10,396,279**	**2,251,840**	**208,097,925**
Non trading investments	**22,435,805**	**15,418,479**	**8,880,439**	**6,607,521**	**10,108,667**	**991,013**	**64,441,924**
	181,745,661	**122,693,439**	**44,218,881**	**40,850,600**	**22,905,193**	**3,425,272**	**415,839,046**
As at 31 Dec 2015							
Cash and balances with central banks	56,088,919	8,676,576	4,916,552	6,686,811	13,251	-	76,382,109
Investments at fair value through profit or loss	4,259,257	3,604,090	2,206,610	1,022,383	1,175,800	22,998	12,291,138
Due from banks and financial institutions	132,456	9,195,874	1,038,278	172,239	339,510	13,411	10,891,768
Reverse repurchase agreements	2,492,191	3,086,686	7,732,044	19,265	-	-	13,330,186
Derivative financial instruments	2,564,811	5,448,967	2,299,616	66,084	139,955	54,658	10,574,091
Loans and advances	123,326,698	36,091,915	22,290,748	13,366,544	15,767,657	2,231,629	213,075,191
Non trading investments	16,000,404	17,284,440	9,292,509	7,721,670	12,130,287	1,364,841	63,794,151
	204,864,736	83,388,548	49,776,357	29,054,996	29,566,460	3,687,537	400,338,634

Concentration by location for investments is measured based on the location of the issuer of the security. Concentration by location for all others is measured based on the residential status of the borrower. The above numbers are presented on a gross basis and are not adjusted for provisions or interest in suspense if any. Concentration by location for undrawn commitments are stated in note 38 of these consolidated financial statements.

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Classification of trading securities and non-trading investments as per their external ratings:

	Non-trading investments		Investments at fair value through profit or loss	
	2016 AED'000	2015 AED'000	**2016 AED'000**	2015 AED'000
AAA	**7,379,206**	8,737,990	**13,701**	215,396
AA to A	**46,484,287**	43,655,663	**12,238,671**	7,603,105
BBB to B	**8,810,341**	10,037,106	**1,156,151**	2,475,005
Unrated	**1,768,090**	1,363,392	**1,116,983**	1,997,632
	64,441,924	63,794,151	**14,525,506**	12,291,138

Unrated investments primarily consist of investments in Government related entities and investments in equities and funds. Investments at fair value through profit or loss are neither past due nor impaired.

Classification of trading securities and non-trading investments as per their counterparties:

	Non-trading investments		Investments at fair value through profit or loss	
	2016 AED'000	2015 AED'000	**2016 AED'000**	2015 AED'000
Government sector	**22,399,958**	20,024,093	**2,253,336**	916,156
Supranational	**549,922**	370,400	**1,022,461**	1,569,128
Public sector	**20,187,676**	18,308,431	**1,021,748**	2,820,260
Banking sector	**17,947,298**	21,276,123	**8,968,252**	5,000,856
Corporate / private sector	**3,357,070**	3,815,104	**1,259,709**	1,984,738
	64,441,924	63,794,151	**14,525,506**	12,291,138

Settlement risk

The Group's activities may give rise to risk at the time of settlement of transactions and trades. Settlement risk is the risk of loss due to the failure of a counterparty to honour its obligations to deliver cash, securities or other assets as contractually agreed. Any delay in settlement is rare and monitored.

Derivative related credit risk

Credit risk in respect of derivative financial instruments arises from the potential for a counterparty to default on its contractual obligations and is limited to the positive market value of instruments that are favourable to the Group. The positive market value is also referred to as the "replacement cost" since it is an estimate of what it would cost to replace transactions at prevailing market rates if a counterparty defaults. The majority of the Group's derivative contracts are entered into with other banks and financial institutions.

4 Financial risk management *(continued)*

(b) Liquidity risk

Liquidity risk is defined as the risk that the Group is unable to meet its financial obligations as and when they fall due or that it can only do so at an excessive cost.

Liquidity risk arises from cash flows generated by assets and liabilities, including derivatives and other off-balance sheet commitments, not being matched in currency, size, and term, thereby creating financing needs which potentially cannot be met without incurring substantially higher costs or at any cost at all.

Management of liquidity risk
The Group has defined the liquidity risk appetite at a level so as to ensure that the Group has a controlled liquidity risk position with adequate cash or cash-equivalents to be able to meet its financial obligations, in all foreseeable circumstances and without incurring substantial additional costs, for a rolling period of three months. . The risk appetite is supported by a comprehensive risk management framework that includes Group ALCO approved limits for key funding and liquidity metrics , stress testing and a contingency funding plan.

The liquidity risk appetite is also defined at a level to ensure continued compliance with current and proposed liquidity regulation from both domestic and international regulators, and aligned to support the Group's external credit rating objectives.

NBAD has been internally reporting Basel iii LCR numbers for a considerable period of time , and has invested heavily in ensuring systems and controls are a framework is in place to comply with all of the qualitative aspects of the Basel iii and UAE Central Bank ii liquidity regulation. During 2016 NBAD undertook an independent review of this framework and was subsequently granted approval from the CBUAE to adopt the Basel iii LCR as its official liquidity regulation effective from the 1st October 2016.

Liquidity limits are defined at the Group level and are cascaded down throughout the organisation to ensure that the Group complies with the defined Group Liquidity Risk appetite. International limits are cascaded to ensure compliance with any additional local regulatory requirements on liquidity management.

All liquidity policies and procedures are subject to review and approval by G-ALCO.

Exposure to liquidity risk
The contractual asset and liability maturity mismatch report without considering the Group's retention history is detailed below.

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(b) Liquidity risk *(continued)*

The maturity profile of the assets and liabilities at 31 December 2016 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Unspecified maturity AED'000
Assets							
Cash and balances with central banks	**98,664,599**	98,208,992	455,607	-	-	-	-
Investments at fair value through profit or loss	**14,525,506**	6,013,245	2,580,915	3,952,291	345,852	1,633,203	-
Due from banks and financial institutions	**8,523,107**	8,450,685	72,422	-	-	-	-
Reverse repurchase agreements	**9,566,579**	6,364,061	3,202,518	-	-	-	-
Derivative financial instruments	**12,019,406**	1,937,664	1,683,453	2,274,254	1,681,947	4,442,088	-
Loans and advances	**200,531,811**	36,261,443	16,631,619	48,835,398	33,714,947	65,088,404	-
Non-trading investments	**64,441,924**	2,707,170	4,611,508	4,972,213	22,881,893	29,269,140	-
Other assets	**9,545,979**	7,159,484	2,386,495	-	-	-	-
Investment properties	**45,604**	-	-	-	-	-	45,604
Property and equipment	**2,848,985**	-	-	-	-	-	2,848,985
	420,713,500	**167,102,744**	**31,624,537**	**60,034,156**	**58,624,639**	**100,432,835**	**2,894,589**
Liabilities and equity							
Due to banks and financial institutions	**40,963,741**	37,147,059	3,623,556	-	193,126	-	-
Repurchase agreements	**17,222,136**	17,222,136	-	-	-	-	-
Commercial Paper	**7,372,911**	6,429,925	942,986	-	-	-	-
Derivative financial instruments	**13,380,789**	1,680,401	1,408,369	2,521,696	2,307,254	5,463,069	-
Customer accounts and other deposits	**253,382,492**	217,764,581	28,929,194	5,474,442	869,291	344,984	-
Term borrowings	**28,915,650**	3,038,818	1,621,984	14,849,443	3,910,125	5,495,280	-
Other liabilities	**12,614,291**	9,460,719	3,153,572	-	-	-	-
Subordinated notes	**355,987**	-	-	-	-	355,987	-
Equity	**46,505,503**	-	-	-	-	-	46,505,503
	420,713,500	**292,743,639**	**39,679,661**	**22,845,581**	**7,279,796**	**11,659,320**	**46,505,503**
Undrawn commitments to extend credit	**30,518,518**	1,357,208	3,648,834	9,753,372	8,687,629	7,071,475	-
Financial guarantees	**510,562**	-	2,105	327,112	181,345	-	-
Trade contingencies	**106,035,033**	27,356,812	12,456,648	24,831,821	9,605,772	31,783,980	-

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(b) Liquidity risk *(continued)*

The maturity profile of the assets and liabilities at 31 December 2015 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Unspecified maturity AED'000
Assets							
Cash and balances with central banks	**76,382,109**	75,844,493	537,616	-	-	-	-
Investments at fair value through profit or loss	**12,291,138**	1,760,823	3,607,247	3,272,508	622,175	3,028,385	-
Due from banks and financial institutions	**10,891,768**	10,632,741	258,309	718	-	-	-
Reverse repurchase agreements	**13,330,186**	10,671,882	2,658,304	-	-	-	-
Derivative financial instruments	**10,574,091**	972,618	1,382,894	2,828,035	1,508,624	3,881,920	-
Loans and advances	**205,913,553**	42,993,900	19,996,303	37,620,046	46,069,522	59,233,782	-
Non-trading investments	**63,794,151**	4,488,104	2,484,621	8,313,096	16,076,948	32,431,382	-
Other assets	**10,550,483**	7,912,863	2,637,620	-	-	-	-
Investment properties	**190,546**	-	-	-	-	-	190,546
Property and equipment	**2,645,782**	-	-	-	-	-	2,645,782
	406,563,807	**155,277,424**	**33,562,914**	**52,034,403**	**64,277,269**	**98,575,469**	**2,836,328**
Liabilities and equity							
Due to banks and financial institutions	**39,502,515**	35,932,138	3,351,702	18,873	199,802	-	-
Repurchase agreements	**30,550,652**	27,963,532	2,587,120	-	-	-	-
Commercial Paper	**8,720,597**	7,125,622	1,594,975	-	-	-	-
Derivative financial instruments	**12,852,358**	1,270,786	1,161,440	2,856,894	2,199,441	5,363,797	-
Customer accounts and other deposits	**233,814,558**	209,805,846	19,503,593	3,490,452	634,750	379,917	-
Term borrowings	**21,046,668**	-	3,305,700	6,960,540	7,605,842	3,174,586	-
Other liabilities	**15,582,508**	11,686,881	3,895,627	-	-	-	-
Subordinated notes	**1,275,298**	914,205	-	-	-	361,093	-
Equity	**43,218,653**	-	-	-	-	-	43,218,653
	406,563,807	**294,699,010**	**35,400,157**	**13,326,759**	**10,639,835**	**9,279,393**	**43,218,653**
Undrawn commitments to extend credit	**29,790,338**	2,661,071	6,740,535	10,013,062	6,255,392	4,120,278	-
Financial guarantees	**995,631**	202,015	57,217	562,400	173,999	-	-
Trade contingencies	**116,445,435**	26,202,477	10,963,788	36,715,359	14,205,318	28,358,493	-

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(b) Liquidity risk *(continued)*

The table below summarizes the maturity profile of the Group's financial liabilities based on contractual undiscounted repayment obligations.

Liabilities	Total AED'000	Gross nominal cash flows AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000
As at 31 December 2016							
Due to banks and financial institutions	**40,963,741**	**41,223,153**	**37,370,105**	**3,659,825**	**-**	**193,223**	**-**
Repurchase agreements	**17,222,136**	**17,261,173**	**17,261,173**	**-**	**-**	**-**	**-**
Commercial Paper	**7,372,911**	**7,378,357**	**6,431,892**	**946,465**	**-**	**-**	**-**
Customer accounts and other deposits	**253,382,492**	**254,437,528**	**217,967,876**	**29,263,619**	**5,757,941**	**1,009,750**	**438,342**
Term borrowings	**28,915,650**	**41,611,439**	**3,261,260**	**1,974,276**	**15,884,792**	**4,150,321**	**16,340,790**
Subordinated notes	**355,987**	**623,181**	**-**	**19,339**	**38,838**	**38,945**	**526,059**
	348,212,917	**362,534,831**	**282,292,306**	**35,863,524**	**21,681,571**	**5,392,239**	**17,305,191**
Undrawn commitments to extend credit	**30,518,518**	**30,518,518**	**28,660,000**	**941,158**	**636,275**	**28,978**	**252,107**
Financial guarantees	**510,562**	**510,562**	**510,562**	**-**	**-**	**-**	**-**
As at 31 December 2015							
Due to banks and financial institutions	**39,502,515**	39,552,724	35,955,521	3,377,651	19,650	199,902	-
Repurchase agreements	**30,550,652**	30,604,006	28,006,870	2,597,136	-	-	-
Commercial Paper	**8,720,597**	8,767,152	7,165,217	1,601,935	-	-	-
Customer accounts and other deposits	**233,814,558**	234,765,736	209,960,176	19,750,772	3,879,092	704,023	471,673
Term borrowings	**21,046,668**	26,290,056	191,481	3,600,335	7,729,179	8,012,497	6,756,564
Subordinated notes	**1,275,298**	1,589,004	917,341	20,540	40,469	40,691	569,963
	334,910,288	**341,568,678**	**282,196,606**	**30,948,369**	**11,668,390**	**8,957,113**	**7,798,200**
Undrawn commitments to extend credit	**29,790,338**	29,790,338	26,466,068	579,571	1,925,198	385,782	433,719
Financial guarantees	**995,631**	995,631	995,631	-	-	-	-

4 Financial risk management *(continued)*

(c) Market risk

Market risk is the risk that the Group's income and / or value of a financial instrument will fluctuate because of changes in market factors such as interest rates, credit spreads, foreign exchange rates and market prices of equity and commodity.

Management of market risk
The Group separates its exposure to market risk between trading and non-trading portfolios. Trading portfolios are held by the Wholesale - Global Markets Division, together with financial assets and financial liabilities that are managed on a fair value basis.

Overall authority for market risk is vested in the Group Risk Committee (GRC) and Group Asset & Liability Committee (G-ALCO), which sets limits for each type of risk in aggregate and for specific portfolios. Risk Group is responsible for the development of detailed risk management policies (subject to review and approval by the GRC).

Exposure to market risks – trading portfolios
The principal analytical tool used to measure and control market risk exposure within the Group's trading portfolios which comprise of investments at fair value through profit or loss and trading derivatives is Value at Risk ("VaR"). The VaR of a trading portfolio is the estimated loss that will arise on the portfolio over a specified period of time (holding period) from an adverse market movement with a specified probability (confidence level). The VaR model uses historical simulation based on a 99% confidence level and assumes a 1-day holding period. Using market data from the previous two years, and observed relationships between different markets and prices, the model generates a wide range of plausible future scenarios for market price movements.

The Group uses VaR limits for foreign exchange, interest rate and credit spread. The overall structure of VaR limits is subject to review and approval by the GRC. VaR limits are allocated to trading portfolios.

VaR is driven by actual historical observations and hence, it is not an estimate of the maximum loss that the Group could experience from an extreme market event. As a result of this limitation the VaR is further supplemented with other position and sensitivity limit structures, including limits to address potential concentration risks within each trading portfolio. Moreover the trading activity at Group and desk level is subject to Management Action Triggers ("MAT") that are limits on maximum losses that trigger actions from management. The VaR is as follows:

	As at		Average		Minimum		Maximum	
	2016	2015	**2016**	2015	**2016**	2015	**2016**	2015
	AED'000	AED'000	**AED'000**	AED'000	**AED'000**	AED'000	**AED'000**	AED'000
VaR – Trading Book	**17,489**	16,984	**14,874**	12,220	**10,434**	7,023	**20,528**	24,505
Foreign exchange	**4,655**	15,131	**7,168**	9,220	**3,355**	46	**18,143**	22,525
Interest Rate	**16,420**	6,549	**12,276**	6,663	**6,169**	5,294	**17,586**	11,011
Credit	**5,665**	3,869	**6,545**	3,618	**3,651**	1,910	**8,353**	5,346
Diversification benefit	**(9,251)**	(8,565)	**(11,115)**	(7,281)	**(2,741)**	(227)	**(23,554)**	(14,377)

Equity and commodity risks are not currently captured in the VaR model. These are under regular monitoring by the Risk Group through a set of market risk sensitivities, notional limits, and management action triggers.

4 Financial risk management *(continued)*

(c) Market risk *(continued)*

Exposure to market risk – banking portfolios

Exposure to Market Risk in the banking portfolios which comprise of non-trading investments, reverse repurchase agreements and certain derivative instruments which are designated as hedging instruments arises primarily from the investment portfolios, interest rate gaps in the banking book, and the Group's overall FX positions.

The principal analytical tool used to measure and control the investment risk exposure within the Group is Value at Risk ("VaR"). The VaR model is the same as the one used for the trading portfolios. The Group uses VaR limits for controlling the overall investment risk, including foreign exchange, interest rate and credit spread. The overall structure of VaR limits is subject to review and approval by the GRC. VaR limits are allocated to different Investment portfolios. The investment risk VaR was as follows:

	As at		Average		Minimum		Maximum	
	2016	2015	**2016**	2015	**2016**	2015	**2016**	2015
	AED'000	AED'000	**AED'000**	AED'000	**AED'000**	AED'000	**AED'000**	AED'000
VaR – Banking Book	**146,482**	97,072	**154,167**	84,105	**96,955**	59,546	**184,388**	103,427
Foreign exchange	**11,543**	14,591	**17,034**	8,219	**11,135**	1,579	**25,325**	21,576
Interest Rate	**46,154**	29,071	**34,802**	21,639	**26,381**	13,209	**64,735**	30,885
Credit	**141,606**	95,737	**150,193**	84,952	**95,631**	57,904	**183,194**	99,775
Diversification benefit	**(52,821)**	(42,327)	**(47,862)**	(30,705)	**(36,192)**	(13,146)	**(88,866)**	(48,809)

Interest rate risk

Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Group manages this risk principally through monitoring interest rate gaps and by matching the re-pricing profile of assets and liabilities. Overall interest rate risk positions are managed by using derivative instruments to manage overall position arising from the Group's interest bearing financial instruments. The use of derivatives to manage interest rate risk is described in note 39.

The substantial portion of the Group's assets and liabilities are re-priced within one year. Accordingly there is a limited exposure to interest rate risk.

Interest rate risk is also assessed by measuring the impact of reasonable possible change in interest rate movements. The Group assumes a fluctuation in interest rates of 50 basis points *(2015: 50 basis points)* and estimates the following impact on the net profit for the year and equity at that date:

	Net profit for the year		Equity	
	2016	**2015**	**2016**	2015
	AED'000	AED'000	**AED'000**	AED'000
Fluctuation in yield	**434,097**	341,366	**411,025**	325,071

The interest rate sensitivities set out above are illustrative only and employ simplified scenarios. They are based on AED 324,416 million *(2015: AED 303,986 million)* interest bearing assets and AED 262,116 million *(2015: AED 251,024 million)* interest bearing liabilities with interest re-pricing less than one year, for assessing the impact on net profit. The impact on equity includes the impact on net profit and the interest rate sensitivity on the available for sale portfolio. The sensitivity does not incorporate actions that could be taken by management to mitigate the effect of interest rate movements.

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(c) Market risk *(continued)*

The Group's interest rate gap and sensitivity position based on contractual re-pricing arrangements at 31 December 2016 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Non-interest bearing AED'000
Assets							
Cash and balances with central banks	98,664,599	91,496,418	455,607	-	-	-	6,712,574
Investments at fair value through profit or loss	14,525,506	8,657,313	2,591,180	1,330,138	324,080	610,864	1,011,931
Due from banks and financial institutions	8,523,107	7,225,204	-	-	-	-	1,297,903
Reverse repurchase agreements	9,566,579	6,364,062	3,202,517	-	-	-	-
Derivative financial instruments	12,019,406	-	-	-	-	-	12,019,406
Loans and advances	200,531,811	185,558,683	10,540,494	1,024,266	1,435,174	1,343,796	629,398
Non-trading investments	64,441,924	4,258,560	4,065,881	4,420,140	22,733,428	28,889,952	73,963
Other assets	9,545,979	-	-	-	-	-	9,545,979
Investment properties	45,604	-	-	-	-	-	45,604
Property and equipment	2,848,985	-	-	-	-	-	2,848,985
	420,713,500	303,560,240	20,855,679	6,774,544	24,492,682	30,844,612	34,185,743
Liabilities and equity							
Due to banks and financial institutions	40,963,741	35,480,211	3,623,186	19,045	193,126	-	1,648,173
Repurchase agreements	17,222,136	17,222,136	-	-	-	-	-
Commercial Paper	7,372,911	6,429,924	942,987	-	-	-	-
Derivative financial instruments	13,380,789	-	-	-	-	-	13,380,789
Customer accounts and other deposits	253,382,492	164,758,937	20,435,561	5,184,062	686,110	159,916	62,157,906
Term borrowings	28,915,650	12,815,885	406,675	6,717,531	3,480,279	5,495,280	-
Other liabilities	12,614,291	-	-	-	-	-	12,614,291
Subordinated notes	355,987	-	-	-	-	355,987	-
Equity	46,505,503	-	-	-	-	-	46,505,503
	420,713,500	236,707,093	25,408,409	11,920,638	4,359,515	6,011,183	136,306,662
On statement of financial position gap		66,853,147	(4,552,730)	(5,146,094)	20,133,167	24,833,429	(102,120,919)
Off statement of financial position gap		35,861,524	(3,596,462)	(3,656,533)	(9,670,541)	(19,311,814)	373,826
Total interest rate sensitivity gap		102,714,671	(8,149,192)	(8,802,627)	10,462,626	5,521,615	(101,747,093)
Cumulative interest rate sensitivity		102,714,671	94,565,479	85,762,852	96,225,478	101,747,093	-

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(c) Market risk *(continued)*

The Group's interest rate gap and sensitivity position based on contractual re-pricing arrangements at 31 December 2015 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Non-interest bearing AED'000
Assets							
Cash and balances with central banks	**76,382,109**	63,825,448	537,615	-	-	-	12,019,046
Investments at fair value through profit or loss	**12,291,138**	3,188,869	2,985,752	2,469,923	622,175	1,342,499	1,681,920
Due from banks and financial institutions	**10,891,768**	9,699,649	259,027	-	-	-	933,092
Reverse repurchase agreements	**13,330,186**	10,671,881	2,658,305	-	-	-	-
Derivative financial instruments	**10,574,091**	-	-	-	-	-	10,574,091
Loans and advances	**205,913,553**	186,893,571	13,963,140	1,392,181	1,945,374	1,365,226	354,061
Non-trading investments	**63,794,151**	6,958,927	2,344,295	6,852,960	15,639,730	31,825,636	172,603
Other assets	**10,550,483**	-	-	-	-	-	10,550,483
Investment properties	**190,546**	-	-	-	-	-	190,546
Property and equipment	**2,645,782**	-	-	-	-	-	2,645,782
	406,563,807	**281,238,345**	**22,748,134**	**10,715,064**	**18,207,279**	**34,533,361**	**39,121,624**
Liabilities and equity							
Due to banks and financial institutions	**39,502,515**	33,537,182	3,351,702	18,873	199,802	-	2,394,956
Repurchase agreements	**30,550,652**	27,963,532	2,587,120	-	-	-	-
Commercial Paper	**8,720,597**	7,125,622	1,594,975	-	-	-	-
Derivative financial instruments	**12,852,358**	-	-	-	-	-	12,852,358
Customer accounts and other deposits	**233,814,558**	153,391,129	15,876,123	3,444,461	607,537	376,310	60,118,998
Term borrowings	**21,046,668**	1,376,733	3,305,700	5,767,088	7,422,561	3,174,586	-
Other liabilities	**15,582,508**	-	-	-	-	-	15,582,508
Subordinated notes	**1,275,298**	914,205	-	-	-	361,093	-
Equity	**43,218,653**	-	-	-	-	-	43,218,653
	406,563,807	**224,308,403**	**26,715,620**	**9,230,422**	**8,229,900**	**3,911,989**	**134,167,473**
On statement of financial position gap		56,929,942	(3,967,486)	1,484,642	9,977,379	30,621,372	(95,045,849)
Off statement of financial position gap		19,620,165	7,412,516	146,045	(1,852,733)	(24,992,293)	(333,700)
Total interest rate sensitivity gap		**76,550,107**	**3,445,030**	**1,630,687**	**8,124,646**	**5,629,079**	**(95,379,549)**
Cumulative interest rate sensitivity		**76,550,107**	**79,995,137**	**81,625,824**	**89,750,470**	**95,379,549**	**-**

4 Financial Risk Management *(continued)*

(c) Market risk *(continued)*

Foreign exchange risk

Foreign exchange risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates and arises from financial instruments denominated in a foreign currency. The Group's functional currency is the UAE Dirham. The Board of Directors has set limits on positions by currency. Positions are closely monitored and hedging strategies are used to ensure positions are maintained within established limits. At 31 December, the Group had the following significant net exposures denominated in foreign currencies:

	Net spot position (short)/long AED'000	**Forward position (short)/long AED'000**	**Total 2016 (short)/long AED'000**	Total 2015 (short)/long AED'000
Currency				
US Dollar	(240,988)	20,770,132	20,529,144	20,149,100
UK Sterling Pound	(13,940,488)	13,592,130	(348,358)	(165,481)
Euro	50,450,833	(50,352,990)	97,843	(330,581)
Kuwaiti Dinar	(1,128,788)	(233,173)	(1,361,961)	(49,653)
Saudi Riyal	(192,590)	(1,471,559)	(1,664,149)	(6,302,232)
Japanese Yen	5,304,741	(5,107,081)	197,660	19,568
Swiss Franc	253,073	(180,828)	72,245	15,973
Qatari Riyal	(305,899)	808,369	502,470	1,676,614
Bahraini Dinar	207,638	(261,484)	(53,846)	(212,542)
Egyptian Pound	70,956	(76,843)	(5,887)	(54,441)
Jordanian Dinar	420,845	(104,680)	316,165	298,623
Indian Rupees	362,524	(15,644)	346,880	118,154
Malaysian Ringgit	1,175,328	(1,296,879)	(121,551)	(23,141)

As AED, SAR and QAR are pegged against US Dollar, the Group's risk exposure to these currencies is limited to that extent. Exposure to other foreign currencies is insignificant.

Equity price risk

Equity price risk arises from the change in fair values of equity investments. The Group manages this risk through diversification of investments in terms of geographical distribution and industry concentration.

(d) Operational risk

Operational risk is defined as the risk of losses resulting from inadequate or failed processes, people & systems or from external events, this includes legal and technology risk and excludes strategic and reputation risk.

Operational risks arise across all businesses in the Group. The primary responsibility to ensure that risks are managed and monitored resides with the businesses within the Group. Group's businesses are supported by Embedded risk functions and Group Operational Risk Management as 'second line of defence' to ensure robust risk management.

Further, there are reviews conducted by Group Internal Audit as the 'third line of defence'. The results of internal audit reviews are discussed with the management of the respective divisions and summaries are submitted to the Audit Committee.

Notes to the consolidated financial statements

4 Financial Risk Management *(continued)*

(d) Operational risk *(continued)*

The Group has an established Operational Risk framework consisting of policies and procedures to identify, assess, monitor, control, report and to manage risks and to notify, identify and rectify incidents. The Operational Risk framework also provides the interrelation with other risk categories. Where appropriate, risk is mitigated by way of insurance.

Typically, Operational Risk events are classified as:

- Internal fraud: Risk of unauthorized activity and fraud perpetrated by employees
- External fraud: Risk of fraud or breach of system security by an external party
- Employee practices & workplace safety: Risk of failures in employee relations, diversity and discrimination, and health and safety risks across the Group
- Damage to physical assets: Risk of impact to the Group due to natural disasters
- Clients, Products & Business Practices: Risk of failing in assessing client suitability, fiduciary responsibilities, improper business practices, flawed products and advisory activities.
- Business Disruption & System failures: Risk of not planning and testing business continuity and disaster recovery for systems
- Execution delivery and process management: Risk of failed transaction execution, customer intake and documentation, vendor management and monitoring and reporting.

The Board has oversight responsibilities for operational risk management across the Group. These responsibilities are delegated and exercised through the Group Risk Committee, which is the senior management forum responsible for the oversight of Operational Risk.

Key responsibilities of Group Risk Committee with regards to Operational risk include to ensure:

- Approval of the Group Operational Risk Management Framework and oversight over its implementation
- Approve large incidents as per the Operational Risk management approval matrix
- Approve the strategy and direction for Operational Risk across the group.

4 Financial Risk Management *(continued)*

(e) Capital management

CBUAE regulations govern regulatory capital requirements for the Group, in addition the overseas branches and subsidiaries may be directly supervised by their local regulators. The capital management process for the Group is linked to the overall business strategy to ensure that capital is adequate to the level of inherent risk in the business and within the firm's capital risk appetite The Group conducts capital planning in conjunction with the financial budgeting exercise.

The Board and top management define the long term strategic direction for the Group. This provides the framework for the development of a bottom up plan based on the projections from individual business units. The bottom up plan is an input to the annual budgeting process and is conducted at a business unit and country level. These are consolidated for each business division and finally, for the entire Group. Business units, within each division, develop forecasted balance sheet and P&L statements for the next year, by considering the following key parameters:

- the short term (one year) goals
- risk appetite & strategy
- target growth rates
- target returns

The Group's capital management policies aim to ensure that it has sufficient capital to cover the risks associated with its activities and the allocation of capital across the group The assessment of the various risks across the Group and their likely impact is carried out in conjunction with ICAAP undertaken annually. As part of the ICAAP process, GRMD identifies the various risks the Group is exposed to as part of its day-to-day operations. Next the Group assesses these risks against the existing policies and procedures, frameworks and methodologies, contingency plans and other processes to measure, manage and mitigate the impact of such risks. Finally the Group determines the risks which would be covered by capital.

The key objectives of the Group's capital management process are:

- Maintain sufficient capital to meet minimum capital requirement set by CBUAE as well as to ensure transition to Basel III in terms of capital ratios.
- Maintain sufficient capital to support Group's Risk Appetite and strategic objectives as per long-term strategic plan.
- Maintain adequate capital to withstand stress scenarios including increased capital requirements determined through ICAAP.
- To support the Group's credit rating.

The Group conducts a multi-year stress test exercise in which the Balance Sheet and Profit or Loss statements are determined for base case and stress scenarios. The risk factors are impacted by the assumptions made for the base and stress scenarios and the corresponding impact on the capital adequacy is determined. The Group uses macroeconomic stress tests in order to project capital need and capital levels under various unfavourable scenarios. The tests are perceived as an important tool in internal capital planning. The stress test result during 2016 shows that the Group has adequate capital in the event of adverse scenarios during the next 3-year period.

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(e) Capital management *(continued)*

The Group's regulatory capital adequacy ratio, set by the Central Bank of the UAE at a minimum level of 12% *(2015: 12%)*, of which Tier 1 is to be 8% *(2015: 8%)* is analysed into two tiers as follows:

	Basel II 2016 AED'000	Basel II 2015 AED'000
Tier 1 capital		
Ordinary share capital	**5,513,685**	5,463,885
Retained earnings	**7,375,675**	6,788,805
Statutory and special reserve	**5,254,546**	5,209,722
General reserve and share option scheme	**21,321,391**	19,283,274
Foreign currency translation reserve	**(178,138)**	(132,879)
Tier 1 capital notes	**6,754,750**	6,754,750
Deductions from Tier 1 capital	**(282,952)**	(269,355)
Total	**45,758,957**	43,098,202
Tier 2 capital		
Fair value reserve	**126,879**	(331,937)
Qualifying subordinated liabilities	**355,987**	361,093
Allowance for collective impairment	**2,851,153**	2,962,209
Deductions from Tier 2 capital	**(14,314)**	(15,752)
Total	**3,319,705**	2,975,613
Total regulatory capital base	**49,078,662**	46,073,815
Risk weighted assets:		
Credit risk	**228,092,256**	236,976,736
Market risk	**24,593,160**	20,397,958
Operational risk	**18,630,206**	17,883,226
Risk weighted assets	**271,315,622**	275,257,920
Tier 1 capital ratio	**16.87%**	15.66%
Capital adequacy ratio	**18.09%**	16.74%

The Bank and its overseas branches and subsidiaries have complied with all externally imposed capital requirements for all periods presented.

5 Use of estimates and judgements

In the process of applying the Group's accounting policies, IFRS require the management to select suitable accounting policies, apply them consistently and make judgements and estimates that are reasonable and prudent and would result in relevant and reliable information. The management, based on guidance in IFRS and the IASB's Framework for the Preparation and Presentation of Financial Statements has made these estimates and judgements. Listed below are those estimates and judgement which could have the most significant effect on the amounts recognised in the consolidated financial statements.

Key sources of estimation uncertainty

(i) Impairment charge on loans and advances and non-trading investments

Impairment losses are evaluated as described in accounting policy 3(b) (vii) and 4(a).

The Group evaluates impairment on loans and advances and non-trading investments on an ongoing basis and a comprehensive review on a quarterly basis to assess whether an impairment charge should be recognised in the consolidated statement of profit or loss. In particular, considerable judgement by management is required in the estimation of the amount and timing of future cash flows when determining the level of impairment charge required. In estimating these cash flows, management makes judgements about counterparty's financial situation and other means of settlement and the net realisable value of any underlying collateral. Such estimates are based on assumptions about several factors involving varying degrees of judgement and uncertainty, and actual results may differ resulting in future changes to such impairment charges.

(ii) Collective impairment charge

Collective impairment charge is evaluated as described in accounting policy 3(b) (vii) and 4(a) .

In addition to specific impairment charge against individually impaired assets, the Group also maintains a collective impairment allowance against portfolios of loans and advances with similar economic characteristics which have not been specifically identified as impaired. In assessing the need for collective impairment charge, management considers concentrations, credit quality, portfolio size and economic factors. In order to estimate the required allowance, assumptions are made to define the way inherent losses are modelled and to determine the required input parameters, based on historical and current economic conditions.

(iii) Impairment charge on property and equipment and investment properties

Impairment losses are evaluated as described in accounting policy 3(j) (iii) and 3(k)(iv).

In determining the net realisable value, the Group uses the selling prices determined by external independent valuer's companies, having appropriate recognised professional qualifications and recent experience in the location and category of property being valued. The selling prices are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction.

(iv) Contingent liability arising from litigations

Due to the nature of its operations, the Group may be involved in litigations arising in the ordinary course of business. Provision for contingent liabilities arising from litigations is based on the probability of outflow of economic resources and reliability of estimating such outflow. Such matters are subject to many uncertainties and the outcome of individual matters is not predictable with assurance.

(v) Share option scheme

The fair value of the share option scheme is determined using the Black-Scholes model. The model inputs comprise share price, exercise price, share price volatility, contractual life of the option, dividend yield and risk-free interest rate.

5 Use of estimates and judgements *(continued)*

Key sources of estimation uncertainty (continued)

(vi) Valuation of financial instruments

The valuation techniques of financial instruments may require certain unobservable inputs to be estimated by the management. These are discussed in detail in note 6.

(vii) Defined benefit plan

The present value of the defined benefit obligation depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost(income) for obligations include the discount rate. Any changes in these assumptions would impact the carrying amount of the defined benefit obligation.

The Group determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of the estimated future cash flows expected to be required to settle the future obligations. In determining the appropriate discount rate, the Group considers interest rate of high quality corporate bonds that are denominated in the currency in which the benefits will be paid and that have the terms to maturity approximating the terms of related benefit obligation.

Other key assumptions for defined benefit obligations are based in part on current market conditions. Additional information on these assumptions are disclosed in note 21.

Critical accounting judgements in applying the Group's accounting policies include:

(a) Financial asset and liability classification

The Group's accounting policies provide scope for financial assets and liabilities to be designated on inception into different accounting categories in certain circumstances:

In classifying financial assets as "fair value through profit or loss", "held-to-maturity" or "available-for-sale", the Group has determined it meets the description as set out in accounting policy 3(b) (ii).

(b) Qualifying hedge relationships

In designating financial instruments as qualifying hedge relationships, the Group has determined that it expects the hedge to be highly effective over the life of the hedging relationship.

(c) Determination of fair value hierarchy of financial instruments

The Group's determination of fair value hierarchy of financial instruments is discussed in note 6.

(d) Structured entities

For all funds managed by the Group, the investors are able to vote by simple majority to remove the Group as fund manager, and the Group's aggregate economic interest in each fund is not material. As a result, the Group has concluded that it acts as agent for the investors in these funds, and therefore has not consolidated these funds.

(e) Operating segments

In preparation of the segment information disclosure, the management has made certain assumptions to arrive at the segment reporting. These assumptions would be reassessed by the management on a periodic basis. Operating segments are detailed in note 41.

6 Financial assets and liabilities

(a) Valuation control framework

The Group has an established control framework with respect to the measurement of fair value. This framework includes a Valuation Committee that reports to the Group Risk Committee. The Group also has control functions to support this framework (Product Control, Independent Price Verification, Model Validation and Group Market Risk) that are independent of front office management. Specific controls include:

- Independence in valuation process between risk taking units and control units;
- System for valuations;
- Verification of observable pricing;
- Review and approval process for new models and changes to models;
- Analysis and investigation of significant daily valuation movements; and
- Review of significant unobservable inputs, valuation adjustments and significant changes to the fair value measurement of Level 3 instruments.

The fair values of due from banks and financial institutions, reverse repurchase agreement , due to banks and financial institutions, repurchase agreements and Customer accounts and other deposits which are predominantly short term in tenure and issued at market rates, are considered to reasonably approximate their book value.

The Group estimates that the fair value of its loans and advances portfolio is not materially different from its book value since the majority of loans and advances carry floating market rates of interest and are frequently re-priced. For loans considered impaired, expected cash flows, including anticipated realisation of collateral, were discounted using an appropriate rate and considering the time to collect, the net result of which is not materially different from the carrying value.

(b) Determination of fair values

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk. Consequently, differences can arise between book values and the fair value estimates. Underlying the definition of fair value is the presumption that the Group is a going concern without any intention or requirement to materially curtail the scale of its operation or to undertake a transaction on adverse terms.

The Group measures fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements:

Level 1: Quoted market price (unadjusted) in active market for an identical instrument.

Level 2: Valuation techniques based on observable inputs, either directly (i.e., as prices) or indirectly (i.e., derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3: Valuation techniques using unobservable inputs. This category includes all instruments where the valuation technique includes input not based on observable data and the unobservable input have a significant impact on the instrument's valuation. This category includes instruments that are valued based on quoted prices of similar instruments after making adjustments based on unobservable inputs that are necessary to reflect fair value of the instrument.

6 Financial assets and liabilities *(continued)*

(c) Valuation techniques

All financial assets and liabilities are measured at amortised cost except for derivatives, investment at fair value through profit or loss and available-for-sale investments which are measured at fair value by reference to published price quotations in an active market or from prices quoted by counterparties or through use of valuation techniques.

Fair value of financial assets and liabilities that are traded in active market are based on quoted market price or dealer price quotations. For all other financial instruments, the Group determines fair value using valuation techniques, such as discounted cash flow models, benchmarking against similar instruments for which observable market prices exist, Black-Scholes model or other valuation models. Each valuation technique models the behaviour of underlying market factors. These market factors include interest rates, credit spreads and other inputs used in estimating discount rates, bond prices, foreign exchange rates, equity and equity index prices, volatilities and correlations.

The objective of valuation techniques is to arrive at a fair value determination that reflects the price of the financial instrument at the reporting date that would have been determined by market participants acting at arm's length.

The Group uses widely recognised valuation models for determining the fair value of common financial instruments, such as interest rate and currency swaps that use only observable market data. Observable prices or model inputs are usually available in the market for listed debt and equity securities, exchange-traded derivatives and simple over-the-counter derivatives such as interest rate swaps. Availability of observable market prices and model inputs reduces the need for management judgement and estimation and also reduces the uncertainty associated with determining fair values. Availability of observable market prices and inputs varies depending on the products and markets and is prone to changes based on specific events and general conditions in the financial markets.

For more complex instruments, the Group uses third party valuation models, which are developed from recognised valuation models. These valuation models require expert judgement for the selection of the most appropriate valuation model to be used including input market data and underlying assumptions for the determination of fair value.

Model inputs and parameters can be calibrated against historical data and market prices for plain vanilla instruments, published forecasts and current or recent observed transactions in similar instruments. This calibration process is inherently subjective and it yields ranges of possible inputs and estimates of fair value, and expert judgement is required to select the most appropriate point in the range.

(d) Fair Value adjustments

Credit Valuation Adjustments ("CVA")
The Group modelled the CVA adjustment in 2016 taking into account trades subject to collateral and netting agreements. The methodology for CVA calculation relies on three components: a standard loss given default assumption of 60% is used for the exposures, the probability of default of the counterparty is implied from credit spreads or credit rating, the expected positive exposure is calculated using simulation methodology or simplified add-on approach. The methodology does not account for wrong way risk.

Model-related adjustments
Model related adjustments are applied when either model inputs are overly simplified or the model has limitations deriving the fair value of a position. These adjustments are required to correct existing model weaknesses or deficiencies that were highlighted during the model review process.

Notes to the consolidated financial statements

6 Financial assets and liabilities *(continued)*

(e) Fair value of financial instruments

The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2016:

	Designated at fair value through profit or loss AED'000	Held for trading AED'000	Available for sale AED'000	Held to maturity AED'000	Loans and receivables AED'000	Amortised cost AED'000	Carrying amount AED'000
Financial Assets							
Cash and balances with central banks	-	-	-	-	98,664,599	-	**98,664,599**
Investments at fair value through profit or loss	10,963	14,514,543	-	-	-	-	**14,525,506**
Due from banks and financial institutions	-	-	-	-	8,523,107	-	**8,523,107**
Reverse repurchase agreements	-	-	-	-	9,566,579	-	**9,566,579**
Derivative financial instruments	938,563	11,080,843	-	-	-	-	**12,019,406**
Loans and advances	-	-	-	-	200,531,811	-	**200,531,811**
Non-trading investments	-	-	58,410,308	6,031,616	-	-	**64,441,924**
Other assets	-	-	-	-	9,413,362	-	**9,413,362**
	949,526	**25,595,386**	**58,410,308**	**6,031,616**	**326,699,458**	**-**	**417,686,294**
Financial Liabilities							
Due to banks and financial institutions	-	-	-	-	-	40,963,741	**40,963,741**
Repurchase agreements	-	-	-	-	-	17,222,136	**17,222,136**
Commercial Paper	-	-	-	-	-	7,372,911	**7,372,911**
Derivative financial instruments	3,797,257	9,583,532	-	-	-	-	**13,380,789**
Customer accounts and other deposits	-	-	-	-	-	253,382,492	**253,382,492**
Term borrowings	-	-	-	-	-	28,915,650	**28,915,650**
Other liabilities[1]	-	1,246,122	-	-	-	10,485,636	**11,731,758**
Subordinated notes	-	-	-	-	-	355,987	**355,987**
	3,797,257	**10,829,654**	**-**	**-**	**-**	**358,698,553**	**373,325,464**

[1] *Other liabilities that are held for trading are classified as level 1 in the fair value hierarchy.*

Notes to the consolidated financial statements

6 Financial assets and liabilities *(continued)*

(e) Fair value of financial instruments *(continued)*

The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2015:

	Designated at fair value through profit or loss AED'000	Held for trading AED'000	Available for sale AED'000	Held to maturity AED'000	Loans and receivables AED'000	Amortised cost AED'000	Carrying amount AED'000
Financial Assets							
Cash and balances with central banks	-	-	-	-	76,382,109	-	**76,382,109**
Investments at fair value through profit or loss	11,343	12,279,795	-	-	-	-	**12,291,138**
Due from banks and financial institutions	-	-	-	-	10,891,768	-	**10,891,768**
Reverse repurchase agreements	-	-	-	-	13,330,186		**13,330,186**
Derivative financial instruments	1,098,136	9,475,955	-	-	-	-	**10,574,091**
Loans and advances	-	-	-	-	205,913,553	-	**205,913,553**
Non-trading investments	-	-	57,002,707	6,791,444	-	-	**63,794,151**
Other assets	-	-	-	-	10,396,640	-	**10,396,640**
	1,109,479	**21,755,750**	**57,002,707**	**6,791,444**	**316,914,256**	**-**	**403,573,636**
Financial Liabilities							
Due to banks and financial institutions	-	-	-	-	-	39,502,515	**39,502,515**
Repurchase agreements	-	-	-	-	-	30,550,652	**30,550,652**
Commercial Paper	-	-	-	-	-	8,720,597	**8,720,597**
Derivative financial instruments	3,900,635	8,951,723	-	-	-	-	**12,852,358**
Customer accounts and other deposits	-	-	-	-	-	233,814,558	**233,814,558**
Term borrowings	-	-	-	-	-	21,046,668	**21,046,668**
Other liabilities[1]	-	3,363,136	-	-	-	11,323,391	**14,686,527**
Subordinated notes	-	-	-	-	-	1,275,298	**1,275,298**
	3,900,635	**12,314,859**	**-**	**-**	**-**	**346,233,679**	**362,449,173**

[1] *Other liabilities that are held for trading are classified as level 1 in the fair value hierarchy.*

6 Financial assets and liabilities *(continued)*

(e) Fair value of financial instruments *(continued)*

The Group's financial assets and financial liabilities that are classified as loans and receivables and at amortised cost, are categorised under Level 3 in the fair value hierarchy, as there is no active market for such assets and liabilities. The Bank considers these to have a fair value approximately equivalent to their net carrying value as majority of such financial instrument carry variable interest rates and relatively short tenor of maturity.

(f) Financial instrument measured at fair value - hierarchy

The table below analyses financial instruments measured at fair value at the end of the reporting period, by the level in the fair value hierarchy into which the fair value measurement is categorised:

	Level 1 AED'000	Level 2 AED'000	Level 3 AED'000	Total AED'000
As at 31 December 2016				
Financial assets held for trading	**9,474,665**	**5,039,878**	**-**	**14,514,543**
Designated at fair value through profit and loss	**10,963**	**-**	**-**	**10,963**
Available-for-sale financial assets	**52,546,376**	**5,850,227**	**13,705**	**58,410,308**
Derivative financial instruments (Assets)	**4,303**	**12,015,103**	**-**	**12,019,406**
	62,036,307	**22,905,208**	**13,705**	**84,955,220**
Derivative financial instruments (Liabilities)	**(35,229)**	**(13,345,560)**	**-**	**(13,380,789)**
As at 31 December 2015				
Financial assets held for trading	7,615,381	4,664,414	-	12,279,795
Designated at fair value through profit and loss	11,343	-	-	11,343
Available-for-sale financial assets	51,042,765	5,946,136	13,806	57,002,707
Derivative financial instruments (Assets)	4,982	10,569,109	-	10,574,091
	58,674,471	21,179,659	13,806	79,867,936
Derivative financial instruments (Liabilities)	(73,799)	(12,778,559)	-	(12,852,358)

Certain available-for-sale investment securities have been disclosed under Level 3 of the fair value hierarchy as management has recorded these at cost in the absence of observable market data. Management has deemed cost to be a close approximation of their fair value.

There were no transfers between the fair value hierarchies for any financial asset or liability except for five bonds amounting to AED 663 million *(31 December 2015: AED Nil)* which moved from level 2 to level 1, additionally financial instrument amounting to AED Nil *(31 December 2015: AED 528 million)* which were transferred from Level 1 to Level 2 due to lack of direct pricing inputs.

The following table shows a reconciliation for instruments measured at fair value and classified as Level 3:

	2016 AED'000	2015 AED'000
Available-for-sale financial assets		
Balance as at 1 January	**13,806**	13,871
Settlements and other adjustments	**(101)**	(65)
Balance as at 31 December	**13,705**	13,806

Notes to the consolidated financial statements

7 Cash and balances with central banks

	2016 AED'000	2015 AED'000
Cash on hand	**1,384,327**	1,537,890
Central Bank of the UAE		
cash reserve deposits	**13,574,477**	12,286,267
certificates of deposits	**3,000,000**	41,055,045
other balances	**3,882,238**	1,339,930
Balances with other central banks		
cash reserve deposits	**1,787,177**	1,107,314
other deposits and balances	**75,036,380**	19,055,663
	98,664,599	76,382,109

Cash reserve deposits are not available for the day to day operations of the Group.

8 Investments at fair value through profit or loss

	2016 AED'000	2015 AED'000
Managed portfolios	**592,862**	1,339,604
Debt instruments	**13,513,575**	10,609,218
Equity instruments	**419,069**	342,316
	14,525,506	12,291,138

Equity instruments include investments designated at fair value through profit or loss amounting to AED 10,963 thousand *(2015: AED 11,343 thousand).*

9 Due from banks and financial institutions

	2016 AED'000	2015 AED'000
Current, call and notice deposits	**1,858,415**	1,904,795
Margin deposits	**6,098,970**	7,777,902
Fixed deposits	**565,722**	1,209,071
	8,523,107	10,891,768

10 Reverse repurchase agreements

The Group enters into reverse repurchase agreements in the normal course of business in which the third party transfers financial assets to the Group for short term financing. The carrying amount of financial assets at the reporting date amounted to AED 9,567 million *(2015: AED 13,330 million).*

No allowances for impairment have been recognised against reverse repurchase agreements during the year *(2015: nil).*

10 Reverse repurchase agreements *(continued)*

At 31 December 2016, the fair value of financial assets accepted as collateral that the Group is permitted to sell or re-pledge in the absence of default was AED 10,439 million *(2015: AED 14,077 million).*

At 31 December 2016, the fair value of financial assets accepted as collateral that have been sold or re-pledged was AED 5,537 million *(2015: AED 4,662 million)*. The Group is obliged to return equivalent securities.

These transactions are conducted under terms that are usual and customary to standard lending, and securities borrowing and lending activities.

11 Loans and advances

	2016	2015
	AED'000	AED'000
Gross loans and advances	**208,097,925**	213,075,191
Less: interest suspended	**(1,156,681)**	(1,036,665)
Less: allowance for impairment	**(6,409,433)**	(6,124,973)
Net loans and advances	**200,531,811**	205,913,553

An analysis of gross loans and advances by counterparty at the reporting date is shown below:

	2016	2015
	AED'000	AED'000
Government sector	**17,900,011**	20,319,828
Public sector	**44,542,134**	44,130,248
Banking sector	**14,950,955**	23,337,915
Corporate / private sector	**94,373,935**	89,918,130
Personal / retail sector	**36,330,890**	35,369,070
Gross loans and advances	**208,097,925**	213,075,191

An analysis of gross loans and advances by product as at the reporting date is shown below:

	2016	2015
	AED'000	AED'000
Overdrafts	**8,648,300**	12,076,158
Term loans	**123,716,285**	122,421,847
Trade related loans	**16,685,277**	24,557,531
Real estate	**26,215,367**	24,955,898
Mortgage loans	**13,932,692**	10,029,833
Personal loans	**15,206,073**	15,402,359
Credit cards	**1,782,790**	1,716,439
Vehicle financing loans	**1,475,780**	1,673,779
Others	**435,361**	241,347
Gross loans and advances	**208,097,925**	213,075,191

11 Loans and advances *(continued)*

The movement in the allowance for impairment during the year is shown below:

	2016 AED'000	2015 AED'000
At 1 January	**6,124,973**	6,668,084
Charge for the year		
Collective provision	**101,675**	503,282
Specific provision	**1,940,761**	1,476,162
Recoveries	**(395,561)**	(378,847)
Write-backs during the year	**(464,019)**	(685,050)
Amounts written off	**(898,396)**	(1,458,658)
At 31 December	**6,409,433**	6,124,973

The Group provides lending against investment in equity securities and funds. The Group is authorised to liquidate these instruments if their coverage falls below the certain agreed threshold. The carrying value of such loans is AED 7,192 million *(2015: AED 7,592 million)* and the fair value of instruments held as collateral against such loans is AED 19,604 million *(2015: AED 20,225 million)*. During the year, the Group has liquidated insignificant amount of collateral due to fall in the coverage ratio.

Islamic financing

Included in the above loans and advances are the following Islamic financing contracts:

	2016 AED'000	2015 AED'000
Ijara	**6,500,672**	5,534,022
Murabaha	**3,968,743**	3,667,084
Mudaraba	**37,226**	16,230
Others	**12,745**	12,405
Total Islamic financing contracts	**10,519,386**	9,229,741
Less: allowance for impairment	**(179,411)**	(83,699)
Less: suspended profit	**(635)**	(701)
	10,339,340	9,145,341

The movement in the allowance for impairment during the year is shown below:

	2016 AED'000	2015 AED'000
At 1 January	**83,699**	56,664
Charge for the year		
Collective provision	**(3,854)**	(7,971)
Specific provision	**157,596**	56,730
Recoveries / write-backs during the year	**(1,874)**	(369)
Amounts written off and other adjustments	**(56,156)**	(21,355)
At 31 December	**179,411**	83,699

Notes to the consolidated financial statements

11 Loans and advances *(continued)*

Islamic financing *(continued)*

The gross Ijara and the related present value of minimum Ijara payments are as follows:

	2016 AED'000	2015 AED'000
Gross Ijara		
Less than one year	**1,176,920**	1,141,821
Between one and five years	**3,000,652**	3,354,662
More than five years	**4,252,368**	2,923,834
	8,429,940	7,420,317
Less: deferred income	**(1,929,268)**	(1,886,295)
Net Ijara	**6,500,672**	5,534,022

	2016 AED'000	2015 AED'000
Net present value of minimum lease payments		
Less than one year	**837,038**	744,191
Between one and five years	**2,215,729**	2,466,185
More than five years	**3,447,905**	2,323,646
	6,500,672	5,534,022

Investment in finance lease

Investments in finance lease are primarily towards the aviation sector. Included in the loans and advances are the following investments in finance leases:

	2016 AED'000	2015 AED'000
Gross investment in finance leases	**7,112,246**	8,437,582
Unearned finance income	**(777,328)**	(914,338)
Net investment in finance leases	**6,334,918**	7,523,244
Less: allowance for impairment	**(173,836)**	(183,341)
Less: interest suspended	**(46,435)**	(38,081)
Investment in finance leases	**6,114,647**	7,301,822

Notes to the consolidated financial statements

11 Loans and advances *(continued)*

Investment in finance lease *(continued)*

	2016 Gross investment in lease AED'000	2015 Gross investment in lease AED'000	2016 Present value of minimum lease payments AED'000	2015 Present value of minimum lease payments AED'000
Within one year	**63,913**	37,571	**62,070**	36,809
One to five years	**1,535,792**	1,239,179	**1,436,369**	1,166,587
More than five years	**5,512,541**	7,160,832	**4,836,479**	6,319,848
	7,112,246	8,437,582	**6,334,918**	7,523,244
Unearned finance income	**(777,328)**	(914,338)	**-**	-
Net investment in finance leases	**6,334,918**	7,523,244	**6,334,918**	7,523,244

The movement in allowance for impairment against finance lease receivables during the year is shown below:

	2016 AED'000	2015 AED'000
At 1 January	**183,341**	172,167
Charge for the year		
Specific provision net of write-backs	**(9,815)**	(12,104)
Collective provision	**310**	23,278
At 31 December	**173,836**	183,341

12 Non-trading investments

	2016 AED'000	2015 AED'000
Available-for-sale investments	**58,410,308**	57,002,707
Held-to-maturity investments	**6,031,616**	6,791,444
	64,441,924	63,794,151

Notes to the consolidated financial statements

12 Non-trading investments *(continued)*

An analysis of non-trading investments by type at the reporting date is shown below:

	2016 AED'000			2015 AED'000		
	Quoted	**Unquoted**	**Total**	Quoted	Unquoted	Total
Equity investments	**18,565**	**24,164**	**42,729**	22,424	13,781	36,205
Debt investments	**64,207,111**	**160,850**	**64,367,961**	63,277,418	344,129	63,621,547
Funds	**31,223**	**11**	**31,234**	136,373	26	136,399
	64,256,899	**185,025**	**64,441,924**	63,436,215	357,936	63,794,151
Less:						
Allowance for impairment	**-**	**-**	**-**	-	-	-
	64,256,899	**185,025**	**64,441,924**	63,436,215	357,936	63,794,151

Debt instruments under repurchase agreements included in quoted available-for-sale investments at 31 December 2016 amounted to AED 11,240 million *(2015 : AED 24,434 million).*

13 Other assets

	2016 AED'000	2015 AED'000
Interest receivable	**4,804,445**	3,914,405
Acceptances	**3,205,044**	5,497,104
Sundry debtors and other receivables	**1,505,003**	1,108,588
Deferred tax asset	**31,487**	30,386
	9,545,979	10,550,483

The Group does not perceive any significant credit risk on interest receivable and acceptances.

Acceptances arise when the Bank is under an obligation to make payments against documents drawn under letters of credit. After acceptance, the instrument becomes an unconditional liability of the Bank and is therefore recognised as a financial liability in the consolidated statement of financial position. However every acceptance has a corresponding contractual right of reimbursement from the customer which is recognised as a financial asset.

Notes to the consolidated financial statements

14 Investment properties

	Land and buildings AED'000
Cost	
At 1 January 2015	198,249
Additions and transfers	30,818
Deletions / disposals	(2,195)
At 31 December 2015	**226,872**
Additions and transfers	**252**
Deletions / disposals	**(142,996)**
At 31 December 2016	**84,128**
Accumulated depreciation	
At 1 January 2015	20,716
Charge for the year	1,987
Additions and transfers	13,623
Deletions / disposals	-
At 31 December 2015	**36,326**
Charge for the year	**1,990**
Additions and transfers	**208**
Deletions / disposals	**-**
At 31 December 2016	**38,524**
Carrying amounts	
At 31 December 2015	190,546
At 31 December 2016	**45,604**

The Group estimates that the fair value of the investment properties approximates its carrying amounts as at the reporting date. The fair values of the Group's investment properties are categorised under level 3 of the fair value hierarchy.

Notes to the consolidated financial statements

15 Property and equipment

	Land, buildings and alterations AED'000	Computer systems and equipment AED'000	Furniture, equipment, safes and vehicles AED'000	Capital work -in-progress AED'000	Total AED'000
Cost					
At 1 January 2015	2,598,680	887,465	366,492	245,577	4,098,214
Additions	17,920	42,029	13,487	347,636	421,072
Allocations from CWIP	15,500	150,167	16,063	(212,548)	(30,818)
Disposals, transfers and write offs[1]	(16,513)	(38,548)	(29,938)	-	(84,999)
At 31 December 2015	2,615,587	1,041,113	366,104	380,665	4,403,469
Additions	**20,290**	**71,039**	**21,799**	**330,433**	**443,561**
Allocations from CWIP	**53,893**	**77,514**	**15,846**	**(147,505)**	**(252)**
Disposals, transfers and write offs[1]	**(17,945)**	**(25,308)**	**(25,321)**	**-**	**(68,574)**
At 31 December 2016	**2,671,825**	**1,164,358**	**378,428**	**563,593**	**4,778,204**
Accumulated depreciation and impairment losses					
At 1 January 2015	766,185	566,955	266,820	-	1,599,960
Charge for the year	42,464	148,270	38,238	-	228,972
Impairment	4,300	-	-	-	4,300
Disposals, transfers and write offs[1]	(20,629)	(27,851)	(27,065)	-	(75,545)
At 31 December 2015	792,320	687,374	277,993	-	1,757,687
Charge for the year	**45,645**	**146,866**	**34,291**	**-**	**226,802**
Impairment	**2,825**			**-**	**2,825**
Disposals, transfers and write offs[1]	**(9,347)**	**(24,192)**	**(24,556)**	**-**	**(58,095)**
At 31 December 2016	**831,443**	**810,048**	**287,728**	**-**	**1,929,219**
Carrying amounts					
At 31 December 2015	1,823,267	353,739	88,111	380,665	2,645,782
At 31 December 2016	**1,840,382**	**354,310**	**90,700**	**563,593**	**2,848,985**

[1] *adjusted for foreign exchange translation impact*

Notes to the consolidated financial statements

16 Due to banks and financial institutions

	2016 AED'000	2015 AED'000
Banks and financial institutions		
Current, call and notice deposits	**1,562,228**	2,124,348
Margin	**2,041,886**	1,189,984
Fixed deposits	**24,195,040**	23,658,299
	27,799,154	26,972,631
Central banks		
Current and call deposits	**88,445**	338,655
Fixed and certificate of deposits	**13,076,142**	12,191,229
	13,164,587	12,529,884
	40,963,741	39,502,515

Due to banks and financial institutions are denominated in various currencies and carry a rate of interest in the range of -0.42% to 14.9% *(2015: 0% to 2.2%)*.

17 Repurchase agreements

The Group enters into repurchase agreements in the normal course of business by which it transfers recognised financial assets directly to third parties.

The carrying value that is also the fair value of financial assets collateralised at the reporting date amounted to AED 11,746 million *(2015: AED 25,786 million)* and their associated financial liabilities amounted to AED 17,222 million *(2015: AED 30,551 million)*. The net difference between the fair value of the financial assets collateralised and the carrying value of the repurchase agreement is a shortage AED 5,476 million *(2015: shortage AED 4,765 million)*. The shortage is covered by re-pledging financial assets received as collateral against reverse repurchase agreements.

18 Commercial paper

The Bank has established two Commercial Paper Programmes, the "Euro commercial paper programme" and a "US Dollar commercial paper programme" of USD 5 billion each.

The notes outstanding as at the reporting date amounted to AED 7,372,911 thousand *(2015: AED 8,720,597 thousand)*. They are denominated in various currencies, bear interest in the range of -0.44% to 1.65% *(2015: -0.13% to 0.99%)* and have maturity periods of less than 12 months.

The Group has not had any defaults of principal, interests, or other breaches with respect to its Commercial Paper during 2016.

Notes to the consolidated financial statements

19 Customer accounts and other deposits

	2016 AED'000	2015 AED'000
By account:		
Current accounts	**62,766,233**	58,809,496
Savings accounts	**12,574,483**	12,449,667
Margin accounts	**2,323,568**	1,379,276
Notice and time deposits	**150,906,578**	138,649,803
	228,570,862	211,288,242
Certificates of deposit	**24,811,630**	22,526,316
	253,382,492	233,814,558

	2016 AED'000	2015 AED'000
By counterparty:		
Government sector	**48,676,196**	26,172,119
Public sector	**49,396,320**	51,607,710
Corporate / private sector	**70,037,494**	67,610,865
Personal / retail sector	**60,460,852**	65,897,548
	228,570,862	211,288,242
Certificates of deposit	**24,811,630**	22,526,316
	253,382,492	233,814,558

	2016 AED'000	2015 AED'000
By location:		
UAE	**151,624,107**	130,476,271
Europe	**31,692,548**	28,224,650
Arab countries	**23,133,710**	30,004,257
Americas	**9,458,171**	12,279,589
Asia	**11,194,114**	10,116,743
Others	**1,468,212**	186,732
	228,570,862	211,288,242
Certificates of deposit	**24,811,630**	22,526,316
	253,382,492	233,814,558

19 Customer accounts and other deposits *(continued)*

Islamic customers' deposits

Included in the above Customer accounts and other deposits are the following Islamic term deposits:

	2016 AED'000	2015 AED'000
Wakala deposits	**1,134,125**	2,546,852
Mudaraba deposits	**517,859**	385,128
	1,651,984	2,931,980

20 Term borrowings

	2016 AED'000	2015 AED'000
Convertible notes	**1,802,763**	1,766,137
Other term notes	**27,112,887**	19,280,531
	28,915,650	21,046,668

Convertible notes includes USD 500 million notes that mature in March 2018 and carry a fixed coupon that is paid semi-annually in arrears. The value of the conversion option at inception was AED 108,265 thousand and as such has been classified as a part of equity under convertible note – equity component reserve.

During the year, the Bank has issued various fixed and floating rate notes. The Bank hedges its currency and interest rate exposure on these notes. The nominal values of the notes issued during the year are stated below:

	2016 AED'000	2015 AED'000
Fixed rate		
AUD	**79,513**	80,527
CNH	**137,003**	111,803
EUR	**96,563**	99,901
HKD	**-**	75,826
USD	**3,107,358**	4,058,665
Floating rate		
USD	**9,939,138**	4,683,075
EUR	**231,752**	-
	13,591,327	9,109,797

The Bank has hedged the interest rate and foreign currency exposure on term borrowings. The nominal value hedges are AED 17.71 billion *(2015: AED 15.96 billion)* and the risks being hedged have a net negative fair value of AED 474.08 million *(2015: net positive fair value of AED 522.40 million)*. The Group has not had any defaults of principal, interests, or other breaches with respect to its term borrowings during 2016 and 2015.

Notes to the consolidated financial statements

20 Term borrowings *(continued)*

The following term notes are outstanding at 31 December:

			2016						2015					
Currency		**Interest**	**Up to 3 months AED'000**	**3 months to 1 year AED'000**	**1 to 3 years AED'000**	**3 to 5 years AED'000**	**Over 5 Years AED'000**	**Total AED'000**	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 Years AED'000	Total AED'000
AUD	Fixed rate of 3.4% to 5% p.a.		**-**	**-**	**1,897,980**	**156,779**	**-**	**2,054,759**	-	-	817,075	1,191,935	-	2,009,010
CNH	Fixed rate of 4.6% to 4.8% p.a.		**-**	**-**	**132,664**	**100,862**	**-**	**233,526**	-	-	-	114,293	-	114,293
EUR	Fixed rate of 0.5% to 0.6% p.a.		**-**	**-**	**-**	**97,848**	**92,110**	**189,958**	-	-	-	99,887	-	99,887
EUR	3 month Euribor + 0.33% p.a.		**-**	**-**	**-**	**228,171**	**-**	**228,171**	-	-	-	-	-	-
HKD	Fixed rate of 2.4% to 4.5% p.a.		**-**	**295,806**	**155,654**	**-**	**409,272**	**860,732**	-	-	299,795	160,050	429,833	889,678
JPY	Fixed rate of 2.6% p.a.		**-**	**-**	**-**	**-**	**343,804**	**343,804**	-	-	-	-	323,385	323,385
MXN	Fixed rate of 0.5% p.a.		**-**	**-**	**-**	**-**	**27,719**	**27,719**	-	-	-	-	33,184	33,184
MYR	Fixed rate of 4.9% p.a.		**-**	**-**	**-**	**393,862**	**-**	**393,862**	-	-	-	404,616	-	404,616
USD	Fixed rate of 1% to 5.1% p.a.		**2,763,343**	**110,869**	**4,531,233**	**2,730,928**	**4,622,375**	**14,758,748**	-	-	4,650,218	5,451,779	2,388,184	12,490,181
USD	1-3 Month Libor + 5 to 185 bps p.a.		**275,475**	**1,215,309**	**8,131,912**	**201,675**	**-**	**9,824,371**	-	3,305,700	1,193,452	183,282	-	4,682,434
			3,038,818	**1,621,984**	**14,849,443**	**3,910,125**	**5,495,280**	**28,915,650**	-	3,305,700	6,960,540	7,605,842	3,174,586	21,046,668

21 Other liabilities

	2016 AED'000	2015 AED'000
Interest payable	**4,446,540**	3,538,842
Acceptances *(note 13)*	**1,662,003**	3,885,572
Provision employees' end of service benefits	**446,384**	487,047
Accounts payable, sundry creditors and other liabilities	**5,916,424**	7,546,500
Overseas income tax	**142,940**	124,547
	12,614,291	15,582,508

Employees end of Service benefits

Defined benefit obligations
The Group provides for end of service benefits for its eligible employees. An actuarial valuation has been carried out as at December 31, 2016 to ascertain present value of the defined benefit obligation. A registered actuary in the UAE was appointed to evaluate the same. The present value of the defined benefit obligation, and the related current and past service cost, were measured using the Projected Unit Credit Method.

The following key assumptions (weighted average rates) were used to value the liabilities:

	2016	2015
Discount rate	**3.61% per annum**	4.00% per annum
Salary increase rate	**1.69% per annum**	2.00% per annum

Demographic assumptions for mortality, withdrawal and retirement were used in valuing the liabilities and benefits under the plan. Because of the nature of the benefit, which is a lump sum payable on exit due to any cause, a combined single decrement rate has been used.

A shift in the in the discount rate assumption by +/- 50 basis points would impact the liability by AED 9,829 thousand *(2015: AED 9,871 thousand)* and AED 10,362 thousand *(2015: AED 10,633 thousand)* respectively. Similarly, a shift in the salary increment assumption by +/- 50 basis points would impact the liability by AED 10,503 thousand *(2015: AED 10,815 thousand)* and AED 10,054 thousand *(2015: AED 10,133 thousand)* respectively.

The movement in the employees end of service obligation was as follows:

	2016 AED'000	2015 AED'000
Balance at 1 January	**487,047**	462,620
Net charge during the year	**33,337**	93,789
Paid during the year	**(74,000)**	(69,362)
Balance at 31 December	**446,384**	487,047

Notes to the consolidated financial statements

21 Other liabilities *(continued)*

Defined contribution plan
The Group pays contributions for its eligible employees which are treated as defined contribution plans. The charge for the year in respect of these contributions is AED 81,532 thousand *(2015: AED 79,970 thousand)*. As at the reporting date, pension payable of AED 11,799 thousand has been classified under other liabilities *(2015: AED 11,874 thousand).*

Overseas income tax
The Group has provided for overseas income tax in accordance with management's estimate of the total amount payable based on tax rates enacted or substantially enacted as at the reporting date. Where appropriate the Group has made payments of tax on account in respect of these estimated liabilities.

The overseas income tax charge for the year is calculated based upon the adjusted net profit for the year. The movement in the provision was as follows:

	2016	**2015**
	AED'000	AED'000
At 1 January	**124,547**	111,090
Charge for the year	**305,591**	308,956
Overseas income tax paid, net of recoveries	**(287,198)**	(295,499)
At 31 December	**142,940**	124,547

22 Subordinated notes

	2016	2015
	AED'000	AED'000
Liability component		
15 March 2006 issue	**-**	914,205
10 December 2012 issue	**355,987**	361,093
	355,987	1,275,298

15 March 2006 issue:

The Bank issued AED 2.5 billion subordinated convertible notes due on 15 March 2016 in accordance with the approval of the Extraordinary General Meeting held on 22 November 2005. The notes bear an interest rate equal to 3 month EIBOR plus 0.25% paid quarterly. During the year, the Bank fully repaid the 15 March 2006 issuance maturing in March 2016.

The effective interest rate as at 31 December 2016 was 3 month EIBOR plus 0.301% *(2015: 3 month EIBOR plus 0.301%).*

22 Subordinated notes *(continued)*

The above mentioned notes are presented in the consolidated statement of financial position as follows:

	2016 AED'000	2015 AED'000
Proceeds from issue of convertible notes	**2,500,000**	**2,500,000**
Less: amount classified as equity	**(72,926)**	**(72,926)**
Carrying amount of liability component on initial recognition	**2,427,074**	**2,427,074**
Add: cumulative accreted interest	**26,677**	**26,357**
Less: converted liability component	**(1,347,973)**	**(1,347,973)**
Carrying amount of liability bought back	**(191,253)**	**(191,253)**
Settlement at maturity	**(914,525)**	**-**
Carrying amount of liability component	**-**	**914,205**

10 December 2012 issue:

On 10 December 2012, the Bank issued MYR 500 million subordinated notes due on 9 December 2027. The notes bear an interest rate equal to 4.75% and will be paid on a semi-annual basis. The Bank has hedged the currency and interest rate exposure on these notes. The nominal value hedge is AED 409.39 million *(2015: AED 427.74 million)* and the risks being hedged has a negative fair value of AED 52.09 million *(2015: negative fair value of AED 65.19 million).* The effective interest rate as at 31 December 2016 was 4.79% *(2015: 4.79%).*

The Group has not had any defaults of principal, interest, or other breaches with respect to its subordinated notes during 2016 and 2015.

23 Capital and reserves

Share capital

The authorised share capital of the Bank comprise 5,255 million ordinary shares of AED 1 each *(2015: 5,210 million shares of AED 1 each).* The issued and fully paid share capital at 31 December 2016 is comprised of 5,255 million ordinary shares of AED 1 each *(2015: 5,210 million ordinary shares of AED 1 each).*

Statutory and special reserves

In accordance with the Bank's Articles of Association and the requirements of the Union Law No. (10) of 1980, a minimum of 10% of the annual net profit should be transferred to both statutory and special reserve until each of these reserves equal to 50% of the paid-up share capital. The Statutory and special reserve are not available for distribution to the shareholders.

Dividends

The following dividends were paid by the Group during the year ended 31 December:

	2016 AED'000	2015 AED'000
Cash dividend AED 0.45 per ordinary share *(2015: 0.40 per ordinary share)*	**2,339,949**	1,889,971
Nil bonus shares *(2015: 10% bonus shares)* issued	**-**	473,611

23 Capital and reserves *(continued)*

Dividends *(continued)*
Proposed dividends:
On 31 January 2017, a cash dividend of AED 0.45 per ordinary share *(2015: proposed cash dividend of AED 0.40 per ordinary share)* was proposed by the Board of Directors in respect of 2016 which is subject to the approval of the shareholders at the Annual General Meeting.

Other reserves
Other reserves include the following:

(i) General reserve
The general reserve is available for distribution to the shareholders at the recommendation of the Board of Directors. On 15 March 2016, the AGM approved the transfer of AED 2 billion *(31 December 2015: AED 2.4 billion)* to general reserve.

(ii) Fair value reserve
The fair value reserve includes the cumulative net change in the fair value of non-trading investments, until the investment is derecognised or impaired, and cash flow hedge reserve.

	2016	2015
	AED'000	AED'000
Revaluation reserve – available-for-sale investments		
At 1 January	**(287,012)**	331,620
Net unrealised gains during the year	**1,133,474**	17,013
Net cumulative realised gains recognised in the consolidated statement of profit or loss during the year	**(498,922)**	(635,645)
At 31 December	**347,540**	(287,012)
Hedging reserve – cash flow hedge		
At 1 January	**(44,925)**	(6,688)
Changes in fair value	**(20,660)**	(38,237)
At 31 December	**(65,585)**	(44,925)
Total at 31 December	**281,955**	(331,937)

The hedging reserve comprises the effective portion of the cumulative net change in the fair value of cash flow hedging instruments related to hedged transactions. During the year, there has been no significant transfer from cash flow hedge reserve to profit or loss.

(iii) Foreign currency translation reserve
Foreign currency translation reserve represents the exchange differences arising from translation of the net investment in foreign operations. During the year, there has been no transfer from foreign currency translation reserve to profit or loss.

24 Tier 1 capital notes

Tier 1 capital notes are perpetual, subordinated, unsecured and carry a fixed coupon during the initial period and are paid semi-annually in arrears. The Bank may elect not to pay a coupon at its own discretion. The note holder does not have a right to claim the coupon and an election by the Bank not to service coupon is not considered an event of default. In addition, there are certain circumstances under which the Bank is prohibited from making a coupon payment on a relevant coupon payment date.

If the Bank makes a non-payment election or a non-payment event occurs, then the Bank will not (a) declare or pay any distribution or dividend or (b) redeem, purchase, cancel, reduce or otherwise acquire any of the share capital or any securities of the Bank ranking pari passu with or junior to the Notes except securities, the term of which stipulate a mandatory redemption or conversion into equity, in each case unless or until two consecutive coupon payments have been paid in full. During the period, a coupon payment election was made by the Bank in the amount of AED 283.4 million *(2015: AED 201.2 million).*

	Currency	**2016 AED'000**	2015 AED'000
Government of Abu Dhabi Notes *(6 month EIBOR plus 2.3 percent per annum)*	AED	**4,000,000**	4,000,000
USD 750 million Notes *(5 year mid swap rate plus 3.35 percent per annum)*	USD	**2,754,750**	2,754,750
		6,754,750	6,754,750

On 17 June 2015, USD 750 million Tier 1 capital notes were issued by the Bank. These notes are perpetual and carry an interest rate of 5.25 percent (calculated based on the relevant 5 year mid swap rate plus 3.35 percent per annum) during the "initial period". After the initial period, at every reset date, interest would be calculated for the next reset period at the relevant Five-Year Mid Swap Rate plus a margin of 3.35 percent per annum. Interest is payable semi-annually in arrears on these notes. The "Initial Period" is the period (from and including) the Issue Date to (but excluding) the First Call Date. The "Reset Date" is the First Call Date and every fifth anniversary thereafter. These notes are callable by the Bank beginning from 17 June 2020 "First Call date" and every interest payment date thereafter.

25 Share option scheme

The Bank had introduced in 2008 a share based payment scheme (the "Scheme") for selected employees which would vest over three years and can be exercised within the next three years after the vesting period. The key vesting condition is that the option holder is in continued employment with the Bank until the end of vesting period. The options lapse six years after their date of grant irrespective of whether they are exercised or not.

The Group has established a subsidiary to issue shares when the vested option is exercised by the employee.. These shares are treated as treasury shares until exercised by the option holders.

As at the reporting date 7,160 thousand *(2015: 2,976 thousand)* options were exercised by the option holders resulting in an increase in the total share capital by AED 7,160 thousand *(2015: AED 2,976 thousand)* and share premium by AED 42,640 thousand *(2015: AED 19,772 thousand)*

Notes to the consolidated financial statements

25 Share option scheme *(continued)*

The numbers of share options are as follows:

	2016 Number of options in thousands	2015 Number of options in thousands
Outstanding at 1 January	**47,881**	33,278
Granted during the year	**23,266**	18,745
Net forfeited during the year	**(1,945)**	(1,096)
Exercised during the year	**(7,160)**	(2,976)
Expired during the year	**-**	(70)
Outstanding at 31 December	**62,042**	47,881

The average exercise price of options exercised during 2016 was AED 6.96 *(2015: AED 7.64)*. The options outstanding as at 31 December 2016 have an exercise price per share ranging between AED 6.85 to 12 *(2015: AED 6.85 to 12*). The weighted average life of the options under exercise period is 2.34 years *(2015: 2.29 years)*.

26 Interest income

	2016 AED'000	2015 AED'000
Interest from:		
Central banks	**165,594**	199,761
Banks and financial institutions	**301,376**	128,481
Reverse repurchase agreements	**128,180**	72,130
Investments at fair value through profit or loss	**340,947**	275,002
Non-trading investments	**1,872,151**	1,756,584
Loans and advances	**6,848,709**	6,533,171
	9,656,957	8,965,129

27 Interest expense

	2016 AED'000	2015 AED'000
Interest to:		
Banks and financial institutions	**603,626**	297,803
Repurchase agreements	**205,051**	120,392
Commercial paper	**32,833**	28,571
Customer accounts and other deposits	**1,323,668**	986,732
Term borrowings	**647,633**	553,362
Subordinated notes	**23,843**	34,184
	2,836,654	2,021,044

Notes to the consolidated financial statements

28 Income from Islamic financing contracts

	2016 AED'000	2015 AED'000
Ijara	**264,816**	203,725
Murabaha	**244,657**	181,900
	509,473	385,625

29 Depositors' share of profits

	2016 AED'000	2015 AED'000
Wakala deposits	**16,845**	16,705
Mudaraba deposits	**8,124**	5,927
	24,969	22,632

30 Net fee and commission income

	2016 AED'000	2015 AED'000
Fee and commission income		
Trade finance	**598,509**	601,825
Collection services	**46,117**	58,548
Brokerage income	**45,807**	65,652
Asset management and investment services	**125,983**	133,047
Investments, derivatives and risk participation	**17,725**	22,137
Retail and corporate lending	**898,285**	802,168
Cards and e-services	**1,178,737**	1,046,546
Accounts related services	**59,956**	68,327
Commission on transfers	**90,172**	70,833
Others	**144,045**	125,465
Total fee and commission income	**3,205,336**	2,994,548
Fee and commission expense		
Brokerage commission	**28,204**	31,247
Handling charges	**29,721**	5,977
Credit card charges	**840,241**	736,122
Retail and corporate lending	**103,805**	90,524
Others	**25,261**	24,436
Total fee and commission expense	**1,027,232**	888,306
Net fee and commission income	**2,178,104**	2,106,242

Asset management and investment service fees include fees earned by the Group on trust and fiduciary activities where the Group holds or invests assets on behalf of its customers.

Notes to the consolidated financial statements

31 Net foreign exchange gain

	2016 AED'000	2015 AED'000
Trading and retranslation gain on foreign exchange and related derivatives[1]	**589,244**	469,412
Dealings with customers	**372,042**	348,175
	961,286	817,587

[1] Due to effective hedging strategies, the offsetting impact of hedging instruments is reflected in the net gains from sale of non-trading investments *(note 32)*.

32 Net gain on investments and derivatives

	2016 AED'000	2015 AED'000
Net realised and unrealised gain / (loss) on investments at fair value through profit or loss and derivatives[2]	**(185,779)**	(384,523)
Net gain from sale of non-trading investments	**498,922**	635,645
Dividend income	**14,673**	3,067
	327,816	254,189

Interest income on debt instruments classified as investments at fair value through profit or loss as well as debt instruments classified as non-trading investments is presented within interest income.

[2]*Includes credit value adjustment of AED 23 million (2015: AED 71 million).*

33 Other operating income

	2016 AED'000	2015 AED'000
Gain on sale of investment properties	**3,500**	-
Others	**32,671**	70,754
	36,171	70,754

34 General, administration and other operating expenses

	2016 AED'000	2015 AED'000
Staff costs	**2,729,137**	2,773,739
Other general and administration expenses	**1,026,614**	1,041,688
Depreciation	**228,792**	230,959
Sponsorships and donations	**28,216**	36,533
	4,012,759	4,082,919

Notes to the consolidated financial statements

35 Net impairment charge

	2016 AED'000	2015 AED'000
Collective provision for loans and advances	**101,675**	503,282
Specific provision for loans and advances	**1,940,761**	1,476,162
Write back of provisions for loans and advances	**(464,019)**	(685,050)
Recovery of loan loss provisions	**(395,561)**	(378,847)
Write-off of impaired financial assets	**58,462**	64,707
Recovery of loans previously written off	**(55,696)**	(41,594)
(Write back) / impairment of		
- other financial assets	**2,230**	11
- non financial assets	**2,825**	4,300
	1,190,677	942,971

36 Overseas income tax expense

In addition to adjustments relating to deferred taxation, the charge for the year is calculated based upon the adjusted net profit for the year at rates of tax applicable in respective overseas locations.

The charge to the consolidated statement of profit or loss for the year was as follows:

	2016 AED'000	2015 AED'000
Charge for the year	**305,591**	308,956
Adjustments relating to deferred taxation	**3,115**	(10,813)
	308,706	298,143

Reconciliation of Group's tax on profit based on accounting and profit as per the tax laws is as follows:

	2016 AED'000	2015 AED'000
Profit before taxation[1]	**1,009,545**	1,144,973
Tax calculated at domestic tax rates applicable to profits in the respective countries	**256,010**	277,435
Tax effects of:		
- Income not subject to tax	**(7,033)**	(3,918)
- Expenses not deductible for tax purpose	**36,388**	13,619
- Utilisation of previously unrecognised deferred tax	**(155)**	(358)
- Effect of tax offsets not recognised as deferred tax assets	**766**	-
- Deductible temporary difference now recognised as deferred tax assets	**-**	(1,792)
- Adjustment pertaining to prior years	**10,514**	6,793
- Withholding tax net of benefits	**12,216**	6,364
Total tax charge	**308,706**	298,143

[1] *Profit before taxation amount consists of only those entities that are under taxable jurisdictions.*

Notes to the consolidated financial statements

37 Cash and cash equivalents

Cash and cash equivalents included in the consolidated statement of cash flows comprise the following amounts maturing within three months of the date of the acquisition / placement:

	2016 AED'000	2015 AED'000
Cash and balances with central banks	**94,767,450**	72,190,756
Due from banks and financial institutions	**2,291,815**	2,748,176
Cash and cash equivalents	**97,059,265**	74,938,932

38 Commitments and contingencies

	2016 AED'000	2015 AED'000
Letters of credit	**42,996,143**	49,145,032
Letters of guarantee	**63,038,890**	67,300,403
Undrawn commitments to extend credit	**30,518,518**	29,790,338
Financial guarantees	**510,562**	995,631
	137,064,113	147,231,404
Capital and operating lease commitments:		
- Commitments for future capital expenditure	**177,559**	267,582
- Commitments for future operating lease payments	**146,814**	205,082
	324,373	472,664
Total commitments and contingencies	**137,388,486**	147,704,068

Credit risk characteristics of these unfunded facilities closely resemble the funded facilities as described in note 4.

Letters of credit and guarantee ("Trade contingencies") commit the Group to make payments on behalf of customers contingent upon the production of documents or the failure of the customer to perform under the terms of the contract.

Commitments to extend credit represent contractual commitments to extend loans and revolving credits. Commitments generally have fixed expiration dates or other termination clauses and may require a payment of a fee. Since commitments may expire without being drawn upon, the total contracted amounts do not necessarily represent future cash requirements.

Notes to the consolidated financial statements

38 Commitments and contingencies *(continued)*

Commitments for operating lease payments are payable as follows:

	2016 AED'000	2015 AED'000
Less than one year	**48,749**	68,316
Between one and five year	**76,275**	100,791
More than five year	**21,790**	35,975
Total commitments	**146,814**	205,082

Financial guarantee contracts includes credit default agreements entered with banks and financial institutions amounting to AED 165 million *(2015: AED 496 million)* which are primarily denominated in US Dollars.

Concentration by industry:

Financial guarantee contracts mainly pertain to the banks and financial institutions.

Concentration by location:

	Undrawn loan Commitments		**Financial guarantees**		**Trade contingencies**	
	2016 AED'000	2015 AED'000	**2016 AED'000**	2015 AED'000	**2016 AED'000**	2015 AED'000
UAE	**12,330,152**	14,478,228	**-**	-	**66,977,408**	70,385,640
Europe	**9,472,326**	5,955,360	**-**	-	**21,476,921**	20,950,977
Arab countries	**3,141,767**	3,513,468	**2,105**	2,123	**6,144,419**	7,209,528
Americas	**3,662,549**	2,990,131	**471,727**	626,208	**7,818,869**	13,907,315
Asia	**1,655,159**	2,074,032	**36,730**	367,300	**2,968,281**	3,481,997
Others	**256,565**	779,119	**-**	-	**649,135**	509,978
	30,518,518	29,790,338	**510,562**	995,631	**106,035,033**	116,445,435

39 Derivative financial instruments

In the ordinary course of business the Group enters into various types of transactions that involve derivative financial instruments. Derivatives are financial instruments that derive their value from the price of underlying items such as equities, bonds, interest rates, foreign exchange, credit spreads, commodities and equity or other indices. Derivatives enable users to increase, reduce or alter exposure to credit or market risks. Derivative financial instruments include forwards, futures, swaps and options. These transactions are primarily entered with Banks and financial institutions.

Forwards and futures
Currency forwards represent commitments to purchase foreign and/or domestic currencies, including non-deliverable spot transactions (i.e. the transaction is net settled). Forward rate agreements are individually negotiated interest rate futures that call for a cash settlement at a future date for the difference between a contracted rate of interest and the current market rate, based on a notional principal amount. Foreign currency and interest rate futures are contractual obligations to receive or pay a net amount based on changes in currency rates or interest rates, or to buy or sell foreign currency or a financial instrument on a future date at a specified price, established in an organised financial market. The credit risk for futures contracts is negligible, as they are collateralised by cash or marketable securities, and changes in the futures' contract value are settled daily with the exchange.

Swaps
Currency and interest rate swaps are commitments to exchange one set of cash flows for another. Swaps result in an economic exchange of currencies or interest rates (for example, fixed rate for floating rate) or a combination of all these (i.e., cross - currency interest rate swaps). No exchange of principal takes place, except for certain cross currency swaps. The Group's credit risk represents the potential loss if counterparties fail to fulfil their obligation. This risk is monitored on an ongoing basis with reference to the current fair value, notional amount of the contracts and the liquidity of the market. To control the level of credit risk taken, the Group assesses counterparties using the same techniques as for its lending activities.

Options
Options are contractual agreements under which the seller (writer) grants the purchaser (holder) the right, but not the obligation, either to buy (a call option) or sell (a put option) at or by a set date or during a set period, a specific amount of a financial instrument at a predetermined price. The seller receives a premium from the purchaser in consideration for the assumption of risk. Options may be either exchange - traded or negotiated between the Bank and a customer over the counter (OTC).

Derivatives are measured at fair value by reference to published price quotations in an active market. Where there is no active market for an instrument, fair value is derived from prices for the derivative's components using appropriate pricing or valuation models like counterparty prices or valuation techniques such as discounted cash flows, market prices, yield curves and other reference market data.

The table below shows the positive and negative fair values of derivative financial instruments, which are equivalent to their fair values, together with the notional amounts analysed by the term to maturity. The notional amount is the amount of a derivative's underlying, reference rate or index and is the basis upon which changes in the value of derivatives are measured. The notional amounts indicate the volume of transactions outstanding at year end and are neither indicative of the market risk nor credit risk.

Notes to the consolidated financial statements

39 Derivative financial instruments *(continued)*

31 December 2016				Notional amounts by term to maturity				
	Positive market value	Negative market value	Notional amount	Less than three months	From three months to one year	From one year to three years	From three years to five years	Over five years
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
Held for trading:								
Interest rate derivatives								
Swaps	**6,173,560**	**5,693,108**	**781,870,876**	86,401,378	164,356,843	257,650,119	129,133,859	144,328,677
Forwards & Futures	**7,292**	**11,647**	**95,347,235**	8,765,761	83,908,858	2,672,616	-	-
Options & Swaptions	**405,146**	**282,231**	**29,955,078**	404,030	5,619,978	7,037,478	4,723,117	12,170,475
Foreign exchange derivatives								
Forwards	**3,511,027**	**2,813,272**	**294,184,066**	166,547,443	99,476,619	25,782,488	1,655,073	722,443
Options	**621,343**	**409,816**	**89,201,300**	23,780,753	41,936,973	22,962,025	305,650	215,899
Other derivatives contracts	**362,475**	**373,458**	**1,589,308**	594,961	535,921	440,061	18,365	-
	11,080,843	**9,583,532**	**1,292,147,863**	**286,494,326**	**395,835,192**	**316,544,787**	**135,836,064**	**157,437,494**
Held as fair value hedges:								
Interest rate derivatives								
Swaps	**932,885**	**3,507,775**	**72,540,611**	5,304,812	2,675,733	11,660,067	18,821,286	34,078,713
	932,885	**3,507,775**	**72,540,611**	**5,304,812**	**2,675,733**	**11,660,067**	**18,821,286**	**34,078,713**
Held as cash flow hedges								
Interest rate derivatives								
Swaps	**5,678**	**289,482**	**5,096,055**	-	-	436,226	4,659,829	-
Forwards	**-**	**-**	**-**	-	-	-	-	-
	5,678	**289,482**	**5,096,055**	**-**	**-**	**436,226**	**4,659,829**	**-**
Total	**12,019,406**	**13,380,789**	**1,369,784,529**	**291,799,138**	**398,510,925**	**328,641,080**	**159,317,179**	**191,516,207**

Notes to the consolidated financial statements

39 Derivative financial instruments *(continued)*

31 December 2015				Notional amounts by term to maturity				
	Positive market value	Negative market value	Notional amount	Less than three months	From three months to one year	From one year to three years	From three years to five years	Over five years
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
Held for trading:								
Interest rate derivatives								
Swaps	5,033,078	4,675,069	625,847,091	47,366,567	141,472,273	195,125,666	134,640,897	107,241,688
Forwards & Futures	2,389	1,860	14,308,184	734,600	11,737,084	1,836,500	-	-
Options & Swaptions	244,004	244,467	53,747,200	14,169,773	1,310,989	9,266,665	4,929,424	24,070,349
Foreign exchange derivatives								
Forwards	2,237,645	2,333,890	304,043,488	167,162,289	100,855,857	32,446,760	3,578,582	-
Options	854,097	613,922	97,978,672	17,179,858	41,087,785	37,842,121	1,609,725	259,183
Other derivatives contracts	1,104,742	1,082,515	3,021,823	1,116,014	717,969	1,091,898	95,942	-
	9,475,955	**8,951,723**	**1,098,946,458**	**247,729,101**	**297,181,957**	**277,609,610**	**144,854,570**	**131,571,220**
Held as fair value hedges:								
Interest rate derivatives								
Swaps	1,095,974	3,752,994	70,867,087	2,955,174	5,244,765	13,212,719	16,695,564	32,758,865
	1,095,974	**3,752,994**	**70,867,087**	**2,955,174**	**5,244,765**	**13,212,719**	**16,695,564**	**32,758,865**
Held as cash flow hedges								
Interest rate derivatives								
Swaps	1,981	144,625	3,992,726	-	-	-	3,662,037	330,689
Forwards	181	3,016	450,954	302,983	147,971	-	-	-
	2,162	**147,641**	**4,443,680**	**302,983**	**147,971**	**-**	**3,662,037**	**330,689**
Total	**10,574,091**	**12,852,358**	**1,174,257,225**	**250,987,258**	**302,574,693**	**290,822,329**	**165,212,171**	**164,660,774**

39 Derivative financial instruments *(continued)*

The positive / negative fair value in respect of derivatives represents the gain / loss respectively, arising on fair valuation of the trading and hedging instrument. These amounts are not indicative of any current or future losses, as a similar positive / negative amount has been adjusted to the carrying value of the hedged loans and advances, non-trading investments, term borrowings and subordinated notes.

As at December 31, 2016, the Group received cash collateral of AED 2,268,837 thousand *(2015: AED 1,220,418 thousand)* against positive fair value of derivative assets from certain counterparties. Correspondingly, the Group placed cash collateral of AED 6,048,196 thousand *(2015: AED 7,946,698 thousand* against the negative fair value of derivative liabilities.

Derivative related credit risk:

This is limited to the positive fair value of instruments that are favourable to the Group. These transactions are primarily entered with banks and financial institutions.

Derivatives held for trading
The Group uses derivatives, not designated in a qualifying hedge relationship, to manage its exposure to foreign currency, interest rate and credit risks or initiates positions with the expectation of profiting from favourable movement in prices, rates or indices. The instruments used mainly include interest rate and currency swaps and forward contracts. The fair values of those derivatives are shown in the table above.

Derivatives held as fair value hedge
The Group uses derivative financial instruments for hedging purposes as part of its asset and liability management strategy by taking offsetting positions in order to reduce its own exposure to fluctuations in exchange and interest rates. The Group uses interest rate swaps to hedge against the changes in fair value arising from specifically identified interest bearing assets such as loans and advances, non-trading investments, term borrowings and subordinate notes. The Group uses forward foreign exchange contracts and currency swaps to hedge against specifically identified currency risks.

Derivatives held as cash flow hedge
The Group uses forward contracts to hedge the foreign currency risk arising from its financial instruments. The Group has substantially matched the critical terms of the derivatives to have an effective hedge relationship.

40 Related parties

Identity of related parties
Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions. Related parties comprise major shareholders, directors and key management personnel of the Group. Key management personnel comprise of those executive committee members "EXCO" of the Group who are involved in the strategic planning and decision making of the Group. The terms of these transactions with related parties are approved by the Group's management and are made on terms agreed by the Board of Directors or management.

Parent and ultimate controlling party
Pursuant to the provisions of Law No. 16 of 2006, Abu Dhabi Investment Council (the "Council") was established which holds 69.82% *(2015: 69.92%)* of the issued share capital of the Bank.

During the year, a coupon payment election of AED 138.8 million *(2015: AED 128.9 million)* was made by the Bank in relation to the AED 4,000 million *(2015: AED 4,000 million)* Government of Abu Dhabi Tier 1 capital notes.

Notes to the consolidated financial statements

40 Related parties *(continued)*

Compensation of directors and key management personnel

	2016 AED'000	2015 AED'000
Key management compensation		
Short term employment benefits	**58,475**	90,356
Post-employment benefits	**10,992**	2,058
Termination benefits	**15,154**	1,563
Share based payments	**11,096**	13,240
Directors' remuneration	**9,656**	6,689

Terms and conditions

Loans and deposits are granted and accepted in various currency denominations and for various time periods. Interest rates earned on such financial assets extended to related parties during the year have ranged from -0.10% to 8.5% per annum *(2015: -0.05% to 8.25% per annum)* and interest rates incurred on Customer accounts and other deposits placed by related parties during the year have ranged from nil to 9.00% per annum *(2015: nil to 4.50% per annum)*.

Collateral against lending to related parties range from being nil to fully secure.

	Directors and key management AED'000	Major shareholder AED'000	Others AED'000	2016 Total AED'000	2015 Total AED'000
Balances with related parties at the reporting date are shown below:					
Financial assets	**1,544,360**	**10,461,209**	**59,251,728**	**71,257,297**	66,930,369
Financial liabilities	**572,149**	**3,980,405**	**61,705,032**	**66,257,586**	50,679,183
Contingent liabilities	**273,050**	**1,516,101**	**14,252,296**	**16,041,447**	22,958,720
Transactions carried out during the year with related parties are shown below:					
Interest income	**34,476**	**814,386**	**1,705,317**	**2,554,179**	2,149,113
Interest expense	**919**	**523,881**	**360,192**	**884,992**	442,068
Fee and commission income	**2,726**	**22,905**	**56,143**	**81,774**	85,591

Others comprise Government of Abu Dhabi entities.

No allowances for impairment have been recognised against loans and advances extended to related parties or contingent liabilities issued in favour of related parties during the year *(2015: AED nil)*.

Notes to the consolidated financial statements

41 Segmental information

The operating structure consists of three key Business segments across Geographic segments that are driving the business strategy, customer value propositions, products and channel development and customer relationships in addition to supporting the delivery of the Group's financial performance. The structure is simplified and is coherent with its mission of being core to its chosen customers.

Business segments

- ***Global Wholesale***
  Global Wholesale comprises of Global Banking and Global Markets. The business provides corporate, wholesale and investment clients with strategic advice and bespoke innovative solutions catering for their different needs. Global Banking Division offers an array of financial services ranging from relationship lending and financing, syndication, corporate finance, specialised financing, structured finance, leasing, securities services, transactional banking, merchant banking, debt capital market services and special asset advisory. Global Markets Division covers lines of business in relation to institutional and corporate coverage, risk solutions, repos management and investments, commodities, E-commerce and foreign exchange trading.

- ***Global Wealth***
  Global Wealth enfolds high net worth individuals and other clients with sophisticated investment needs. The business furnishes variety of products related to private banking, assets management including local and global funds as well as discretionary portfolios management, custody, brokerage, business development and tailored wealth solutions (such as trust & estate planning, financial planning, segregated mandates, structured lending, real estate and private equity investments).

- ***Global Retail and Commercial***
  The Global Retail and Commercial (''GRC'') targets the retail and commercial customer segments together with their associated operations and administration. The GRC is structured on the basis of the differing needs of the Group's broad customer base covering Mass, affluent, commercial and Islamic Banking.

- ***Head Office***
  The Group provides centralized human resources, information technology, finance, investor relations, risk management, corporate communications, property, legal, internal audit, compliance, procurement, treasury operations and administrative support to all of its businesses units.

Notes to the consolidated financial statements

41 Segmental information *(continued)*

Geographic segments

The Group will be managing its various business segments through a network of branches, subsidiaries and representative offices within the three defined geographic segments which are UAE, Gulf and International.

- ***UAE***
  NBAD local network is currently available in all the seven emirates constituting the United Arab Emirates.

- ***Gulf***
  NBAD presence in the Gulf region is run through its branches in Bahrain, Kuwait and Oman; the segment is extended to include Jordan.

- ***International***
  NBAD international network is carried out via its operational presence in Brazil, China, Egypt, France, Hong Kong, India, Lebanon, Libya, Malaysia, Sudan, Switzerland, the United Kingdom and the United States of America.

  The accounting policies of the reportable segments are the same as described in notes 2 and 3. Transactions between segments, and between branches within a segment, are conducted at estimated market rates or rates agreed by management. Interest is charged or credited to branches and business segments either at contracted or pool rates, both of which approximate the replacement cost of funds.

  Information regarding the results of each reportable segment is included below. Performance is measured based on segment profit before taxation, as included in the internal management reports that are reviewed by the Group's Chief Executive. Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries.

Notes to the consolidated financial statements

41 Segmental information *(continued)*

	Business Segment					Geographic Segment			
	Global Wholesale AED'000	Global Wealth AED'000	Global Retail and Commercial AED'000	Head Office AED'000	Total AED'000	UAE AED'000	Gulf AED'000	International AED'000	Total AED'000
As at and for the year ended 31 December 2016									
Net Interest income	3,510,133	662,460	3,254,671	(122,457)	**7,304,807**	5,979,830	268,581	1,056,396	**7,304,807**
Net Non-interest income	1,995,242	255,315	1,138,563	114,257	**3,503,377**	2,742,774	78,792	681,811	**3,503,377**
Operating income	5,505,375	917,775	4,393,234	(8,200)	**10,808,184**	8,722,604	347,373	1,738,207	**10,808,184**
General administration and other operating expenses	1,344,967	368,682	2,207,783	91,327	**4,012,759**	3,237,926	168,739	606,094	**4,012,759**
Net impairment charge	(118,897)	40,986	1,137,158	131,430	**1,190,677**	1,169,474	54,995	(33,792)	**1,190,677**
Profit before taxation	4,279,305	508,107	1,048,293	(230,957)	**5,604,748**	4,315,204	123,639	1,165,905	**5,604,748**
Overseas taxation	200,730	74,328	33,729	(81)	**308,706**	(1,377)	19,075	291,008	**308,706**
Net profit for the year	4,078,575	433,779	1,014,564	(230,876)	**5,296,042**	4,316,581	104,564	874,897	**5,296,042**
Segment total assets	**289,895,419**	**31,079,869**	**79,202,051**	**70,776,350**	**470,953,689**	327,431,825	9,452,008	126,226,766	**463,110,599**
Inter segment balances					**(50,240,189)**				**(42,397,099)**
Total assets					**420,713,500**				**420,713,500**
Segment total liabilities	283,195,303	30,038,177	76,237,435	34,977,271	**424,448,186**	286,648,484	7,924,196	122,032,416	**416,605,096**
Inter segment balance					**(50,240,189)**				**(42,397,099)**
Total liability					**374,207,997**				**374,207,997**

Notes to the consolidated financial statements

41 Segmental information *(continued)*

	Business Segment					Geographic Segment			
	Global Wholesale AED'000	Global Wealth AED'000	Global Retail and Commercial AED'000	Head Office AED'000	Total AED'000	UAE AED'000	Gulf AED'000	International AED'000	Total AED'000
As at and for the year ended 31 December 2015									
Net Interest income	3,634,810	750,501	3,016,068	(94,301)	**7,307,078**	5,809,365	252,047	1,245,666	**7,307,078**
Net Non-interest income	1,551,144	254,349	1,086,544	356,735	**3,248,772**	2,554,636	94,031	600,105	**3,248,772**
Operating income	5,185,954	1,004,850	4,102,612	262,434	**10,555,850**	8,364,001	346,078	1,845,771	**10,555,850**
General administration and other operating expenses	1,391,833	373,212	2,313,550	4,324	**4,082,919**	3,271,097	168,443	643,379	**4,082,919**
Net impairment charge	592,977	33,447	522,076	(205,529)	**942,971**	799,706	(14,485)	157,750	**942,971**
Profit before taxation	3,201,144	598,191	1,266,986	463,639	**5,529,960**	4,293,198	192,120	1,044,642	**5,529,960**
Overseas taxation	172,191	76,392	49,376	184	**298,143**	(3,000)	17,306	283,837	**298,143**
Net profit for the year	3,028,953	521,799	1,217,610	463,455	**5,231,817**	4,296,198	174,814	760,805	**5,231,817**
Segment total assets	278,037,484	32,130,586	85,728,678	60,389,578	**456,286,326**	322,169,714	9,922,165	88,843,700	**420,935,579**
Inter segment balances					**(49,722,519)**				**(14,371,772)**
Total assets					**406,563,807**				**406,563,807**
Segment total liabilities	272,812,303	31,145,769	82,715,335	26,394,266	**413,067,673**	283,613,118	8,389,836	85,713,972	**377,716,926**
Inter segment balance					**(49,722,519)**				**(14,371,772)**
Total liability					**363,345,154**				**363,345,154**

Notes to the consolidated financial statements

42 Earnings per share

Earnings per share is calculated by dividing the net profit for the year after deduction of Tier 1 capital notes payment by the weighted average number of ordinary shares in issue during the year as set out below:

	2016	2015
Basic earnings per share:		
Net profit for the year (AED'000)	**5,296,042**	5,231,817
Less: payment on Tier 1capital notes (AED'000)	**(283,415)**	(201,187)
Net profit after payment of Tier 1 capital notes (AED'000)	**5,012,627**	5,030,630
Weighted average number of ordinary shares:		
Ordinary shares as at 1 January of the year ('000)	**5,198,640**	4,723,172
Effect of bonus shares issued during 2016 ('000)	**-**	-
Effect of bonus shares issued during 2015 ('000)	**-**	472,492
Weighted average number of shares exercised under the share options scheme ('000)	**2,701**	2,163
Weighted average number of ordinary shares ('000)	**5,201,341**	5,197,827
Basic earnings per share (AED)	**0.96**	0.97
Diluted earnings per share:		
Net profit after payment of Tier 1 capital notes (AED'000)	**5,012,627**	5,030,630
Add: interest on convertible notes (AED'000)	**45,853**	45,541
Net profit for the year for calculating diluted earnings per share (AED'000)	**5,058,480**	5,076,171
Weighted average number of ordinary shares ('000)	**5,201,341**	5,197,827
Effect of dilutive potential ordinary shares issued ('000)	**145,349**	117,655
Weighted average number of dilutive shares under share options scheme ('000)	**2,461**	5,226
Weighted average number of ordinary shares in issue for diluted earnings per share ('000)	**5,349,151**	5,320,708
Diluted earnings per share (AED)	**0.95**	0.95

Notes to the consolidated financial statements

43 Fiduciary activities

The Group held assets under management in trust or in a fiduciary capacity for its customers at 31 December 2016 amounting to AED 8,106 million *(2015: AED 7,285 million)*. Furthermore, the Group provides custodian services for some of its customers.

The underlying assets held in a custodial or fiduciary capacity are excluded from these consolidated financial statements of the Group.

44 Special Purpose Entities

The Group has created Special Purpose Entities (SPEs) with defined objectives to carry on fund management and investment activities on behalf of customers. The equity and investments managed by the SPEs are not controlled by the Group and the Group does not obtain benefits from the SPEs' operations, apart from commissions and fee income. In addition, the Group does not provide any guarantees or assume any liabilities of these entities. Consequently, the SPEs' assets, liabilities and results of operations are not included in these consolidated financial statements of the Group. The SPEs are as follows:

Legal name	Activities	Country of incorporation	Holding 2016
One share PLC	Investment Company	Republic of Ireland	100%
NBAD Private Equity 1	Fund Management	Cayman Island	58%
NBAD (Cayman) Limited	Fund Management	Cayman Island	100%

45 Comparative figures

Certain comparative figures have been reclassified where appropriate to conform to the presentation and accounting policy changes adopted in these consolidated financial statements. These are as stated below:

During the year, the Group revisited the basis of allocation around centrally held profit & losses and other inter-segmental allocations resulting in a restatement of comparative segmental information.

بنك أبوظبي الوطني
NBAD

NBAD

Corporate Governance Report 2016

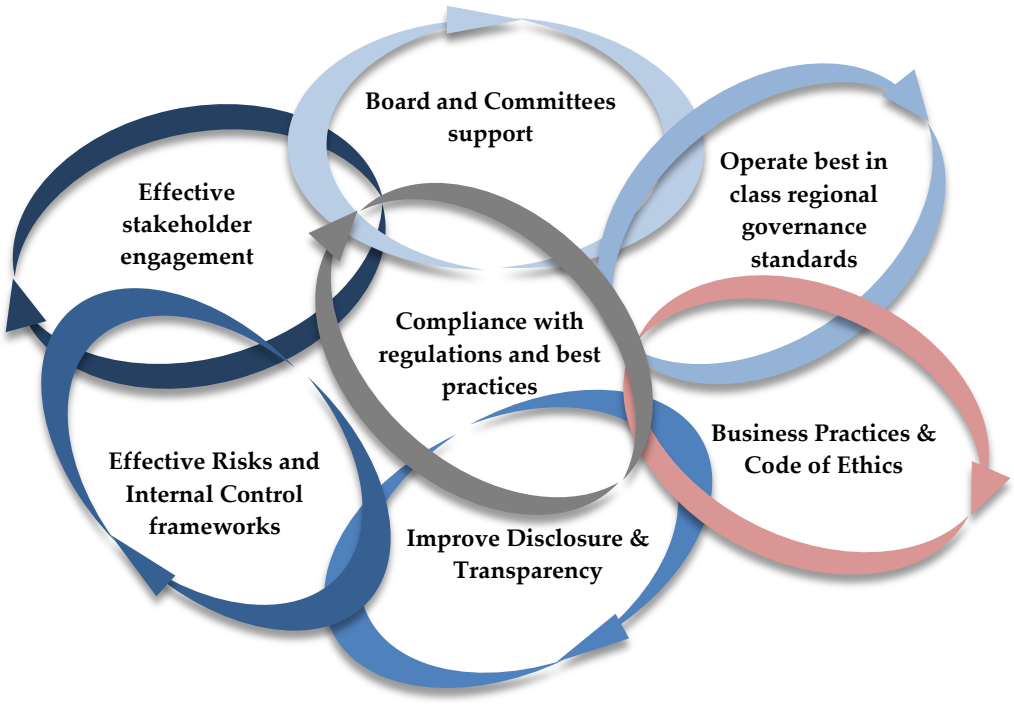


Introduction

The National Bank of Abu Dhabi and its Group companies (together "NBAD") recognise their responsibility to demonstrate ethical and sustainable business practices in the United Arab Emirates and abroad. A comprehensive corporate governance framework plays a key role in NBAD's culture, business practices and regulatory compliance.

NBAD believes that the benefits arising from a commitment to corporate governance are attributable to both documentary and behavioural elements. Hence, the Board has approved a framework which incorporates a broad range of policies for guidance and control, in addition to approving general principles of behaviour and personal conduct for which all Directors and staff are accountable as individuals and as a collective entity.

NBAD operates in adherence to a clearly laid out set of guiding principles pertaining to corporate governance, within a corporate governance framework. These principles cover:



The scope and sophistication of the corporate governance framework is proportionate to NBAD's nature, size and complexity. The Board also recognises that NBAD is operating in an evolving global environment of diverse expectations, constant regulatory change, and increasing focus on stakeholder engagement and accountability. NBAD continually seeks to develop and improve its corporate governance framework to enable the Board and management to discharge their duties effectively.

Recognition and Achievements

NBAD was ranked first in the S&P/Hawkamah Pan Arab ESG Index among 100+ listed organisations from various industries in the Middle East and Africa region on its environmental, social and corporate governance practices.

The Annual General Assembly was conducted on 15 March 2016 where the Board was re-elected

Performance evaluation of the NBAD Board and its committees takes place on an annual basis, forming a key component of the Bank's Corporate Governance Framework. Latest update on financial crime, anti-money laundering and sanctions regulations, in addition to the new UAE Companies Law No (2) of 2015, were presented to the Board of Directors. The Articles of Association was amended accordingly too the new UAE Companies Law No (2) of 2015.

The Corporate Governance Framework

The Board of NBAD has overall responsibility for directing the Group's affairs, to create and preserve value through the Group's operations, and to consider the shareholders and other stakeholder interests. It has documented its roles and responsibilities in a Board Charter and associated policies.

The Board has established a number of Committees, each of which remain an integral part of the Board and whose members are Directors of the Board. The remit of these Committees is to ensure that the Board can devote the maximum possible time to consider topics in more detail, to manage conflicts of interest, to satisfy regulatory rules, and other relevant activities as necessary to ensure the proper governance of the Group.

All Committee Charters have been updated to reflect their duties and accountabilities during 2016.

The Board is responsible for making delegations to the management, including the definition, scope, frequency, and nature of powers. Aside from certain authorities and powers reserved by the Board for its own decision-making, the Group Chief Executive is delegated full responsibility for the management, operations and compliance of NBAD. To satisfy its oversight role, the Board has defined a clear control structure which monitors the management's activities, in addition to creating supporting controls and reporting structures both internal and external to the firm. The delegation and control structure is also subject to compliance with, and oversight by, regulators and third parties, including the Central Bank of the UAE, and the Securities & Commodities Authority of the UAE and regulators in jurisdictions where NBAD operates.

The Board has mandated Codes of Conduct which apply to Directors, employees and agents of NBAD. The codes encourage appropriate behaviour; define inappropriate behaviour; and the process and outcome for the identification and reporting of such behaviour.

Consistent with NBAD's approach to employ high standards for transparency and disclosure for the benefit of shareholders and other stakeholders, NBAD publishes a wide range of reports containing financial and non-financial data, in addition to disclosures required for regulatory purposes.

NBAD has established a number of functions committed to engagement and communication with external stakeholders. These include Investor Relations, Sustainability, Company Secretariat and Corporate Communications. In addition, internal transparency and disclosure is considered from operational, ethical and regulatory perspectives, ensuring that staff are aware of NBAD developments, strategies, risks and their personal responsibilities and duties, whilst protecting customer and personal data confidentiality, sensitive information, and commercial secrets.

Shareholder rights and interests include reserved powers in the UAE Commercial Companies Law and NBAD Articles of Association, and are supported by the duty of the Board to act in the interest of the

Company. NBAD acknowledges that there are diverse interests within the shareholder base, and that the Board considers such interests when determining the objectives and strategies for the Group.

Regulatory Compliance

NBAD is regulated by the Central Bank of the UAE and is therefore required to comply with the Central Bank regulations, circulars and notices issued from time to time. In addition, NBAD is required to comply with all applicable laws and regulations of the UAE and those of the jurisdictions in which it operates, including, without limitation, the UAE Commercial Companies Law, rules and standards established by the Securities and Commodities Authority (SCA) of the UAE, and the NBAD Articles of Association.

NBAD is committed to complying with good corporate governance practices, and so has regard to the provisions of Ministerial Resolution 518 of 2009 Concerning Governance Rules and Corporate Discipline Standards ("MR518") as per listed companies, although this is not a mandatory requirement for Banks in the UAE.

Senior management has the responsibility to ensure compliance with applicable laws and regulations, and report on such matters to the Board. The Board provides guidance and oversight in terms of risk appetite, significant compliance and risk strategies, and dealing with compliance and risk outcomes. The Board has established the Audit and Risk Management Committees with delegated authorities, as noted below, and has also mandated the other Committees to suitably consider compliance and risk in terms of their Charters.

Board of Directors

Board Composition in 2016

Six of the 11 Directors, including the Chairman of the Board, are nominees of the Abu Dhabi Government, and five Directors were elected by the minority shareholders during the Annual General Assembly that took place on the .

All Directors are Non-Executive and two of those elected by minority shareholders are considered to be independent according to criteria set out by SCA.

Members represent a diversity of viewpoints, experiences and background and are capable of devoting the necessary time to discharge their duties and they are of integrity.

The composition of the Board satisfies the generally acceptable corporate governance practice relating to the separation of Chairman and Group Chief Executive and the majority membership of Non-Executive Directors.

H.E. Nasser Ahmed Alsowaidi **Chairman**

- Non-Executive Member since 19/05/2003
- Appointee of the Abu Dhabi Government



H.E. Nasser Ahmed Alsowaidi is the Chairman of the National Bank of Abu Dhabi P.J.S.C

Over the last 27 years H.E. has held positions across various economic and financial Government bodies in the United Arab Emirates, including the Executive Council, the Abu Dhabi Investment Authority (ADIA) and the Abu Dhabi National Oil Company (ADNOC).

H.E. holds a degree in Economics from the California State Polytechnic University, USA.

External appointments

- Chairman – Etihad Rail Company
- Board Member – Mubadala Development Company
- Board Member – International Petroleum Investment Company

H.E Sultan Nasser Al Suwaidi **Deputy Chairman**

- Non-Executive Member since 21/01/2016
- Appointee of the Abu Dhabi Government



H.E. Sultan Bin Nasser Al Suwaidi is the former Governor of the Central Bank of the UAE. He held this prestigious position for 23 years until he stepped down in September 2014. Over the last 38 years, H.E. Al Suwaidi has held many senior roles in leading organisations in the country, including General Manager of Abu Dhabi Investment Company (ADIC), General Manager of Gulf International Bank (Bahrain), and Managing Director and CEO of Abu Dhabi Commercial Bank.

H.E. AlSuwaidi has a B.S. degree in Business Administration and Finance, and started his career at Abu Dhabi Investment Authority (ADIA) in 1978 in the Finance and Administration Department. He represented ADIA on the Boards of many banks and financial institutions.

In 2006, H.E. AlSuwaidi was named Central Bank Governor of the Year for the Middle East by Emerging Markets Publication

Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan

Director

- Non-Executive Member since 19/03/2006
- Elected by the Minority shareholders



Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan is the Chairman of the Abu Dhabi National Insurance Company (ADNIC) which is a leading and prominent insurance provider in the region. Sheikh Mohammed also holds the role of the Chairman of its Risk Management Committee.

Sheikh Mohammed holds a degree in International Economics and History from the American University of Paris, France.

External appointments

- Chairman – Abu Dhabi National Insurance Company

Sheikh Ahmed Bin Sultan Al Dhaheri **Director**



- Non-Executive Member since 01/05/1994
- Elected by the Minority shareholders

Sheikh Ahmed Mohammed Sultan Al Dhaheri is currently the Chairman of Bin Srour Engineering. Prior to this, Sheikh Ahmed has been the Undersecretary of the

Department of Social Services and Commerce Building (DSSCB) from 1996 until 2009.

Sheikh Ahmed holds a Bachelor Degree in Civil Engineering Science.

External appointments

- Member – National Consultative Council (NCC), Abu Dhabi
- Board Member – Emirates Communication (Etisalat)
- Vice Chairman – Abu Dhabi National Hotels Company (ADNH), Abu Dhabi
- Vice Chairman – Abu Dhabi Aviation (ADA), Abu Dhabi

H.E.Hareb Masood Al Darmaki **Director**



- Non-Executive Member since 21/01/2016
- Appointee of the Abu Dhabi Government

H.E. Hareb Masood Al Darmaki is the Executive Director of the Private Equities department at Abu Dhabi Investment Authority (ADIA), and has been with the company since 1976.

H.E. Al Darmaki was formerly a Board member of the Arab Banking Corporation and of Qatar Telecom, and he was previously the Chairman of Abu Dhabi Investment Company and Abu Dhabi Securities Market.

H.E. Al Darmaki holds a Bachelor's Degree in Economics and Political Science from Bristol University in the United Kingdom, and a Master's Degree in International Studies from Johns Hopkins University, USA.

External appointments

- Chairman – Gulf Capital
- Chairman, Investment Committee - AXA Green Crescent Insurance Company
- Chairman, Investment Committee - The Zayed Bin Sultan Al Nahyan Charitable & Humanitarian Foundation
- Vice Chairman – ADIA Investment Committee
- Member – ADIA Strategy Committee
- Board Member – AXA Green Crescent Insurance Company

H.E. Sultan Bin Rashid Al Dhaheri **Director**

- Non-Executive Member since 02/05/1973
- Elected by the Minority shareholders



H.E. Sultan Bin Rashid Al Dhaheri is an Ex Member of the Federal National Council. H.E. is one of the most recognised and respected businessmen in the UAE and plays an essential role in the economy of the UAE through participation in different industries such as real estate, projects, portfolio management or by owning and acting as partner in leading commercial and industrial companies.

H.E. owns and sits as director for several major private companies in the UAE. In addition, H.E. is well recognised for his role on charitable activities both regionally and internationally.

External appointments

- Member – Federal National Council of the UAE
- Board Member – Abu Dhabi National Insurance Company

Mr. Khalifa Sultan Al Suwaidi **Director**

- Non-Executive Member since 19/03/2006
- Appointee of the Abu Dhabi Government



Khalifa Al Suwaidi is an Executive Director of the Direct Investment Department at the Abu Dhabi Investment Council (ADIC). Prior to this, he was the Deputy Director of the External Funds (Americas) Department at the Abu Dhabi Investment Authority (ADIA). Mr. Al Suwaidi was appointed as The National Bank of Abu Dhabi Managing Director in August 2016.

Mr. Al Suwaidi holds a degree in Business Administration (Finance) and MSC in Finance from Seattle University, USA and is a Chartered Financial Analyst.

External appointments

- Board Member – Union National Bank (UNB)
- Board Member – Abu Dhabi National Insurance Company (ADNIC)

Mr. Hashim Fawwaz Al Kudsi **Director**

- Non-Executive Member since 11/03/2009
- Appointee of the Abu Dhabi Government



Hashim Al Kudsi is an Executive Director, Active Investment Strategies, at the Abu Dhabi Investment Council (ADIC) since April 2007.

With a long term investment management background and experience in banking and

finance, he has a degree in Business Administration from American University, USA and is also a Chartered Financial Analyst.

Mr. Matar Hamdan Al Ameri **Director**



- Independent Non-Executive Member since 11/03/2010
- Elected by the Minority shareholders

Matar Hamdan Al Ameri has more than 25 years of experience in various roles in Abu Dhabi National Oil Company (ADNOC). Mr. Al Ameri started his career in ADNOC and has been involved in various senior finance roles in the ADNOC Group including secondment to Arthur Andersen for two and half years on assignments across UAE, Australia, UK and USA. Mr. Al Ameri is currently responsible for the oversight of the ADNOC Group Finance where he also represents as Member or Chairman the ADNOC Group on the Finance Board Advisory and Audit Committees of various companies such as ADCO, ADMA, ZADCO, GASCO, ADGAS, NDC, ESNAAD, FERTIL, BOROUGE, DNATCO, NGCSO and ADNOC Distribution.

An advocate of developing and maximising opportunities for UAE Nationals towards building future leaders and he is also active in the Al Ain Sports Club where he sits as a Board Member. Mr. Al Ameri holds a Bachelor's Degree in Accounting and Information Systems from UAE University.

External appointments

- Board Member – National Drilling Company
- Board Member – Abu Dhabi National Tanker Company
- Board Member – NGSCO
- Board Member – Excel London – Subsidiary of Abu Dhabi National Exhibition Co. (ADNEC)
- Finance Director – Abu Dhabi National Oil Company (ADNOC)

Mr. David Beau **Director**



- Independent Non-Executive Member since 11/03/2009
- Elected by the Minority shareholders

David Beau has been working for the Abu Dhabi Government since November 2003. Currently, he is the Chief Investment Officer of the Direct Investment Department at the Abu Dhabi Investment Council (ADIC).

Prior to this, he was a Fund Manager at the Abu Dhabi Investment Authority (ADIA). Mr. Beau is a CFA Charter holder and holds NASD Series 3, 7 and 24.

Mr. Beau grew up and went to university in Strasbourg, France and started his career in finance in New York as a stockbroker before joining Everest Capital in London. He subsequently moved to Bermuda and Dublin where he was a fund manager for Berco Ltd., a family office with substantial assets under management.

External appointments
Board Member – Abu Dhabi Investment Company (Invest AD)
Investment Committee member – Abu Dhabi National Insurance Company (ADNIC)

Ms. Mariam Saeed Ghobash **Director**

- Non-Executive Member since 21/01/2016
- Appointee of the Abu Dhabi Government



Mariam Saeed Ghobash is a senior investment professional in the Direct Investments Department at Abu Dhabi Investment Council dealing with the Council's portfolio of investments in the MENA region. She has worked as an Investment Associate within HSBC, and was previously a board member of National Takaful Company (Watania) and Al Hilal Bank.

Ms. Ghobash holds a Bachelor of Science in Economics from the Wharton School at the University of Pennsylvania in the US.

External appointments
Board Member – Emirates Development Bank
Board Member – Abu Dhabi Investment Company

Independent Directors

NBAD's Independent Directors are elected by the minority shareholders during the General Assembly. The Independent Directors are obliged to immediately inform the Board of any circumstance which may impact upon their independent status.

The Corporate Governance and Nominations Committee is charged with nominating suitable candidates for the shareholders to consider for election, and monitoring the independence of Directors according to agreed criteria. The SCA has mandated that nomination by a Government does not by itself exclude Directors from being considered Independent in the event that they would otherwise satisfy the conditions. Whilst the Government nominated Directors are not included in the number of Independent Directors stipulated by the Articles, the Board may potentially consider the attributes of Government nominees to determine whether Independent Directors constitute one-third of the total Board.

Director Nomination

All Directors serve a maximum term of three years, and there is no restriction on retiring Directors, if considered appropriate, being re-nominated for election at Annual General Meeting or re-appointed by the Abu Dhabi Government. As the Articles of Association fixes the number of Board Directors, the Board may also appoint new Directors to fill vacancies arising during the year, and any Director so appointed must seek re-election at the next Annual General Meeting.

Terms regarding nomination and election of Directors are stipulated in the NBAD Articles of Association as well as the Group Board of Directors Membership and succession policy to include certain representation, including a proportional number of Directors to the ownership by the Abu Dhabi

Government, and a minimum number of Independent Directors. The nomination of minority elected Directors are subject to a formal nomination process including the public call for nominations, review of appropriate skills and experience, categorisation as Independent if suitable, and inclusion of the nominations received in the Notice of Meeting for voting by shareholders. Election by minority shareholders of the Directors is subject to secret ballot.

Board Responsibility and Practices

In order to conduct its business and discharge its duties to a high standard of corporate governance protocols and policies, the Board has committed to several key documents which define the roles, responsibilities, functions, protocols and other matters relevant to the Board and its Members:

- Corporate Governance Policy, which establishes the overarching approach of NBAD.
- Charter of the Board of Directors and of each Committee.
- Directors Code of Conduct.
- Other NBAD policies referred to in the above.

During 2016 pursuant to an initiative of the Corporate Governance and Nomination Committee, the Company Secretariat performed a full review of the corporate governance policies, and the revised documents were approved by the Committee and the Board.

a. Role of the Board and its Members

The Board is responsible for directing the National Bank of Abu Dhabi and its subsidiaries towards the achievement of NBAD's vision. To this end, the Board ensures NBAD's strategic leadership, financial soundness, governance, management supervision and control.

The Board has delegated certain authorities and powers to committees and individuals including the Group Chief Executive. However, the Board reserves the authority to deal with specific matters. These are detailed with the Board Charter which is available on the Bank's website www.nbad.com.

Role of Chairman of the Board

It is the responsibility of the Chairman to lead the Board, ensure that the Board is aware of material information and developments pertaining to NBAD, and encourage all Directors to work in the best interests of NBAD. The role is defined clearly in the Board Charter:

- Facilitates and organize the work and activities of the Board and approves the annual rolling agenda for the Board as well as the agenda for each meeting;
- Ensures that new Directors are properly inducted and introduced to the business of NBAD;
- Ensures that Directors receive in good time all information which is necessary for the proper performance of their duties, this information to be accurate, relevant and timely;
- Ensures that there is sufficient time for consultation and decision-making by the Board;
- To effectively provide guidance & oversight and liaises regularly with the Group Chief Executive to ensure adequate contact between the Board and Senior Management;
- Oversees the orderly and efficient conduct of the General Meeting;
- Ensures effective communication with shareholders and other stakeholders and communicates any concern to the Board.

The Deputy-Chairman shall replace the Chairman in his absence or whenever the Chairman is unable to perform his duties. The role of the Committee Chairmen is substantially similar to that of the Chairman of the Board.

Role of Directors

Directors are expected to exercise due care and skill in the performance of their duties, and in particular to:

- Provide constructive challenge;
- Contribute strategic thought, and utilise their skills and experience;
- Ensure business performance conforms to strategic direction and NBAD values and ethics; and
- Ensuring satisfactory dialogue with shareholders and stakeholders.

Independent Directors have a particular obligation to:

- Conduct themselves and participate in Board matters with an independent mind;
- Give priority to NBAD upon any conflict of interest;
- Have particular regard to the protection of the interests of the minority shareholders; and
- Challenge the board and management.

Role of Group Chief Executive and Senior Management

The Group Chief Executive has delegated responsibility from, and a job description which is clearly defined by, the Board of Directors to ensure that the Company is operated in accordance with its mandate. Senior Management must ensure that the Board and Committees receive sufficient complete information on a timely basis.

b. Board Conduct

The Board has approved, and each Director commits, to particular codes and standards of conduct, which are to be considered in terms of their 'spirit' as well as the strict wording. The Directors Codes of Conduct and Board Charter notes the personal duties that Directors owe to the Company, and standards attached to:

1. Conflict of Interest
2. Provision of Banking Facilities
3. Employment of Family
4. Gifts, Benefits & Business Courtesy
5. Anti-Bribery and Corruption
6. Confidentiality
7. Insider Trading
8. Fair, Accurate and Timely Reporting and Disclosures
9. Ethical Behaviour and Whistleblowing
10. Directors and Officers Insurance

c. Board meetings and attendance

The Board commits to meet at least six times per year, with additional meetings as required to conduct special business. During 2015 the Board met 6 times. The Board may make unanimous written resolutions by circulation. This was made two times in 2015 merely for timing purposes, as the matter could not be held over to the next scheduled meeting. The Board voted unanimously in favour of the resolutions and there were no breaches.

Quorum for meetings is set at a simple majority of Directors, and voting during meetings is a simple majority of attendees.

The Chairman may make a casting vote. Directors must disclose potential conflicts of interest as soon as they are aware of the situation, and recuse themselves from further discussion and voting on the matter.

Attendance during 2016 was as follows:

201 Board Meeting Attendance	**27 January 2016**	**27 April 2016**	**2 July 2016**	**27 July 2016**	**16 October 2016**	**26 October 2016**	**4 December 2016**	**18 December 2016**
H. E. Nasser Ahmed Alsowaidi – *Chairman*	✓	✓	✓	-	✓	-	✓	✓
H.E Sultan Nasser Al Suwaidi - *Deputy Chairman*	✓	✓	✓	✓	✓	✓	✓	✓
Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan	✓	✓	✓	✓	✓	-	✓	✓
Sheikh Ahmed Mohammed Sultan Al Dhaheri	✓	✓	✓	-	✓	✓	✓	✓
H.E. Hareb Masood Al Darmaki	✓	✓	✓	✓	✓	✓	✓	✓
H.E. Sultan Bin Rashed Al Dhaheri	✓	✓	✓	✓	✓	✓	✓	-
Mr. Khalifa Sultan Al Suwaidi	✓	✓	✓	✓	✓	✓	✓	-
Mr. Hashim Fawwaz Al Kudsi	✓	✓	-	✓	✓		✓	✓
Mr. David Beau	✓	✓	✓	✓	✓	✓	✓	-
Mr. Matar Hamdan Al Ameri	✓	✓	✓	✓	-	✓	✓	✓
Ms. Mariam Saeed Ghobash	✓	✓	✓	✓	✓	✓	✓	✓

d. Delegation and Accountability

The Board retains specific powers in accordance with the NBAD Articles of Association and the Matters Reserved for the Board included in the Board Charter, and delegates other responsibilities to its Board Committees. Unless otherwise stated, all responsibility for day to day operation of the business is delegated to the Group Chief Executive and senior management who are accountable for mandates.

Certain specific powers which are subject to special controls are appropriately recorded in the Board Resolutions and Minutes. The Board monitors further delegations and devolution of power through NBAD via management reporting frameworks, independent reviews and verifications by audit, compliance and legal departments and external advisors. NBAD continues to review its delegations of authority pursuant to the evolution of risk strategies, prudential requirements, changes in the business environment and operational effectiveness.

e. Induction, Development, Evaluation and Succession

The Board, Committees and management require an appropriate balance of skills, experience, independence and knowledge having regard to the nature and complexity of the business, its

commercial environment, and the interests of stakeholders. The procedures for nomination of Non-Executive Directors for shareholder election and the selection of Directors for Subsidiaries are reviewed by the Corporate Governance and Nomination Committee, which takes these factors into account. New Non-Executive Directors receive formal induction, and all Directors commit to continually refresh their skills and knowledge.

In 2015, the latest Anti-Money Laundering Regulations and new UAE Companies Law No (2) of 2015 amendments were presented to the Board.

Board evaluation

Performance evaluation of the NBAD Board and its committees takes place on an annual basis, forming a key component of the Bank's Corporate Governance Framework.

f. Remuneration of the Board and Executives:

It is a policy of NBAD to offer a competitive compensation framework to attract, retain and motivate qualified and talented Directors and staff, whilst having regard to appropriate risk, accountability and the interests of shareholders to build value.

Remuneration for the Non-Executive Directors is based on the time commitment, skills, and responsibility borne by the Directors whilst undertaking their duties for the Board and Committees. The total remuneration allocation for the Non-Executive Directors is approved at the Annual General Meeting based on the recommendation of the Corporate Governance and Nominations Committee and the Board, and subject to regulatory limits. The compensation is allocated to Directors based on their membership and additional roles performed in the Board, including Chairmanship of the Board or Committee and attendance at Committee meetings.

2016 Board Remunerations:-

Title	Annual Fee (AED)	Committee attendance (AED/Meeting)
Chairman	1,000,000.00	5,000.00
Deputy Chairman	750,000.00	4,000.00
Director	600,000.00	4,000.00

The Group Chief Executive and Senior Management's remuneration is structured to link reward with corporate and individual performance. As noted below, the Corporate Governance and Nominations Committee is tasked with determining appropriate remuneration frameworks for the Board while the Human Resources Committee reviews Senior Management performance and determines appropriate remuneration frameworks for the Group, taking account of incentivisation measures, risk, seniority, responsibility and industry benchmarks.

In accordance with the NBAD Articles of Association, Executive Directors and Senior Management may participate in the Staff Share Option Scheme, under which allocations of rights are monitored and approved by the Board of Directors.

Board Committees:

a. Committee Mandates

The Board has established five Committees in order to focus on key initiatives and controls of NBAD and to assist in the efficiency and effectiveness of the Board. Each Committee Charter is approved by the Board and outlines authority, responsibilities, meeting frequency and practices, reporting, and self-evaluation. The Committees are required to meet as frequently as deemed necessary to fulfil their objectives and to allow sufficient time for discussions, presentations, deliberation, and decisions or recommendations to be clearly formulated.

The composition and Chairmanship of each Committee is approved by the Board after recommendation by the Corporate Governance and Nomination Committee, and reviewed on an annual basis. Quorum is a simple majority, and voting is a simple majority of those in attendance with the Committee Chairman having a casting vote in the case of tied voting. The Committee Chairman shall escalate to the Chairman of the Board and Company Secretary any significant matters arising from the Committee.

Only Directors may be appointed to Committees, however each Committee shall have the authority to obtain advice and assistance from outside legal, accounting and other advisors as it deems necessary to carry out its duties. The Committee may also request management and any other internal or external advisors to attend meetings and/or conduct any investigations, reviews or studies of any matter within the scope of the Committee's duties and responsibilities. In connection with any such investigation, the Committee shall have unrestricted access to NBAD's personnel and documents.

b. Committee Scope and Composition

This table summarises membership as at **31 December 2016.** 'C' denotes the current Chairmen of the Committees.

	Risk Management	Audit	Corporate Governance & Nominations	Human Resources	Strategy & Transformation
H.E. Nasser Ahmed Alsowaidi - Chairman					
H.E Sultan Nasser Al Suwaidi - Deputy Chairman	C				
Sh. Mohammed Bin Saif Bin Mohd Al Nahyan				C	C
Sh. Ahmed Mohammed Sultan Al Dhaheri					
H.E. Hareb Masood Al Darmaki			C		
H.E. Sultan Bin Rashed Al Dhaheri					
Mr. Khalifa Sultan Al Suwaidi					
Mr. Hashim Fawwaz Al Kudsi					
Mr. Matar Hamdan Al Ameri - Independent		C			
Mr. David Beau - Independent					
Ms. Mariam Saeed Ghobash					

Audit Committee Members: Minimum 3, including 1 Independent

Oversight and review of:

- Integrity of financial statements, accounting policies, adjustments & financial reporting.
- Adequacy and effectiveness of internal control, IT security & risk management systems.
- Compliance with laws & regulations, whistleblowing & fraud.
- Investigations into integrity, conflicts of interest & adherence to standards of conduct of Senior Management.
- Examination reports from regulatory authorities.
- Internal audit function, plans, independence, resourcing and effectiveness in the context of NBADs overall risk management.
- Appointment, remuneration & removal of Group Chief Audit Officer.
- External audit function, including recommendations to the Board & Shareholders on appointment, remuneration, non-audit fees, independence, audit plans, audit recommendations & removal.
- Compliance with Codes of Conduct.

Risk Management Committee Membership: Minimum 5

The Risk Management Committee plays a key role in evaluating the risk appetite and policies of the Group. This is an extremely active Committee with delegated decision-making authority on material credit approvals, in addition to the strategic risk issues. Certain matters may be decided, and later ratified by the Committee, in case of extreme urgency when the Committee cannot meet.

Oversight and review of:

- Risk appetite & tolerance taking into account the Group's strategies & operating environment.
- Group's risk methodology, KPIs and tolerances, including stress testing.
- Trading, investment, liquidity, funding & interest rate risk, including transfer pricing.
- Risks of strategic acquisitions or disposals.
- Adequacy & allocation of capital.
- Management proposals, material risk transactions & seeking Central Bank approval if required.
- Alignment of remuneration to risk.
- Risk disclosures & reports.
- Compliance with regulatory requirements.
- Overall risk management framework, including adequacy of company procedures, material findings of regulators, independence & resourcing of the risk function, & assurance from internal audit on risk controls.
- Chief Risk Officer Role.

Corporate Governance & Nominations Committee Membership: Minimum 3, including 1 Independent

Oversight and review of:

- Corporate Governance Charters, policies, practices, & organizational structure.
- Size and composition of the Board & its Committees relative to the responsibilities of each.
- Director independence.
- Allocation of responsibilities to the Committees, Directors & Company Secretary.

- Board membership & management of subsidiaries.
- Board remuneration.
- Outside directorships, director lending, share trading and conflicts of interest of Directors & Senior Management.
- Compliance with Charters & policies.

Human Resources Committee Membership: Minimum 3, including 1 Independent

Oversight and review of:

- Strategic human resources.
- Remuneration & performance related pay schemes, policies & framework for NBAD.
- Appointment, promotion, remuneration, retirement & dismissal of Senior Management.
- Development & implementation of Emiratisation strategies & targets.
- Terms of reference and reporting of the Management Remuneration Committee.
- Training strategy for NBAD.
- High level succession planning.
- Review of Senior Management performance against KPIs.
- Headcount budgets.
- HR related expenditure above delegated authorities.

Strategy and Transformation Committee Membership: Minimum 3

Oversight and review of:

- Assisting the NBAD Board in fulfilling and development of its strategic plan.
- Assist the Board in relation to the implementation of the Bank's strategy and related transformation implementation plan, expansion, acquisition strategy and potential acquisitions.
- Review and evaluate major unbudgeted expenditure, external developments and factors.
- Issues related to senior staff.
- Structure, size and composition of the STC, determined by the Board.
- Review plans to relaunch new products, lines of businesses or projects
- Assist the Board in regards to NBAD's mission, vision and values.

Risk and Control Framework

The Board of Directors has approved and implemented an extensive internal control system, which includes:

- Control environment and codes of conduct for the Board and staff.
- Risk management.
- Control functions.
- Management Information systems
- Monitoring, security and prevention systems.

The significant functions which form the control system include Internal Audit, Risk, Legal and Compliance, and Company Secretariat. Control functions within NBAD functionally report to the Board or designated Committees, and administratively report to the Group Chief Executive.

Control functions are comprised of skilled and experienced staff with internationally recognized qualifications, and are provided with unfettered and independent powers to investigate the affairs and internal controls of the Corporation. Where necessary, the controls function may also be outsourced to reputable third parties who are qualified to provide specialist expertise.

In particular, the evolution of risk perspectives and policies in the international and local regulatory environment will continue to mandate or influence NBAD's approach to, and appetite for, risk. As risk is an integral part of both the operational and control framework, the Board will continue to monitor the appropriate delegation of risk, the continued nature of its risk appetite and strategies, and the authorities provided to the Risk Committee.

The External Auditors are paid on a fixed annual fee basis. The auditors' fee is recommended by the Board of Directors for shareholders' approval in the Annual General Meeting. Non-audit work or audit work not within the scope of the annual review will be reviewed by the Audit Committee on a case by case basis, although procurement policies may exclude tendering by auditors to avoid any perceived or potential conflict of interest. The external audit fees are disclosed in the NBAD Annual Audited Accounts.

As required by the Central Bank of the UAE and as desirable for international banks of NBAD's stature, NBAD has implemented a comprehensive set of policies for the prevention and detection of fraud, corruption, bribery, money laundering and other criminal and civil offences. These are monitored by a number of control functions, which ultimately report to the Committees and Board on matters of significant breach, local and international updates, monitoring programs, trends and risks. Whilst NBAD has instituted a sophisticated set of systems and controls to segregate duties, establish limits and approval processes, and monitor and audit employee and stakeholder interactions, it is recognised that systems are not failsafe. Hence, NBAD has an over-arching Whistleblowing Policy which incorporates independent reporting channels, confidentiality and sensitivity, investigation powers, escalations, reporting, re-integration of findings into the operational and control framework, and regulatory co-operation.

Transactions of Directors and Employees in Securities

By virtue of NBAD's status as a listed company on the Abu Dhabi Stock Exchange, Directors and staff are subject to certain trading restrictions on NBAD securities, including Close Periods. All Directors and a wide class of Senior Management are classified by NBAD as "Insiders" with respect to trading rules set by the SCA, which imposes internal and public disclosure requirements. The 'Insider List' is reviewed and updated quarterly.

Also, due to the nature of NBAD's business, Directors and staff may come into possession of material non-market information which may impact the prices of listed securities (including equities, bonds, ETFs, etc.) on many global exchanges. The legal prohibition of Insider Trading is incorporated within the NBAD's Codes of Conduct, which specifies that trading with inside knowledge on any security (including but not limited to NBAD securities) is strictly forbidden and may expose the individual and NBAD to serious negative outcomes. All Directors and staff are made aware of their legal obligations,

the consequences for non-compliance, and the need for timely, relevant disclosure in relation to reporting on these issues.

Other Policies

Dividends

NBAD adopt a conservative policy when distributing dividends, taking into account the current challenging economic and financial conditions with the aim to strengthen the safety and soundness of the bank's financial position. The board of directors examines various elements, factors and requirements in order to decide on what cash or share dividend each year that can be recommended. The assessment takes in-depth review which is presented to the annual shareholders meeting for their final approval.

However, clause (56) of the bank's AOA refers to certain procedures when considering distribution of dividends to shareholders. It calls for deducting certain percentages from the net profit in favor of various accounts namely (10%) for the legal reserve, another (10%) for the special reserve. Then, of the remaining profits; the max of (10%) can be deducted for the remuneration of the board of directors and thereafter, the net profit can be distributed to shareholders or added to retained earnings.

Provided that no adverse conditions exist regarding domestic and/or global economic circumstances, and after making transfers to the mandatory reserves and ensuring that the Bank's capital adequacy ratio remains at the targeted level, and subject to approval by shareholders, NBAD's policy is to recommend for the approval of shareholders in the Annual General Meeting a cash dividend and or share dividend which are covered at least three times by the distributable profit.

Corporate Sustainability

NBAD has a proud history of being a UAE leader in disclosure through the publication of annual Corporate Responsibility and Sustainability Reports, employing the Global Reporting Initiative's (GRI's) international reporting standard and the supporting Financial Sector Supplement.

All historical reports and current reports are available on the NBAD website in the Governance section, demonstrating NBAD's commitment to full disclosure, of both current achievements and historical context, and continuous improvement.

Share Registry Services

NBAD is a significant provider of share registry services to other public joint stock companies in the UAE and is recognised by the market for providing integrated and support services for the conduct of

shareholder actions. The Securities and Funds Administration Services Department is subject to an extremely high standard of duty and care with regard to issues such as regulatory compliance, confidentiality, audit and regulatory co-operation.

Investor Transparency and Disclosure

A dedicated Investor Relations site is included on the Corporation's website (www.nbad.ae), where investors are provided with current information relating to the Corporation such as:

- Annual reports
- Financial reports
- Corporate Governance documentation
- Credit profiles
- Analyst coverage
- Press releases
- Securities information
- Presentations
- Feedback facility

بنك أبوظبي الوطني
NBAD

NBAD

Capital Adequacy and Risk Management Report

(Basel-II Pillar 3 Disclosures)

For the year ended 31 December 2016



1. Introduction

This document presents the Pillar 3 disclosures of NBAD Group ("the Group") on a consolidated basis as at 31 December 2016. The purpose of Pillar 3 disclosures, as explained under Basel II Accord[1], is to allow market participants to assess key pieces of information on the firm's capital, risk exposures and risk assessment process.

The Group is regulated by the Central Bank of UAE (CBUAE) and follows the Pillar 3 disclosure requirements as stated under the CBUAE guidelines, issued in November 2009, on the implementation of Basel II accord.

The Pillar 3 disclosures are to be read in conjunction with the Audited Financial Statements as of 31 December 2016.

2. Regulatory Framework

The Group assesses its capital adequacy based on the rules published in November 2009 by the CBUAE. The CBUAE regulatory framework is adopted from Basel II accord with applicable national discretion. The framework is structured around the following three Pillars:

- Pillar 1 on minimum capital requirements for credit, market and operational risk
- Pillar 2 on the supervisory review process and the Internal Capital Adequacy Assessment Process (ICAAP)
- Pillar 3 on market discipline

2.1 Pillar 1 – Minimum Capital Requirement

Pillar 1 defines the total minimum capital requirements for credit, market and operational risk. The measurement approach is broadly classified into two categories, standardised approach and model based approach. In a standardised approach, regulatory prescribed risk weights and parameters are applied to calculate Pillar 1 capital requirements, while a modelled approach allows the use of internally estimated risk parameters.

The capital adequacy ratio is calculated by dividing the eligible regulatory capital with risk-weighted assets (RWA). As per CBUAE guidelines, all UAE banks are subject to a minimum

[1] "International Convergence of Capital Measurement and Capital Standards", June 2006 and "Enhancements to the Basel II Framework", July 2009, Bank for International Settlements

capital adequacy ratio of 12%, which is significantly higher than the minimum capital ratio requirement of 8%, as stipulated under Basel II framework. Capital adequacy ratio for the Group as at 31st December 2016 was 18.09%, well above the CBUAE minimum.

The Group calculates capital requirements as per CBUAE guidelines for credit, market and operational risks as described below.

a) Credit Risk

The Group uses the standardised approach to calculate RWA for credit risk. It uses risk weights to convert exposures into RWA as per the CBUAE guidelines for Basel II which can range between 0% for certain sovereign exposures to 150% for high risk exposures. Where applicable, mainly for unfunded, exposures are adjusted for credit conversion factor (CCF) in accordance with the CBUAE guidelines.

Credit Risk Capital = Exposure x CCF x Risk Weight x 12%

For non-retail exposures the risk weights are driven by credit ratings published by external credit agencies approved by the CBUAE.

It is worth noting that for internal portfolio risk management and pricing purposes, the Group uses internal credit rating models across various portfolio segments. This is described in detail in section 5.1.

b) Market Risk

The Group uses the standardised approach to calculate RWA for market risk as per the CBUAE guidelines to calculate RWA for specific risk. In calculating RWA for market risk, the Group distinguishes between general and specific risk and between holdings in the trading book and holdings outside the trading book.

c) Operational Risk

The Group applies the basic indicator approach (BIA) for calculating capital requirement for operational risk for year-end 2016. The calculation is based on a single indicator, that is, operating income. Capital requirement is calculated as 22.5% of the average operating income during the past three years. The RWA for operational risk are calculated by diving the capital requirement by 12%.

2.2 Pillar 2 – ICAAP and Supervisory Review Process

The Group performs annual ICAAP exercise with comprehensive risk assessment and stress testing and the results are submitted to the CBUAE for supervisory review process. Key highlights of the ICAAP are listed below.

- Define risk appetite of the Group
- Undertake projection of key financials, risk profile, and capital position
- Assess and quantify, where material, the risks that are either not fully covered under Pillar 1 (e.g. concentration risk) or not covered under Pillar 1 (e.g. liquidity risk , interest rate risk in the banking book)
- Conduct a stress test to assess the robustness and vulnerability of Group's business model to a change in business environment

2.3 Pillar 3 – Market Discipline

The Group, on an annual basis, discloses detailed qualitative and quantitative information on its risk management practice and capital adequacy in line with the CBUAE Pillar 3 guidelines.

2.4 Differences between Financial Statements and Basel II Reporting of Credit Risk Exposures

Credit risk exposures reported under Basel II differ in respect of the following vis-à-vis financial statements:

- As per CBUAE Basel II framework, off balance sheet exposures are converted, by applying a credit conversion factor (CCF), into direct credit exposure equivalents
- Under the comprehensive credit risk mitigation approach under the standardised approach, eligible collaterals are considered subject to regulatory haircuts to estimate and report net exposure

2.5 Implementation of Basel III

During 2011, Basel Committee on Banking Supervision (BCBS) officially announced the final set of revised regulatory capital rules known as "Basel III", which are being phased in globally.

Subsequent to Basel III consultation paper issued by CBUAE In 2016, new capital adequacy regulations are issued by CBUAE on 02 March 2017. The key features of new capital adequacy regulations are as follows:

- The new capital regulations are effective from 1st February 2017
- The capital ratios need to be met by three type of capital instruments Common Equity Tier 1 (CET1), Additional Tier 1 (AT1), and Tier 2
- Banks are required to maintain minimum CET1 ratio of 7.0%, excluding any buffers
- Minimum Tier 1 ratio would increase from 8%, as per existing CBUAE rules, to 8.5%
- Minimum capital adequacy ratio (CAR) would decrease from 12% to 10.5%, however, additional capital buffers need to be maintained in CET1 capital by 2019
- The additional buffers are capital conversation buffer of 2.5%, countercyclical buffer of 0% to 2.5%, and Domestic Systemically Important Banks buffer (if applicable)
- Capital instruments that no longer qualify as non-common equity Tier 1 or Tier 2 capital will be phased out over 10 years starting from January 2017

Further detailed guidelines are expected from CBUAE in the form of capital standards which will provide further clarity on certain elements including regulatory adjustments, eligibility criteria for Tier 1 and Tier 2 Capital etc.

3. Group Risk Governance

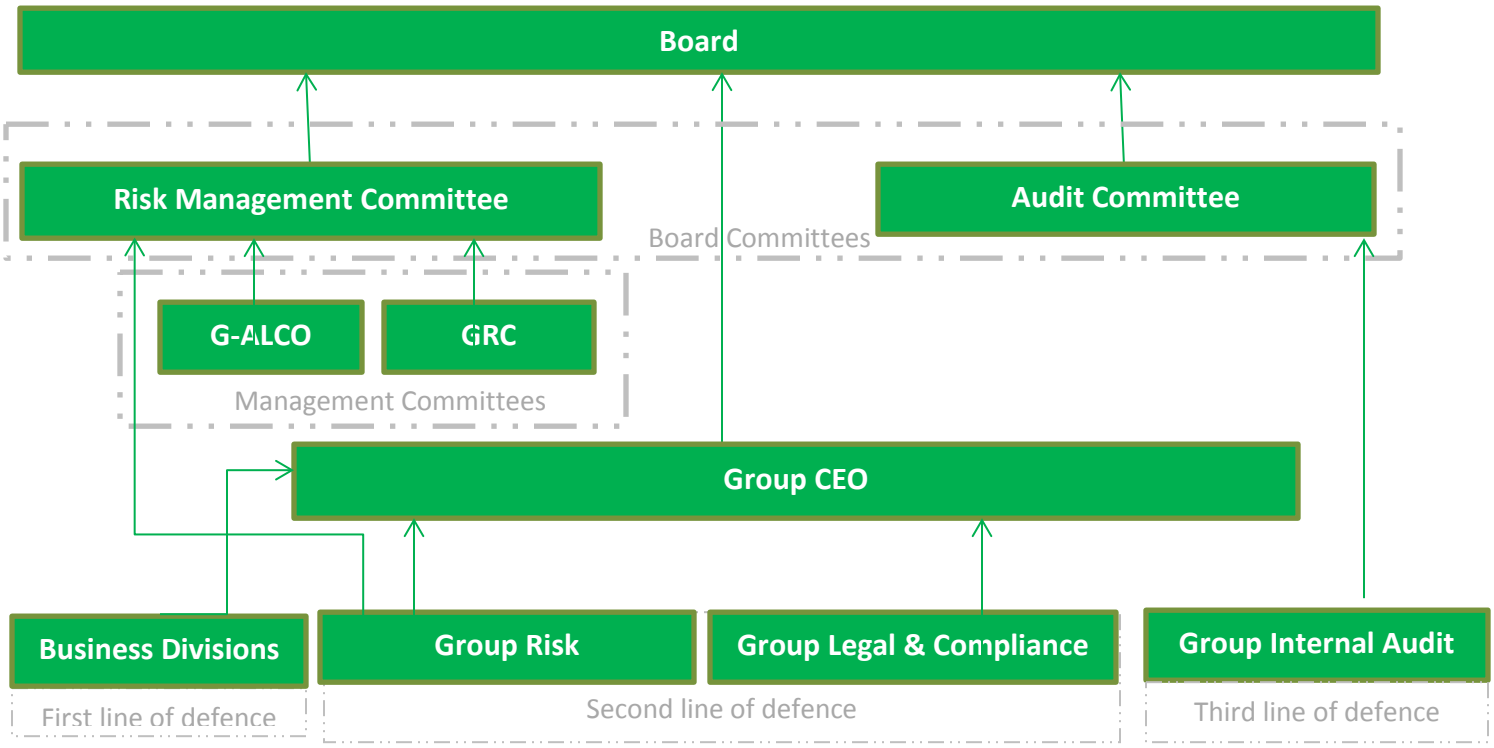
The Board of Directors (the "Board") has overall responsibility for the establishment and oversight of the Group's risk management framework and they are assisted by two board committees (Risk Management Committee and Audit Committee), and two management committees (Group Risk Committee ("GRC") and Group Assets and Liabilities Committee ("G-ALCO")).

The Group manages risks using three lines of defence comprising of business units, control units and internal audit.

Business Units, as the first line of defence, identify and manage risk in their day-to-day activities by ensuring that activities are within the Group's risk appetite and are in compliance with all relevant internal policies and processes.

Group Risk (comprising head office risk and risk functions embedded in business divisions) and Legal and Compliance division, as the second line of defence, establishes risk controls comprising of policies and processes while also providing oversight and independent challenge to the first line of defence. The Group Chief Risk Officer ("GCRO") has a direct reporting line to the RMC to ensure the independence of Group Risk from business.

Internal Audit, as the third line of defence, provides assurance to management and the Board of the effectiveness of risk management practices employed by the first two lines of defence. The Group Chief Audit Officer has a direct reporting line to the Board Audit Committee.



3.1 Board Committees

a) Risk Management Committee

The Risk Management Committee (RMC), comprising of members from the Board, is responsible for recommending and setting the Group's risk strategy and policy guidelines, and subsequently monitoring adherence. The RMC takes credit decisions above management's discretionary powers, defines risk limits within which the Group's management operates and also monitors the overall risks for the Group.

b) Audit Committee

The Audit Committee, a Board level committee, exercises oversight to monitor compliance with regulatory guidelines and the Group's internal policies and procedures.

3.2 Management Committees

a) Group Risk Committee

The GRC is accountable to the RMC in respect of all risk management facets within the Group. The primary function of the committee is to ensure that the Group's policies and procedures incorporate sound risk management practices and that the same are implemented. It also reviews and recommends to the Board, the risk appetite, risk limits, risk aspects of business strategy and planning, and approves risk policies and analytical models to ensure effective risk management.

b) Group Asset Liabilities Committee

The G-ALCO is the driving force and key decision maker behind the structure and quality of the balance sheet. The G-ALCO is directly accountable to the RMC for ensuring that the risks within the Group's Asset and Liability positions are prudently managed by way of strong policy and procedures and an appropriate risk framework. The G-ALCO must be constantly aware of and actively manage these risks and their potential impact on the Group's business and strategic objectives.

c) Divisional Risk Committees

In addition to the aforementioned risk committees, there are divisional risk committees which act under the authority of the GRC, and assist the GRC and the GCRO in discharging their responsibilities by providing oversight of the execution of the Group's Risk Management Framework. Currently the Group has four divisional risk committees, viz., Global Wholesale, Global Commercial, Global Retail, and Global Wealth.

3.3 Group Risk

A separate Risk Group, reporting to the RMC and Group Chief Executive (G-CE), assists in carrying out the oversight responsibility of the Board. There are two main independent functions of the Risk Group.

a) Head Office Risk

Head office risk primarily consists of credit adjudication unit and Group Integrated risk management. The functions and responsibilities of each of these units are listed below.

i. Credit Adjudications Unit

- Credit underwriting within defined authorities and recommending credits to higher approval levels
- Management of problem credits
- Oversight of embedded risk units within business units

ii. Group Integrated Risk Management (GIRM)

- Define risk appetite, policies, frameworks and the risk architecture of the Group as well as the overall management of portfolio credit risk, market risk, operational risk, and business continuity management
- Responsible for risk infrastructure and implementation of key risk systems
- Develop and own risk measurement methodologies, viz., models and assumptions, stress testing framework and risk regulatory compliance

b) Embedded Risk in Business

- Credit risk assessment, approval of individual credits within defined authorities and recommend credits to higher approval levels
- Ongoing effective monitoring ensuring early identification of problematic accounts through regular reviews and identification of early alert signs
- Monitoring market risk and implementation of Operational Risk Management ("ORM") and Business Continuity Management ("BCM") policies, frameworks and tools

3.4 Risk Appetite

The Group has established a risk appetite framework, which defines the amount and type of risks acceptable to the Group while pursuing its strategic and business objectives. The Group's risk appetite framework primarily reflects its capacity to take risk, defined in terms of Risk Appetite Parameters (RAPs) which are circumscribed by self-imposed constraints and tolerance levels around them. These constraints are limits and triggers to avoid adverse outcomes that may lead to unexpected losses of a scale that would be detrimental to the stability of the relevant business units or of the Group as a whole.

The Board level Group's risk appetite parameters are designed across seven areas:

- Credit rating
- Capital adequacy and leverage
- Risk adjusted return on capital and earnings volatility
- Credit risk, e.g. asset quality, cost of risk, and provision coverage
- Liquidity and funding risk
- Market risk
- Operational risk

The risks captured by RAP's are monitored by defining tolerance and limit level for each RAP at a Group as well as business unit level. At business unit level, along with risk parameters, the risk appetite provides specific guidance in terms of 'what is encouraged' and 'what is discouraged' as well as overarching key risk messages.

In addition to the aforementioned risk appetite, the Group has also formulated comprehensive asset underwriting standards for its wholesale customer segments, commercial, and retail business divisions. The underwriting standard, within the premise of Group credit risk policy, lays down following principles:

- Borrower and transaction level lending principles
- Prohibited and restricted credits
- Covenants and key ratios
- Concentration limits
- Dos and Don'ts
- Key risk appetite thresholds

4. National Bank of Abu Dhabi PJSC ("NBAD") and First Gulf Bank PJSC ("FGB") merger

On 3 July 2016, the Boards of Directors of NBAD and FGB voted unanimously to recommend to shareholders a merger of the two Abu Dhabi-listed banks.

Subsequently, on 7 December 2016, the proposed merger of the NBAD and FGB was approved by the Shareholders to be effected by way of a merger pursuant to Article 283(1) of UAE Federal Law No. 2 of 2015 Concerning Commercial Companies (the Law), through the issuance of 1.254 new NBAD shares for every 1 share in FGB subject to the terms and conditions of the merger and with effect from the merger becoming effective.

The share capital of the merged Company would increase from AED 5,254,545,318 to AED 10,897,545,318.

Upon completion of the approved merger, FGB shareholders will own approximately 52 percent of the combined bank and NBAD shareholders will own approximately 48 percent. The combined bank will retain NBAD's legal registrations and the brand name of "National Bank of Abu Dhabi". On the effective date of the merger, FGB shares will be delisted from the Abu Dhabi Securities Exchange.

5. Capital Management

The Group is governed by CBUAE guidelines on regulatory capital requirements on a consolidated basis, including all its subsidiaries and overseas branches. In addition to capital management at Group level, the overseas branches and subsidiaries are directly supervised by their local regulators for operations carried out by those specific entities.

5.1 Subsidiaries and Significant Investments

NBAD uses a Regulatory Consolidation scope in line with BIS Basel II for capital consolidation. The accounting policies related to subsidiaries and significant investments are disclosed in the annual report of the group and there is no significant difference between the basis of consolidation used for financial reporting purpose and as per regulatory requirements.

The table below provides the list of the Group's subsidiaries and significant investments as at 31 December 2016 together with the consolidation method used:

Table 1: Subsidiaries and Significant Investments as at 31 December 2016				
Name of Entity	**Country of Incorporation**	**Ownership %**	**Description**	**Accounting Treatment**
Subsidiaries				
NBAD Americas N.V. (formerly Abu Dhabi International Bank	Curacao	100%	Banking	Fully Consolidated
NBAD Securities LLC	United Arab Emirates	100%	Brokerage	Fully Consolidated
Abu Dhabi National Leasing LLC	United Arab Emirates	100%	Leasing	Fully Consolidated
Abu Dhabi National Properties PrJC	United Arab Emirates	100%	Property Management	Deducted from Capital
NBAD Private Bank (Suisse) SA	Switzerland	100%	Banking	Fully Consolidated
Abu Dhabi National Islamic Finance Pvt.JSC	United Arab Emirates	100%	Islamic Finance	Fully Consolidated
Ample China Holdings Limited	Hong Kong	100%	Leasing	Fully Consolidated
Abu Dhabi Brokerage Egypt	Egypt	96%	Brokerage	Fully Consolidated
National Bank of Abu Dhabi Malaysia Berhad	Malaysia	100%	Banking	Fully Consolidated
NBAD Employee Share Options Limited	United Arab Emirates	100%	Shares & Securites	Fully Consolidated
SAS 10 Magellan	France	100%	Leasing	Fully Consolidated
NBAD Global Multi-Strategy Fund (under Liquidation)	Cayman Island	100%	Fund Management	Fully Consolidated
National Bank of Abu Dhabi Representações Ltda	Brazil	100%	Representative office	Fully Consolidated
NBAD Financial Markets (Cayman) Limited	Cayman Island	100%	Banking	Fully Consolidated
Nawat Management Sercives	United Arab Emirates	100%	Servives	Fully Consolidated
Significant Investments:				
NBAD Special Purpose Entities				
One Share PLC	Republic of Ireland	100%	Investment Company	Not Included
NBAD Private Equity 1	Cayman Island	58%	Fund Management	Not Included
NBAD (Cayman) Limited	Cayman Island	100%	Fund Management	Not Included
Others:				
National Takaful PJSC	Abu Dhabi, United Arab Emirates	17%	Insurance	Deducted from Capital
Mercury Payments Services LLC	Abu Dhabi, United Arab Emirates	20%	Financial Intermediation	Deducted from Capital

5.2 Capital Adequacy

The capital management process of the Group is linked to the overall business strategy to ensure that capital is adequate to the level of inherent risk in the business and within the firm's capital risk appetite The Group conducts capital planning in conjunction with the financial budgeting exercise.

The Board and top management define the long term strategic direction for the Group. This provides the framework for the development of a bottom up plan based on the projections from individual business units. The bottom up plan is an input to the annual budgeting process and is conducted at a business unit and country level. These are consolidated for each business division and finally, for the entire Group. Business units, within each division, develop forecasted balance sheet and P&L statements for the next year, by considering the following key parameters:

- Short term (one year) goals
- Risk appetite and strategy
- Target growth rates
- Target returns

The Group's capital management policy aims to ensure that it has sufficient capital to cover the risks associated with its activities and the allocation of capital across the group. The assessment of the various risks across the Group and their likely impact is carried out in conjunction with ICAAP undertaken annually. As part of the ICAAP process, the Group identifies the various risks it is exposed to as part of its day-to-day operations. The Group assesses these risks against the in place policies and procedures, frameworks and methodologies, contingency plans and other processes to measure, manage and mitigate the impact of such risks. Finally, the Group determines the risks which would be covered by capital.

The key objectives of the Group's capital management process are:

- Maintain sufficient capital to meet minimum capital requirement set by CBUAE as well as to ensure transition to Basel III in terms of capital ratios
- Maintain sufficient capital to support Group's risk appetite and strategic objectives as per long-term strategic plan
- Maintain adequate capital to withstand stress scenarios including increased capital requirements determined through ICAAP
- Support the Group's credit rating

The Group conducts a multi-year stress test exercise in which the Balance Sheet and Profit and Loss statements are determined for base case and stress scenarios. The risk factors are impacted by the assumptions made for the base and stress scenarios and the corresponding impact on the capital adequacy is determined. The Group uses macroeconomic stress tests in order to project capital need and capital levels under various unfavorable scenarios. Stress testing is an important tool in internal capital planning.

The consolidated capital structure and key ratios related to Group's capital position as at 31 December 2016 are as follows:

Table 2: Consolidated Capital Structure as at 31 December 2016

Description	Amount
	AED '000
Tier 1 Capital	
1. **Paid up share capital/common stock**	5,513,686
2. **Reserves**	
a. **Statutory reserve**	2,627,273
b. **Special reserve**	2,627,273
c. **General reserve**	21,143,252
d. **Retained Earnings**	7,375,675
e. **Others**	
3. **Minority interests in the equity of subsidiaries**	
4. **Innovative capital instruments**	6,754,750
5. **Other capital instruments**	
6. **Surplus capital from insurance companies**	
Sub-total	**46,041,909**
Less: Deductions for regulatory calculation	(268,637)
Less: Deductions from Tier 1 capital	(14,314)
i. **Tier 1 Capital - Subtotal**	45,758,957
ii. **Tier 2 capital**	3,334,020
iii. **Other deductions from capital**	(14,315)
iv. **Total eligible capital after deductions**	**49,078,662**

Table 3: Capital Adequacy as at 31 December 2016		
Description	**Amount**	**Capital Ratio**
	AED '000	**%**
Capital Requirements		
1. **Credit Risk**		
a. Standardized Approach	27,371,071	
b. Foundation IRB	NA	
c. Advanced IRB	NA	
2. **Market Risk**		
a. Standardized Approach	2,951,179	
b. Models Approach	NA	
3. **Operational Risk**		
a. Basic Indicator Approach	2,235,625	
b. Standardized Approach	NA	
c. Advanced Measurement Approach	NA	
Total Capital requirements	32,557,875	
Capital Ratio		
a. Total for Top consolidated Group		18.09%
b. Tier 1 ratio only for top consolidated Group		16.87%
c. Total for each significant bank subsidiary		NA

6. Credit Risk

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and causes the Group to incur a financial loss. The credit risk that the Group faces primarily arises from wholesale, commercial, individual and retail loans and counterparty credit risk from derivative contracts entered into with clients. Other sources of credit risk include reverse repurchase agreements, debt securities including available-for-sale assets, and settlement balances with market counterparties.

The Group's credit risk management framework aims to identify, assess, measure and mitigate credit risk across the whole Group and within each business division, right from individual facilities to total portfolio. The Group controls credit risk through a set of Group-wide credit policies, supplemented by asset underwriting standards and product programs.

This section on credit risk management is structured as follows:

- Measuring and monitoring of credit risk
- Credit concentration
- Credit risk mitigation and collateral valuation
- Credit risk systems
- Credit risk policies
- Default management and allowances for impairment
- Counterparty credit risk

6.1 Measuring and Monitoring of Credit Risk

a) Corporate Exposures – Internal Rating Model

The Group uses an internal risk rating system to assess the credit quality of borrowers and counterparties. Each counterparty is assigned a rating, including classified accounts that are either watch list or non-performing. The risk rating system has 11 grades, further segregated into 24 notches. Grades 1-7 are performing, Grade 8 is Watch-list and Grades 9 - 11 are non–performing, each with a rating description.

The Group has implemented bespoke models and scorecards using its own data and expert judgment for:

- Borrower risk rating models for Corporate, SMEs, and High Net-Worth Individuals
- Facility risk rating models for Project Finance and Real Estate

Model performance and usage are monitored regularly and are reported to senior management and risk committees. All models are subject to periodic in-depth reviews to ensure that they remain fit-for-use and appropriate to the underlying portfolio segment and geography.

The output of each model and scorecard is mapped to an internal rating scale. Each grade in the rating system is linked to a Probability of Default (PD) estimated using the Group's default experience supplemented by data from external sources.

The internal risk rating system plays a significant role in the management of credit risk and is used for:

- Risk based pricing and determination of Risk Adjusted Return on Capital (RAROC)
- Risk based monitoring (frequency and intensity of monitoring)
- Determining risk based delegation of powers at various sanction authority levels
- Estimation of collective provisioning

The distribution of performing loans and advances as at December 2016 is as below.

Table 4: Rating Distribution of performing loan portfolio as at 31 December 2016	
Rating grade	**% of total performing loans and advances**
1 – 4	55%
5 – 6	17%
7	11%
8	2%
Retail program lending	15%

The key models were validated in 2014 by external third party and suggested recommendations were implemented in 2015. The Group currently uses rating models based on statistical analysis but supplements them with expert judgment. As data availability improves, the rating system will tend to be more statistical, however, it would retain expert judgment to ensure that models are suitable for the Group's portfolio and in line with the Group's policies and culture.

b) Retail Exposures – Retail Scoring Models

Retail lending business is governed by product programs vetted by Group Risk and employs credit scoring technique to process small scale, large volume credit decisions. The scores are combined with management judgment to ensure effective ongoing process of approval, review and enhancement. The majority of the retail credit origination process has been automated which reduces operational risk arising out of the credit approval and monitoring process.

By 2016, application and behavioral level scorecard models have been implemented for all retail products. The application level scorecard model helps to auto-approve certain portion of applications based on pre-determined criteria. The behavioral scorecards helps to monitor existing facilities by assigning specific scores based on conduct of the account which provides a guide for the effective management of accounts by identifying high and low risk accounts based on behavioral scores.

The Group is in process to continuously improve these scorecard models and include extended pre-approved criteria to increase the population of applications which can be auto-approved with no or little manual intervention.

c) Sovereign and Bank exposures – External Ratings

For banks and sovereign exposures, the risk ratings given by leading External Credit Assessment Institutions (ECAI) – Moody's, Standard and Poor's and Fitch are considered. For public sector entities (PSEs) and corporate exposures, issuer ratings are considered for internal risk assessment, if available. Sovereign and bank exposures also use ECAI ratings for the calculation of capital adequacy under Basel II Standardised approach. Wherever multiple ratings are available, mapping provided in the guidelines by the regulator is used for arriving at the required risk weighting.

d) Credit Risk Monitoring

The group regularly monitors its credit risk in respect of all its portfolios at various levels.

At obligor level, the Group has a process of periodic review of credit based on the internal rating grades. More frequent reviews are made for the weaker credits and less frequent reviews for the superior credits. The Group conducts full reviews and renewals of all performing credits at least annually. Obligors with lower risk profile are monitored at lower frequency by business units, unless otherwise required, to evaluate the potential changes in credit worthiness and related impact on risk rating based on latest available financial and other relevant information. More frequent and focused monitoring for lower rated borrowers ensures early identification of potential impairments, if any. The monitoring frequency is as below:

Risk Rating	Frequency
Risk Rating between 1+ to 4	12 months or lower
Risk Rating between 4- to 6	6 months or lower
Risk Rating between 6- to 8	3 months or lower
Classified Accounts	To be monitored by Special Asset Management (SAM) teams for Wholesale and Commercial or Collection and Recovery unit for retail

The Group also has a process of defining and reporting all the potential problem accounts. The consumer banking portfolio is monitored based on delinquency buckets, which are calculated based on the days installment or interest is past due.

All the past dues on principal and interest on loans and advances portfolios of the Group are reported periodically to the senior management. Measures to realise such past dues are initiated with stringent follow up thereafter.

Further, Watch-listed accounts are also monitored and reported to the senior management. This category comprises of accounts where either contractual principal or interest is past due or

when the accounts show weakness in the borrower's financial position and creditworthiness, and require more than normal attention. Such weakness is specifically monitored to ensure that the quality of the asset does not further deteriorate.

The Group has a policy for monitoring of all excesses over limits. The monitoring reports are submitted to the senior management and processes are initiated to realise and regularise such excesses.

At the portfolio level, the Group monitors the existing portfolio based on the economic sectors, industry, geography, ratings and business lines. These portfolio reports are prepared periodically and the senior management is informed on the same.

6.2 Credit Concentration Risk

Credit concentration risk refers to the level of exposure to any individual or related group of customers, specific industries or sectors, countries or geographical locations with the potential to produce losses large enough, relative to a Group's capital, total assets, or overall risk level, to threaten a Group's health or ability to maintain its core operations.

The first level of monitoring against credit concentration risk is the periodic review of country and industry exposures by the Risk Management Committee and Group Risk Committee to ensure these are within Group's risk appetite and in accordance with market trends. Credit exposures to individual customers or customer groups is controlled through a risk based Discretionary Powers (DP) matrix with borrower's risk rating and collateral forming the inputs to the DP matrix.

a) Single Name Concentration

Single name concentration is monitored on an individual basis with the top exposures being reported to the GRC on a quarterly basis. The Group abides by single obligor limits set by CBUAE requiring the banks to seek CBUAE approval for any planned exposure to a single counterparty or groups of connected counterparties exceeding the limit applicable to that counterparty. In addition, the Group has established internal single obligor limits stricter than CBUAE guidelines.

b) Geographical Concentration

Although the Group's operations are mainly concentrated within the UAE, it has presence in North America, South America, Europe, Middle East, Africa and Asia. This exposes the Group to legal, transfer and sovereign risk. Exposures to various geographies are monitored periodically.

The currency and geographic distribution of Gross Credit Exposures (funded and non-funded) as at 31st December 2016 is as follows:

Table 5: Gross Credit Exposures by Currency Type as at 31 December 2016

Currency	Loans	Non-trading Investments	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
				AED '000				
Foreign Currency	122,398,479	64,375,944	186,774,423	24,633,672	910,174,926	81,408,131	1,016,216,729	1,202,991,152
AED	85,699,446	65,980	85,765,426	5,884,846	99,906,086	27,751,572	133,542,504	219,307,930
Total	**208,097,925**	**64,441,924**	**272,539,849**	**30,518,518**	**1,010,081,012**	**109,159,703**	**1,149,759,233**	**1,422,299,082**

Table 6: Gross Credit Exposures by Geography as at 31 December 2016

Geographic Distribution	Loans	Non-trading Investments	Total Funded	Commitm - ents	OTC Derivatives	Other Off- Balance Sheet	Total Non-Funded	Total
				AED '000				
United Arab Emirates	124,738,352	22,435,805	147,174,157	12,330,152	192,413,277	69,230,414	273,973,843	421,148,000
GCC excluding UAE	16,816,239	6,024,153	22,840,392	2,780,863	135,235,698	4,539,238	142,555,799	165,396,191
Arab League (excluding GCC)	6,510,956	2,856,286	9,367,242	360,904	11,251,811	2,103,598	13,716,313	23,083,555
Asia	10,396,279	10,108,667	20,504,946	1,655,159	27,869,660	2,998,353	32,523,172	53,028,118
Africa	1,655,329	-	1,655,329	-	351,699	414,260	765,959	2,421,288
North America	4,757,496	6,607,521	11,365,017	3,478,876	195,797,642	6,802,036	206,078,554	217,443,571
South America	8,428,670	-	8,428,670	183,673	2,455	1,360,006	1,546,134	9,974,804
Caribbean	349,126	-	349,126	-	-	-	-	349,126
Europe	33,848,967	15,418,479	49,267,446	9,472,326	444,292,565	21,476,919	475,241,810	524,509,256
Australia	596,511	991,013	1,587,524	190,550	2,866,205	28,497	3,085,252	4,672,776
Others	-	-	-	66,015	-	206,382	272,397	272,397
Total	**208,097,925**	**64,441,924**	**272,539,849**	**30,518,518**	**1,010,081,012**	**109,159,703**	**1,149,759,233**	**1,422,299,082**

c) Sector Concentration

The Group has consciously adopted measures to diversify the exposures to various sectors. Real Estate exposures remain within the limits prescribed by CBUAE, with sufficient collateral coverage. The Group ensures portfolio diversification and employs stringent lending guidelines in conjunction with close portfolio monitoring for vulnerable portfolios prone to systematic downturns. Classification of Gross Credit Exposures (funded and non-funded) by Industry Sector as at 31 December 2016 is as follows:

Table 7: Gross Credit Exposures by sector as at 31 December 2016 **AED '000**

Industry Segment	Loans	Non-trading Investments	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
Agriculture, Fishing & related activities	60,941	-	60,941	2,401	-	7,028	9,429	70,370
Crude Oil, Gas, Mining & Quarrying	10,335,944	10,714,594	21,050,538	1,788,859	7,009,344	5,537,536	14,335,739	35,386,277
Manufacturing	14,093,970	37,032	14,131,002	4,887,167	19,771,518	17,427,608	42,086,293	56,217,295
Electricity & Water	7,096,836	2,061,432	9,158,268	1,821,224	8,526,042	1,138,420	11,485,686	20,643,954
Construction	10,436,678	12,523	10,449,201	4,323,859	4,203,499	15,459,240	23,986,598	34,435,799
Real Estate	41,860,131	-	41,860,131	7,936,954	4,840,776	104,976	12,882,706	54,742,837
Trade	9,224,060	-	9,224,060	1,134,321	5,628,789	5,523,960	12,287,070	21,511,130
Transport, Storage & Communication	19,504,913	3,243,726	22,748,639	4,053,922	7,748,402	5,930,131	17,732,455	40,481,094
Financial Institutions	35,352,139	25,422,736	60,774,875	2,971,330	947,659,627	17,896,126	968,527,083	1,029,301,958
Services	5,734,609	-	5,734,609	764,025	1,527,815	849,305	3,141,145	8,875,754
Government	17,900,011	22,399,959	40,299,970	78,028	678,343	37,672,750	38,429,121	78,729,091
Retail / Consumer Banking	36,330,890	-	36,330,890	752,777	1,396,633	369,227	2,518,637	38,849,527
All Others	166,803	549,922	716,725	3,651	1,090,224	1,243,396	2,337,271	3,053,996
Total	**208,097,925**	**64,441,924**	**272,539,849**	**30,518,518**	**1,010,081,012**	**109,159,703**	**1,149,759,233**	**1,422,299,082**

d) Maturity Profile

The group monitors and manages its liquidity gaps and maturity profile of its assets and liabilities through G-ALCO. This is discussed in detail in the liquidity risk section. The maturity profile of Group's loans and advances as at 31 December 2016 is given below:

Table 8: Gross Credit Exposure by residual contractual maturity as at 31 December 2016

Residual Contractual Maturity	Loans	Non-trading Investments	Total Funded	Commitme-nts	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
								AED '000
Less than 3 months	43,827,557	2,707,170	46,534,727	1,357,208	186,721,762	28,111,902	216,190,872	262,725,599
3 months to one year	16,631,619	4,611,508	21,243,127	3,648,834	146,200,480	13,154,357	163,003,671	184,246,798
One to five years	82,550,345	27,854,106	110,404,451	18,441,001	485,642,007	36,108,569	540,191,577	650,596,028
Over five years	65,088,404	29,269,140	94,357,544	7,071,475	191,516,763	31,784,875	230,373,113	324,730,657
Total	**208,097,925**	**64,441,924**	**272,539,849**	**30,518,518**	**1,010,081,012**	**109,159,703**	**1,149,759,233**	**1,422,299,082**

6.3 Credit Risk Mitigation and Collateral Valuation

While extending credit facilities, the Group primarily relies on the borrower's ability to pay. Security is the means by which, as the last resort, the Group should be able to obtain the repayment of outstanding amount owing to it by a customer. It may take many forms, but any item of security should possess the following attributes:

- It should be of a determinable value
- It should have a stable value
- It should be of a value in excess of the amount it is intended to be securing so as to provide a margin of safety
- It should be readily realisable, that is, an asset such as property, should be capable of being readily sold
- It should be enforceable, preferably without needing recourse to the Courts or the involvement of other legal processes
- It should have an effective maturity (or validity) equal to or longer than that of the credit facility

Security with such attributes could be described as being of good quality. Acceptable forms of collateral are defined within the Group's risk framework and conservative valuation parameters are applied and frequently reviewed to reflect any changes in market conditions. Security structures and legal covenants are also subject to regular review.

Broad types of collateral taken by the Group are cash, land and buildings (real estate), mortgages, debentures, stocks and shares, merchandise, goods etc.

Gross Credit Risk Exposures subject to Credit Risk Mitigation

Under the Standardised Approach of Basel II, banks may choose between two options when calculating credit risk mitigation (CRM) capital relief. These are the Simple Approach which substitutes the risk weight of the collateral from that of the exposure and the Comprehensive Approach where the exposure is adjusted by the actual value ascribed to the collateral, the latter being more robust as a methodology.

The Group uses the comprehensive method, where eligible collateral is in form of financial securities (e.g. cash, high quality debt securities, equities in main index). In addition, on-balance sheet netting, guarantees by specific protection providers and credit derivatives are also allowed as Credit Risk Mitigants (CRM). The Group follows the Basel II guidelines specifying

minimum operating and documentation criteria that need to be satisfied for eligibility as Basel II collateral.

The Group follows a system of controls, reviews and approvals to ensure effective collateral management. This includes minimum loan to value (LTV) requirement, specific collateral requirement for lending against shares and real estate portfolio, margin calls for treasury products and ensuring legal enforceability of contracts including perfection of security interests.

Following table provides on and off-Balance Sheet exposures for the Group along with the effect of Credit Risk Mitigation in each Basel II asset class.

Table 9: Loan Portfolio as per Standardized Approach as at 31 December 2016

Asset Class	On Balance Sheet	Off Balance Sheet	Credit Risk Mitigation (CRM)			Risk Weighted Assets
	Gross Outstanding	Net Exposure After Credit Conversion Factors (CCF)	Exposure Before CRM (Net of IIS and Specific provision)	CRM	After CRM	
			AED '000			
Claims on sovereigns	140,121,005	7,650,953	147,771,957	(4,939,332)	152,711,289	6,406,890
Claims on non-commercial public sector enterprises	10,027,008	1,382,498	11,409,506	-	11,409,506	-
Claims on multi-lateral development banks	552,057	-	552,057	-	552,057	-
Claims on banks	59,512,159	17,636,013	77,148,172	27,610,912	49,537,260	25,262,267
Claims on securities firms	9,762,756	6,112,681	15,875,437	7,591,267	8,284,170	4,282,819
Claims on corporates & Government Related Enterprises (GRE)	106,717,443	45,926,955	152,612,515	9,975,460	142,637,055	119,787,156
Claims included in the regulatory retail portfolio	23,906,235	399,654	24,291,879	2,410,391	21,881,488	17,281,464
Claims secured by residential property	8,053,739	-	8,053,739	60,575	7,993,165	4,394,356
Claims secured by commercial real estate	37,867,886	3,717,445	41,182,831	431,986	40,750,845	40,750,845
Past due loans	6,802,212	-	3,480,967	312,009	3,168,958	3,688,339
Higher-risk categories	-	-	-	-	-	-
Other assets	21,087,598	1	21,087,599	-	21,087,599	5,070,375
Claims on securitized assets	5,074,781	-	5,074,781	-	5,074,781	1,167,745
Credit Derivatives	-	-	-	-	-	-
Total Claims	**429,484,879**	**82,826,200**	**508,541,440**	**43,453,268**	**465,088,172**	**228,092,256**

The following table shows the rated[2] and unrated exposures in each Basel II asset class for the Group:

Table 10: Loan Portfolio as per Standardised Approach as at 31 December 2016

	Gross Credit Exposure					Exposure subject to deduction		
Asset Class	**Rated**	**Unrated**	**Exposure before CRM (net of IIS**	**Post CRM**	**RWA Post CRM**	**Rated**	**Unrated**	**Total**
				AED '000				
Claims on sovereigns	145,653,322	2,118,635	147,771,957	152,711,289	6,406,890	-	-	-
Claims on non-commercial public sector enterprises	11,288,315	121,191	11,409,506	11,409,506	-	-	-	-
Claims on multi-lateral development banks	552,057	-	552,057	552,057	-	-	-	-
Claims on banks	76,057,201	1,090,971	77,148,172	49,537,260	25,262,267	-	-	-
Claims on securities firms	14,943,490	931,947	15,875,437	8,284,170	4,282,819	-	-	-
Claims on corporates & Government Related Enterprises (GRE)	44,412,058	108,232,340	152,612,515	142,637,055	119,787,156	-	-	-
Claims included in the regulatory retail portfolio	-	24,305,889	24,291,879	21,881,488	17,281,464	-	-	-
Claims secured by residential property	-	8,053,739	8,053,739	7,993,165	4,394,356	-	-	-
Claims secured by commercial real estate	-	41,585,331	41,182,831	40,750,845	40,750,845	-	-	-
Past due loans	22,795	6,779,417	3,480,967	3,168,958	3,688,339	-	-	-
Higher-risk categories	-	-	-	-	-	-	-	-
Other assets	14,783,126	6,304,473	21,087,599	21,087,599	5,070,375	-	296,227	296,227
Claims on securitized assets	5,073,741	1,039	5,074,781	5,074,781	1,167,745	-	1,039	1,039
Credit Derivatives	-	-	-	-	-	-	-	-
Total Claims	**312,786,105**	**199,524,972**	**508,541,440**	**465,088,173**	**228,092,256**	**-**	**297,266**	**297,266**

[2] Externally rated by a rating agency (e.g. S&P, Moody's or Fitch)

The following table shows the effect by Basel II CRM type on Exposures:

Table 11: Credit Risk Mitigation: Disclosures for Standardized Approach as at 31 December 2016			
	Description	**Exposures**	**Risk Weighted Assets**
		AED '000	
	Gross Exposure prior to Credit Risk Mitigation	**508,541,440**	**253,630,492**
Less:	Exposure covered by Netting Agreements	4,441,399	1,839,836
Less:	Exposures covered by Eligible Financial Collateral	39,011,868	18,437,362
Less:	Exposures covered by Guarantees - From	5,630,510	5,606,656
Add:	Exposures covered by Guarantees - To	5,630,510	345,618
Less:	Exposures covered by Credit Derivatives	-	-
	Net Exposures after Credit Risk Mitigation	**465,088,173**	**228,092,256**

6.4 Credit Risk Systems

The Group follows an integrated approach for risk management systems. A unique obligor number is used for internal rating, credit approval process, limit management and reporting across all locations through centralised process for non-retail customers. The Group uses Murex platform as limit management system across banking and treasury book. The Group has a real time limit monitoring capability within UAE to quickly calculate limits used in multiple transaction systems.

6.5 Credit Risk Policies

Credit risk policies are an integral part of the Group's risk management framework. These policies govern all activities related to the credit life cycle. The Group's Credit Policy Manual (GCPM is periodically reviewed to keep it updated in line with internal and external changes. GCPM governs the credit risk activities of the Group and is realigned to the Group's business model and strategy. The structure of GCPM is described below.

a) Group Level

Group level credit policies are the high-level or overarching policies for all the entities within the Group, domestic as well as international. These policies cover the general credit policies and requirements such as risk appetite, credit portfolio planning, credit risk governance, credit risk rating and pricing, credit risk mitigation and remedial management.

b) Business Segment Level

Business segment credit policies articulate the policies specific to individual business segments within the Group that originate or take on credit exposures. These policies govern the stages of credit approval life cycle, viz., origination, assessment and measurement, pricing, approval, commitment, credit administration and operations, monitoring, reporting and remedial management.

c) Product Specific Policies

These policies govern credit products and specialised lending categories. Product specific policies provide policies for permissible generic credit products that may be offered by one or more business segments as well as traded credit products. Programme lending in consumer banking which is covered by individual product programs serve as an extension of these policies.

Specialised lending categories cover areas such as syndicated credit, project financing, contractor financing, real estate financing, share financing and asset backed lending. These policies also cover the process and authority for introduction and approval of new credit products.

d) Portfolio Management Policies

These articulate the policies on credit portfolio management, monitoring and reporting, credit risk portfolio limits, and credit stress testing.

To facilitate Bank-wide usage, GCPM is rolled out on a web-based platform with advanced search functionalities to enhance ease of use.

6.6 Default Management and Allowances for Impairment

a) Default Management

The group has established policies and procedures to manage problematic loan portfolios. The Group follows CBUAE and IFRS guidelines for classification and provisioning of problem loans. International branches follow applicable local regulatory requirements or Group policies, whichever is stricter, for local reporting as per their respective jurisdictions.

The detailed policies and management of portfolios reflecting other than normal characteristics are further explained below.

i. Loans with Renegotiated Terms

Loans with renegotiated terms are loans that have been restructured due to deterioration in the borrower's financial position and where the Group has made material concessions that it would not otherwise consider. Once a loan is restructured, it remains in this category for a minimum period of twelve months, in order to establish a satisfactory track record of performance under the restructuring agreement. The Group determines the twelve-month period to commence from the date of signing of the agreement for restructuring. On this class of asset the Group believes that specific impairment may not be required.

ii. Past Due but not Impaired

Past due but not impaired are accounts where either contractual principal or interest cash flows are past due but the assets are not impaired. When these accounts show weakness in the borrower's financial position and creditworthiness, and requires more than normal attention such weakness is specifically monitored to ensure that the quality of the asset does not further deteriorate. On this class of asset the Group believes that specific impairment is not appropriate at the current condition.

iii. Classified Loans

The classification and impairment policy currently implemented by the Group classifies delinquent borrowers as Substandard, Doubtful or Loss in line with the guidelines laid down in CBUAE circular 28/2010. To ensure strict compliance, the Group has implemented an automated solution in the UAE and most of the international locations. It classifies delinquent accounts with exposures below a set threshold. The classification into Substandard, Doubtful or Loss is carried out daily for these accounts based on delinquency ('days past due'). For accounts with exposure greater than the threshold value, classification as Substandard, Doubtful or Loss is based on a thorough assessment of the account by means of a detailed credit risk assessment.

b) Allowances for Impairment

The Group establishes an allowance for impairment losses on assets carried at amortised cost in accordance with CBUAE and IFRS guidelines. The main components of this allowance are a specific loss component that relates to individually impaired exposures, and a collective loss allowance for its performing portfolio.

i. Collective Provisioning

In assessing the collective loss allowance, the Group applies IFRS and the central bank guidelines to cover incurred but not identified losses for groups of homogeneous assets. The similar risk characteristics of these assets are indicative of the debtor's ability to pay amounts due according to the contractual terms on the basis of a credit risk evaluation or grading process. The risk evaluation considers asset type, industry, geographical location, collateral type, past due status and other relevant factors. Future cash flows in a group of financial assets that are collectively evaluated for impairment are estimated on the basis of historical loss experience for assets with credit risk characteristics similar to those in the group.

ii. Individually Impaired Accounts

Individually assessed loans are required to be classified as impaired as soon as there is objective evidence that an impairment loss has been incurred. Objective evidence of impairment includes observable data such as when contractual payment of principal or interest is overdue or there are known difficulties in the cash flows of counterparties, credit rating downgrades or when original terms of the contractual repayment are unable to be met.

Accounts once classified, are automatically provided by the risk system based on specified criteria stated below, except in certain cases where management believes that higher provision is required based on available information and recovery prospects. For international locations, where systems lack automatic classification and provisioning functionality, accounts are classified and provided manually as stated above. Classified portfolios are centrally monitored by Group Risk Management Division to ensure compliance to CBUAE regulations. For international units, the Group assesses both home and host regulations and applies the stricter one.

Classification and provisioning criteria for Wholesale Portfolio

Classification	Internal Grade	Criteria	Provision
Normal	1 - 7	Normal banking risk, repayment as agreed	Collective provisioning
Watch-list	8	Some weakness in financial condition	Collective provisioning
Sub-standard loans	9	Arrears 90 days or greater and shows some loss due to adverse factors that hinder repayment	Specific provision - 25% of the exposure amount net of discounted value of collateral held
Doubtful loans	10	Based on available information, full recovery seems doubtful, leading to a loss on portion of these loans	Specific provision - 50% of the exposure amount net of discounted value of collateral held
Loss loans	11	Probability of no recovery after all available courses of action are exhausted	Specific provision - 100% of the exposure amount net of discounted value of collateral held

Classification and provisioning criteria for Retail Portfolio		
Past Due Bucket	**Classification**	**Provisioning**
0-89 days	Normal	Collective provision
90-119 days	Sub-standard loans	Specific provision - 25%
120-179	Doubtful loans	Specific provision - 50%
180+	Loss loans	Specific provision - 100%

The following table provides geographical distribution of overdue loan and provisions as at 31 December 2016.

Table 12: Geographical distribution of overdue loans as at 31 December 2016

Geographic Distribution	Overdue			Provisions		
	Past Due but not impaired	Individually impaired	Total	Int. in Suspense	Specific	General
	AED '000					
United Arab Emirates	2,355,352	6,382,054	8,737,406	1,100,261	1,972,706	2,268,578
GCC excluding UAE	112,544	135,806	248,350	11,082	92,475	330,420
Arab League (excluding GCC)	119,252	146,014	265,266	41,860	92,792	223,038
Asia	-	-	-	-	-	269,021
Africa	261	-	261	-	-	19,394
North America	372,530	217	372,747	36	-	198,426
South America	-	-	-	-	-	30,134
Europe	-	84,230	84,230	3,442	129,061	771,405
Australia	-	-	-			11,846
Others	-	-	-	-	-	138
Total	**2,959,939**	**6,748,321**	**9,708,260**	**1,156,681**	**2,287,034**	**4,122,399**

The following table provides sectoral distribution of overdue loans and advances and related provisions as at 31 December 2016.

Table 13: Sectoral distribution of loans and advances and related provisions as at 31 December 2016

Industry Segment	Overdue				Provisions	
	Past Due but not impaired	Individually impaired	Total	Int. in Suspense	Specific	General
	AED '000					
Agriculture, Fishing & related activities	53	556	609	58	497	1,508
Energy (Oil, Gas, electricity and water)	399,830	31,546	431,376	4,109	16,109	330,436
Manufacturing	140,711	159,410	300,121	12,826	115,520	412,360
Construction	398,652	224,735	623,387	29,950	109,954	307,240
Real Estate	171,340	2,381,324	2,552,664	383,508	436,624	961,128
Trade	128,758	526,005	654,763	39,417	394,343	243,529
Transport, Storage & Communication	28,571	164,539	193,110	45,269	86,201	406,660
Financial Institutions	14,560	634,229	648,789	115,322	160,065	619,095
Services	668,407	196,970	865,377	38,770	120,108	109,807
Government	9,422	12,318	21,740	130	14,458	3,424
Loans to Individuals for Business & Consumption Purpose	986,581	2,392,388	3,378,969	484,978	814,581	722,931
All Others	13,054	24,301	37,355	2,344	18,574	4,281
Total	**2,959,939**	**6,748,321**	**9,708,260**	**1,156,681**	**2,287,034**	**4,122,399**

The movement in the provisions for impaired loans for the year ended 31 December 2016 is shown below.

Table 14: Provision movement for the year ended 31 December 2016		
	Description	**Amount**
		AED '000
	Opening Balance of Provisions for Loans	6,124,973
Add:	Charge for the year	
	• Specific provision	1,940,761
	• General provision	101,675
Less:	Recovery of loan loss provision	(395,561)
Less:	Write-back of provision for loans	(464,019)
	Amounts written off and other adjustments	(898,396)
	Closing Balance of Provisions for Loans	**6,409,433**

c) Write-off Policy

The Group writes off a loan or investment balance (and any related allowances for impairment losses) when it determines that the loans or investments are uncollectible. This is determined after all possible efforts of collecting the amounts have been exhausted and using one or more of the criteria defined in the Group Credit Policy Manual. However, write-off may be deferred in specific cases based on the discretion of the Management. Write-off of interest and/or principal requires approval from authorities, as defined in the credit policy of the Group, depending on the amount including any exposure previously provided for.

6.7 Counterparty Credit Risk ("CCR")

The policies and procedures related to the management of counterparty credit risk are governed by Group Credit Policy Manual together with Counterparty Credit Risk Framework. The day to day management of the framework is performed by Wholesale Global Markets Risk Oversight, whilst the methodology is developed and maintained by Group Market Risk.

The Group has internally designed and implemented the methodology to estimate the Potential Future Exposure (PFE) associated with FX, interest rate and commodity over-the-counter (OTC) derivatives. The PFEs are used by the Group to set the risk limit as well as to monitor counterparty exposure on a daily basis.

a) CCR Framework

Under counterparty credit risk framework, following limit types are established and monitored:

- GPSR - Global Pre Settlement Risk Limit (PSR) for derivatives, including FX, interest rate, credit and commodity
- Repo PSR - Single Issuer and total Issuer limits
- Total Return Swap PSR for Fixed Income and Equity
- DPL - Notional exposure monitored
- Metals Leasing
- DSL - Daily Settlement Risk Limit for FX transactions
- Issuer limits

Pre Settlement Risk measures the potential exposure the bank may have to a counterparty across the portfolio of derivative trades with that counterparty. It includes current Mark to Market of the portfolio and the Potential Future Exposure (PFE) of the portfolio.

b) CCR Monitoring

CCR is monitored at various levels, which includes:

- Global Markets Risk Oversight performs the day to day management of the Counterparty Credit Risk Framework
- Global Markets and Group Treasury Counterparty limits are monitored in real-time in MUREX
- Real-Time breach notifications are triggered if a counterparty limit or tenor is breached
- Exposure reports are prepared and distributed daily by Middle Office
- Delegation of limit extension and allocation authorities are detailed in the Group Credit Policy Manual and the Counterparty Credit Risk Appetite Statement

7. Market Risk

Market risk for the Group is the risk that the Group's income and/or value of its financial instruments will fluctuate adversely due to changes in market factors such as interest rates, foreign exchange rates, equity, commodity and option prices.

The Group segregates market risk into two sources: trading and non-trading portfolios. Trading portfolios are held by the Wholesale – Global Markets Division, while the non-traded market risk resides primarily in the investment portfolios, interest rate gaps in the Banking Book and the Group's overall FX positions. The Group market risk management objectives are to:

- Measure and control market risk by way of robust analytical framework, and a risk appetite statement
- Facilitate business growth within a controlled and transparent risk management framework

7.1 Organisation and Structure

The "Group Market Risk Policy Framework" approved by GRC provides specific guidelines on the governance, market risk appetite, limit structure and roles and responsibilities of units responsible for management of market risk. It specifies the way market risk is identified, measured, monitored, controlled and reported. As a policy, the Group takes exposure to only those financial instruments/products for which the Group has appetite and which are approved by GRC. For any new product, approval has to be obtained via the New Product Approval Committee which ensures necessary infrastructure and appetite is there to support the business.

Market Risk within the Group is managed by Group Risk, which delegates roles and responsibilities to Group Market and Liquidity Risk and the Middle Office.

a) Group Market and Liquidity Risk

Group Market and Liquidity Risk ("GMLR") is independent of risk taking units and reports to the GCRO. GMLR oversees aggregated Market Risks from Group Treasury, Global Markets Division and overseas units. The primary responsibilities of the unit include:

- Define market risk policy for the Group and set key limits and sensitivities
- Develop quantitative methodologies and analytical tools such as Value-At-Risk("VaR"), stress tests, scenario analyses ,etc., to measure market risk
- Perform model validation and manage market data
- Implement new systems related to market risk

b) Market Risk Oversight

Market Risk Oversight is a unit of GMLR that oversees market risk within Group Treasury, Global Markets Division and overseas units. The primary responsibilities of the unit include:

- Identify, assess, measure and monitor market risks by conducting regular and 'ad hoc' risk analysis

- Oversee the day-to-day effectiveness of the Group's market risk management and internal controls
- Ensure market risk exposures are within approved risk limits and escalate breaches as appropriate

c) Middle Office

The Middle Office (MO) Risk control function is responsible for trade/position monitoring, risk limit monitoring, escalation of limit breaches, risk reporting, collateral management services, and market data maintenance.

Middle Office supports the Market Risk function by monitoring market data, trades, limits and escalating breaches. Middle Office generates Market Risk reports on the Global Markets and Group Treasury portfolios on a daily basis.

7.2 Market Risk Appetite

The RMC reviews and approves the market risk appetite recommended by the GRC. GRC, under delegated authority from RMC, sets limit framework within the context of the approved market risk appetite. The limits are segregated between the trading book and non-trading book positions as follows:

- VaR, sensitivity and Management Action Triggers (MAT) limits have been set at both aggregate and portfolio level
- PV01, VaR and stress test is used for management of Interest Rate Risk in the Banking Book
- Foreign Exchange risk in the trading book is controlled by VaR and position limits, defined separately for pegged and floating currencies
- Equity and options price risks are controlled by MAT and sensitivity limits defined around trading positions
- Commodity risk, limited to exchange traded products, is managed via limits on term, option sensitivities, gross and net open positions

The risk positions against the limits and all major limit breaches are regularly reported to Senior Management and GRC.

7.3 Management of Market Risk

Market Risk at the Group is overseen as per the "Group Market Risk Policy Framework" approved by the GRC as per the defined risk appetite. The framework provides specific guidelines on roles and responsibilities of Market Risk, its Governance Structure, Market Risk appetite statement and the limit structure. It specifies the way market risk is identified, measured, monitored, controlled and reported. The limits are segregated between the trading book and non-trading book positions.

a) Market Risk in the Trading Book

The Market Risk in the trading book is managed by monitoring and managing the following limits:

- Value at Risk (VaR)
- Level measures
- Present Value Basis Point (PV01)
- Credit Spread Sensitivity (CS01)
- FX Net Open Position (NoP)
- FX Volatility sensitivity (FX Vega)
- Interest Rate Volatility sensitivity (IR Vega)
- MAT (Management Action Triggers)

b) Market Risk in the Non Trading Book

The Market Risk in the non-trading book is driven primarily by:

i. Investment Risk

This is the risk generated by the Group's investment in Securities both for revenue generation and for maintaining a "liquidity cushion" of High Quality liquid Assets (HQLA). The principal analytical tool used to measure and control the investment risk exposure within the Group is Value at Risk ("VaR"), PV01 and stress test. The VaR model is the same as the one used for the trading portfolios. The Group uses VaR limits for controlling the overall investment risk, including foreign exchange, interest rate and credit spread. The overall structure of VaR limits is subject to review by GT, approval by the G-ALCO and finally is submitted to GRC. VaR limits are allocated to different Investment portfolios.

ii. Foreign Exchange Risk

Foreign exchange risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates and arises from financial instruments denominated in a foreign currency. The Group's functional currency is the UAE Dirham. The Board of Directors has set limits on positions by currency. At Group level the Bank has set NOP (net open positions) limits for the pegged and unpegged currencies. Positions are closely monitored and hedging strategies are used to ensure positions are maintained within established limits.

iii. Interest Rate Risk

The Group Banking Book operations generate non traded market risk primarily through interest rate risk arising from the sensitivity of the value of financial instruments and the net interest margin to changes in interest rates. All units are expected to transfer Interest Rate Risk to Global Markets and Group Treasury. Interest Rate Risk in the Trading Portfolios are managed by Global Markets and within the limits approved by RMC. Interest Rate Risk generated by the Banking Book is managed by Group Treasury, within the limits approved by RMC. The Group Treasury manages this risk principally through monitoring interest sensitivities (PV01), rate gaps and by matching the re-pricing profile of assets and liabilities.

The above risk limits are approved by the RMC and are closely monitored by Group Risk. The risk positions against the limits and all major limit breaches are regularly reported to Senior Management and the GRC.

c) Other Risk Metrics

In addition to the above, the market risk management framework is strengthened further using two other risk metrics: Stress-testing and VaR back-testing as per the "Group Market Risk Methodology Policy" approved by the GRC.

i. Stress testing

Stress-testing measures the bank's financial health in stressed situations. Banks can carry out stress tests internally by their own risk management team, while supervisory authorities also conduct macro stress tests on financial institutions that they regulate.

There are two main types of stress testing namely simple sensitivity analysis and scenario analysis. Simple sensitivity analysis shows how portfolios react to a change in a single risk

factor, while scenario analysis (also known as complex stress testing) identifies the reaction of portfolios in response to simultaneous move in a group of risk factors.

The current policy covers scenario analysis. Results are reported monthly to relevant senior stakeholders.

ii. VaR Back testing

This is a process that measures the robustness of the implemented VaR model. To this end, the Group checks systematically the validity of the underlying valuation and risk models through comparison of the predicted and actual loss levels. When the VaR model is calibrated, the number of exceptions falling outside VaR should be in-line with the confidence level.

Back-testing allows verification of the model's capability of correctly seizing, from a statistical viewpoint, the variability in the daily valuation of trading positions, covering an observation period of one year (approximately 250 estimates).

Any critical situations relative to the adequacy of the VaR Model are represented by situations in which daily profits/losses based on back-testing highlight more than three occasions, in the year of observation, in which the daily loss is higher than the value at risk estimate. Back-testing is performed by taking into consideration both the actual P&L, or dirty P&L (including intraday transactions) and the theoretical, clean P&L (excluding intraday transaction and fees). The back testing framework follows both the minimum Basel requirements and internal statistical methodology to validate the model on a periodical basis.

7.4 Market Risk Measurement

Market Risk Measurement at the Group Level is covered by the "Group Market Risk Methodology Policy" approved by the GRC. The policy outlines the measures and models used to capture the market risk at the group level. It also describes the market risk measurement process governance along with the roles and responsibilities of each involved unit.

In particular, the policy specifies:

- The market risk sensitivities used to capture and monitor the market risk of the books
- The Value-at-Risk ("VaR") model implemented in the Group: the methodology, the process and the coverage in terms of risk factors and the corresponding back-testing framework
- The stress-testing process: the methodology, the process, governance and the reporting of the results

All the risk metrics (sensitivities, VaR and stress-testing) are calculated using the official valuation models used for pricing which are reviewed as per the "Group Model Validation Policy" ratified by the GRC.

Model Validation and Governance

Model Validation function sits under GMLR. Model validation is required for both financial instruments pricing models and models used for calculating the Market and liquidity Risk management metrics. Each model used by the Group is:

- Developed and implemented in a way that is robust, accurate, secure and subject to appropriate controls
- Based on mathematical, financial, economic or statistical theories that are correct and appropriately applied
- Subject to operational controls
- Validated and approved by an independent entity: this entity may be internal to NBAD or be qualified external resources as per the Group's policy

7.5 Exposure to Market Risk

a) Trading Portfolios

Market risk for the Group's trading portfolio arises primarily from client facilitation in wholesale markets. The principal analytical tool used to measure and control market risk exposure within the Group's trading portfolios is Value at Risk ("VaR"). The VaR of a trading portfolio is the estimated loss that will arise on the portfolio over a specified period of time (holding period) from an adverse market movement with a specified probability (confidence level). The VaR model uses historical simulation based on a 99% confidence level and assumes a 1-day holding period. Using market data from the previous two years, and observed relationships between different markets and prices, the model generates a wide range of plausible future scenarios for market price movements.

The Group uses VaR limits for foreign exchange, interest rate and credit spread. The overall structure of VaR limits is subject to review and approval by the GRC. VaR limits are allocated to trading portfolios.

Although VaR is an important tool, it is further supplemented with other position and sensitivity limit structures, including limits to address potential concentration risks within each trading

portfolio. Moreover the trading activity at Group and desk level is subject to Management Action Triggers ("MAT") that are limits on maximum losses that trigger actions from management.

Equity and Commodity risks are not currently captured in the VaR model. These are under regular monitoring by the Risk Group through a set of market risk sensitivities, notional limits, and management action triggers. Nonetheless, these are subject to regular monitoring by the Risk Group. The Trading VaR at 31 December 2016 was as follows:

Trading Book VaR	As at	Average	Minimum	Maximum
		AED'000		
All	**17,489**	**14,874**	**10,434**	**20,528**
Foreign exchange	4,655	7,168	3,355	18,143
Interest Rate	16,420	12,276	6,169	17,586
Credit	5,665	6,545	3,651	8,353
Diversification benefit	(9,251)	(11,115)	(2,741)	(23,554)

b) Non Trading Portfolios

Exposure to market risk in the non-trading portfolio arises primarily from the investment portfolios, interest rate gaps in the Banking Book, and the Group's overall FX positions. The Non Trading VaR at 31 December 2016 was as follows:

Non-Trading Book VaR	As at	Average	Minimum	Maximum
		AED'000		
All	**146,482**	**154,167**	**96,955**	**184,388**
Foreign exchange	11,543	17,034	11,135	25,325
Interest Rate	46,154	34,802	26,381	64,735
Credit	141,606	150,193	95,631	183,194
Diversification benefit	(52,821)	(47,862)	(36,192)	(88,866)

7.6 Management of Interest Rate Risk in the Banking Book

There are a number of sources of interest rate risk including repricing risk, yield curve risk basis risk and product optionality risk. The Group's policy is to identify, manage and minimise interest rate risk in the banking book. The policy protects assets, liabilities and banking income from changes in value caused by interest rate fluctuations and deviations from hedging assumptions. The policy applies to all currencies and yield curves where NBAD has significant interest rate exposure.

The business divisions are required to hedge all interest rate risk with the Group center and this is supported by detailed policies and procedures. The risk transfer from the businesses to the center was completed so that materially all of the exposure is captured and managed through a central risk system.

The business divisions have on going procedures to identify, quantify and control the interest rate risks generated by their products and ensure that substantively all interest rate risk is passed to the central unit.

Identification and Measurement

There are two major approaches for measuring banking book interest rate risk set out by the BCBS "Principles for the Management and Supervision of Interest rate Risk" July 2004:

- An economic value perspective capturing risk sensitivity across the entire maturity structure
- An accrual / earnings perspective usually over a 12 month period

The Group uses both these approaches to measure and manage interest rate risk in the banking book. BCBS states that this focus is of particular importance to long term stakeholders including shareholders, management and supervisors.

The economic value approach is reported to G-ALCO on a monthly basis. Interest rate risk is measured across all the maturities using a "DV01 report". The DV01 report measures in USD 000s the sensitivity at each gap to a 1 basis point change in rates.

This approach also enables the Group to calculate Value at Risk (VaR) for interest rate risk in the banking book based on a 99% 1 day confidence level. The below table provides the impact on profit and loss and regulatory capital as a result of change in interest rates by 200 basis points in relation to the banking book. The below impact was computed using full revaluation method following a parallel shift of the yield curve by 200 basis points.

Table 15: Interest Rate Risk in the Banking Book as at 31 December 2016

Shift in Yield Curves	Net Interest Income	Regulatory Capital
	AED '000	
±200 basis point	443,244	443,244

7.7 Management of Equity Price Risk

Equity price risk arises from the changes in fair values of equity investments. The Group manages this risk through diversification of investments in terms of geographical distribution and industry concentration.

As at 31 December 2016, the Group's total non-trading equity investment portfolio (Including collective investment schemes) in the banking book amounted to AED 73,964 thousand, 67% of which represents quoted investments. For details of the accounting policies and valuation methodology, please refer to Note 6 of the consolidated Financial Statements.

Equity Position in the Banking Book as at 31 December was:

Table 16: Quantitative Details of Equity Position as at 31 December 2016

Type	2016			2015		
	Publicly Traded	Privately Held	Total	Publicly Traded	Privately Held	Total
	AED '000					
Equities	18,565	24,164	42,729	22,424	13,781	36,205
Collective investment schemes	31,223	11	31,234	136,373	26	136,399
Any other investment	-	-	-	-	-	-
Total	49,788	24,176	73,964	158,797	13,807	172,604

The following table provides the details of valuations gains and losses for the year ended 31 December 2016.

Table 17: Realized, Unrealized and Latent Revaluation Gains (Losses) for the year ended 31 December 2016

Type	Amount
	AED '000
Gains (Losses)	-
***Realized gains (losses) from sales and liquidations**	-
****Unrealized gains (losses) recognized in the balance sheet but not through profit and loss account**	(3,391)
Latent revaluation gains (losses) for investment recorded at cost but not recognized in balance sheet or profit and loss account	-
Total	(3,391)

Table 18: Items in Table 17 included in Tier I and Tier II Capital	
Tier Capital	**Amount**
	AED '000
Amount included in Tier I capital	-
Amount included in Tier II capital	(3,391)
Total	(3,391)

The following table provides the capital requirements related to the equity positions held by the Group as at 31 December 2016.

Table 19: Capital Requirements by Equity Groupings as at 31st December 2016	
Tier Capital	**Amount**
	AED '000
Strategic investments*	1,638
Available for sale	3,926
Held for trading	-
Total capital requirement	**5,565**

* excluding Mercury / National General Takaful investment which is deducted from the NBAD Group's total capital

7.8 Market Risk in International Branches

Larger overseas entities and subsidiaries of the Group have independent risk management functions responsible for controlling and mitigating market risks. The respective risk management and reporting unit sends market risk reports to Market Risk Oversight. Market Risk Oversight reviews these reports before they are submitted to GRC for any specific issues or deliberations.

Risk reports covering compliance on liquidity risk limits along with local ALCO minutes are distributed to Group Treasury which is responsible for escalating any concerns to the G-ALCO. Market Risk Oversight monitors lending by Group Treasury and GMLR to overseas entities and subsidiaries and vice-versa on a daily basis.

The following table provides capital requirement for market risk under standardised approach:

Table 20: Total Capital Requirement for Market Risk under Standardised Approach as at 31st December 2016	
Market Risk	**Amount**
	AED '000
Interest rate risk	2,349,735
Equity position risk	166,042
Foreign exchange risk	243,798
Commodity risk	9,236
Option Risk	182,367
Total Capital Requirement	**2,951,178**

8. Liquidity Risk

Liquidity risk is defined as the risk that the NBAD Group is unable to meet its financial obligations as and when they fall due or that it can only do so at an excessive cost.

Liquidity risk arises from cash flows generated by assets and liabilities, including derivatives and other off-balance sheet commitments. These cash flows may not be matched in currency, size, and term, thereby creating financing needs which potentially cannot be met without incurring substantially higher costs or at any cost at all.

8.1 Governance Structure and Policy Ownership

In addition to the overall risk management governance structure explained previously in this document Group Treasury, Global Markets and Group Market and Liquidity Risk (GMLR) are responsible for the management of liquidity risk as per G-ALCO and Board Guidance.

a) Group Market and Liquidity Risk

GMLR is independent of risk taking units and reports to the GCRO. GMLR oversees aggregated Liquidity Risks from Group Treasury, Global Markets and overseas units. The primary responsibilities of the unit include:

- Perform Liquidity model validation: FTP methodology and Behavioral models such as core model review and structural mismatch models
- Perform quarterly Back testing of the behavioral models

- Develop quantitative methodologies and analytical tools such as Value-At-Risk("VaR") on the Banking Book

b) Liquidity Risk Oversight

A sub unit of GMLR, embedded within business, oversees liquidity risk within Group Treasury, Global Markets Division and overseas units. The primary responsibilities of the unit include:

- Review and validate Liquidity Risk Appetite Framework
- Identify, assess, measure and monitor liquidity risks by conducting regular and 'ad hoc' risk analyses
- Oversee the day-to-day effectiveness of the Bank's Liquidity risk management and internal controls
- Ensure Liquidity risk exposures are within approved risk limits and escalate breaches as appropriate
- Oversee Liquidity stress test methodology and conduct the quarterly stress tests
- Annual review of Liquidity policies

c) Group Treasury

Group Treasury role is to ensure that all funding requirements of the Bank are met and that capital management is optimised:

- Wholesale Funding: Manage and develop Group wholesale funding platform. Manages execution of all debt > 1 year
- Liquidity Risk Management: Proposing liquidity risk appetite for the bank. Responsible for measurement and management of liquidity risk measurement and compliance with regulatory guidelines. Responsible for developing and enforcing global liquidity and contingent funding policies. Manage group liquidity portfolio
- Capital Management: Understand future capital needs and provide forecasting supported by capital raising plans. Work with global regulators to understand regulatory capital needs

d) Liquidity Risk in International Branches

All international centres must comply with all Group and local regulatory requirements as well as internal limits set by Head Office risk appetite statement. On a regular basis, liquidly positions are reported to the Head Office.

e) Policy Ownership

Furthermore, NBAD has a full policy framework to manage and control liquidity risk. The policies are prepared by Group Treasury and approved by both G-ALCO and the Board Risk Committee. The NBAD Liquidity Policy Framework consist Group Liquidity Policy, Contingency Funding Plan, Liquidity Stress Test Policy, Funding Strategy Policy and Funds Transfer Pricing.

8.2 Management of Liquidity Risk

The Group recognises that efficient management of liquidity is essential to maintain the financial market confidence and sustainability of the Bank. A robust liquidity risk management framework is designed to ensure NBAD Group has adequate cash or cash-equivalent to be able to meet its financial obligations. It is also set at a level to ensure continued compliance with current and proposed liquidity regulation from both domestic and international regulators, internal requirements and aligned to support NBAD's external credit rating objectives.

The Group follows the Basel Committee on Banking Supervision (BSCS) recommendations on liquidity risk management, in conjunction with all requirements and guidance from regulatory and monetary authorities in each site where a Group entity operates. By adhering to these principles the Group aligns with a risk framework which is clearly understood and is recognized within both the global Banking and regulatory communities as being robust.

To complement this approach the Group adopts a multi-tiered approach to the reporting of its liquidity risk so as to ensure NBAD's liquidity position is solid from both a short term and structural position. This enables it to withstand short term stress events whilst supporting the medium/long term growth aspirations of the Group. This multi-tiered approach also incorporates Domestic and International Regulatory requirements.

This is achieved:

- With a comprehensive set of internal and regulatory limits related to liquidity and funding risk as defined in our Risk Appetite Framework
- By maintaining an extensive buffer of High Quality liquid assets
- By Stress testing of the NBAD Group balance sheet and this process assesses our ability to meet adverse conditions and have a clear understanding of our stress exposures.
- With a sound governance structure, set of policies and controls and a comprehensive multi-tiered approach to identifying, measuring, reporting and managing the liquidity

8.3 Liquidity Risk Management Framework

a) Liquidity Risk Appetite Statement

A comprehensive set of internal and regulatory limits related to liquidity and funding risk have been approved by the Group-ALCO and the Board and serve to control the overall extent and composition of liquidity risk taken in pursuit of the Group business objectives.

The Groups liquidity risk appetite statement, and its practical application, will be framed around a number of quantitative metrics with an associated limit framework. Additionally, a number of non-quantitative measures and protocols complement the quantitative components of the Groups liquidity management.

The quantitative metrics are set in accordance with Basel III framework and such include Liquidity Coverage Ratio (LCR) and the Net Stable Funding Ratio (NSFR). Effective from the 1st October 2016 CBUAE granted approval to NBAD to adopt the Basel III LCR as its official liquidity regulation.

Additionally, consistent with the regulatory framework defined by CBUAE additional metrics such as Advances to Stable Resources Ratios are also incorporated to in the limit framework.

These Basel and CBUAE metrics are further supplemented with internal liquidity, funding and market reliance limits that fully recognise the liquidity risks facing the bank in its geographical markets given the Group structure and its asset and liability composition. Internal risk limits cover: behavioural structural mismatch ratio, contractual maturity mismatch ratio, balance sheet funding composition, reliance on capital markets and loan to deposit ratios. This includes measurement and reporting of expected cash inflows and outflows. Detailed plans have been drawn up for contingency funding to be prepared for possible crisis situations. Periodic operational tests are performed for these plans.

This comprehensive approach means the Group is using a set of limits and metrics that enable to exercise full control over the liquidity dimensions of the balance sheet.

b) High Quality Liquid Assets (HQLA)

As per Basel definition, assets can be considered to be HQLA if they can be easily and immediately converted into cash at little or no loss of value. The Group maintains an extensive buffer of HQLA in addition to the credit balances held at central banks. These high quality liquid assets can be used as security for loans with central banks, in repurchase transactions or to be sold directly in the market so as to generate liquidity immediately. The composition of the

HQLA is efficiently managed and the composition of the liquidity pool is subject to limits set by the Group-ALCO and the Board.

c) Funding Structure

As part of sound liquidity risk management, NBAD use metrics to reduce sources of funding that are of such significance that withdrawal of this funding could trigger liquidity problems.

The Group's overall funding strategy aims to develop a diversified funding base, geographically, by type, by currency, counterparty and maintain access to a variety of alternative funding sources, to provide protection against unexpected variations, while minimising the cost of funding.

The Group maintains access to a variety of sources of wholesale funds and has direct access to Middle Eastern, US, European and Asian capital markets through its operations and is an active participant in money markets. As a result, wholesale funding is well diversified.

Furthermore, there are number of metrics in risk appetite statement to ensure at any given time, the Group is not overly reliant on wholesale markets to meet its funding requirements.

d) Liquidity Stress Testing

The NBAD Group liquidity Stress testing framework assesses our ability to meet adverse conditions and have a clear understanding of the stress exposures. The Group performs liquidity stress test against scenarios designed to capture idiosyncratic, market wide and combined stresses.

e) Early Warning Indicators

A set of early warning indicators have been defined internally including a range of market indicators, liquidity, funding and capital metrics and monitored regularly for early signs of liquidity risk in the market or specific to NBAD. These are designed to immediately identify the emergence of increased liquidity risk to maximize the time available to execute appropriate mitigating actions that may be identified under the Contingency Funding Plan (CFP).

f) Contingency Funding Plan

To further complement the Liquidity Stress Testing framework, a CFP is designed to protect NBAD against liquidity risks and potential periods of extreme stress in financial markets. The CFP provides ability for NBAD to honor all obligations and commitments whilst also providing ongoing financial support and liquidity to its business lines and its respective customers on an

ongoing basis during a stressed scenario thereby protecting our franchise and maintain its reputation within the financial community.

The defined action plan includes management actions to respond to liquidity stresses depending on the severity.

g) Liquidity Risk Systems

To identify and manage liquidity risk, NBAD has in place a dedicated Asset and Liability Management (ALM) system, Quantitative Risk Management (QRM), which sits above the Banks core systems and allows for substantial liquidity and funding reporting and analysis. This enables the group to produce liquidity reports and also supports the stress testing framework and the Group wide funds transfer pricing in accordance with regulatory requirements.

9. Operational Risk

NBAD defines operational risk as the risk of losses (direct, indirect and near misses) resulting from inadequate or failed internal processes, human behavior, systems, or from external events. While legal and technology risk are considered to be a part of operational risk, strategic and reputation risks are excluded, and are handled separately. Legal risk includes, but is not limited to fines, penalties or punitive damages resulting from supervisory actions, or from private settlements.[3] The Group defines the legal risk as the risk to earnings or capital arising or resulting from unenforceable or insufficient transaction documents, adverse claims and judgment, non-compliance with applicable laws, rules, and regulations, or a change of law.

Operational risks arise across all businesses in the Group. The primary responsibility to ensure that risks are managed and monitored resides with the businesses within the Group. Group's businesses are supported by embedded risk functions and Group Operational Risk Management as 'second line of defense' to ensure robust risk management. Further, there are reviews conducted by Group Internal Audit as the 'third line of defense'. The results of internal audit reviews are discussed with the management of the division and summaries submitted to the Audit Committee.

9.1 Operational Risk Framework

The Group has an established Operational Risk framework consisting of policies and procedures to identify, assess, monitor, control, report and to manage incidents. The Operational Risk

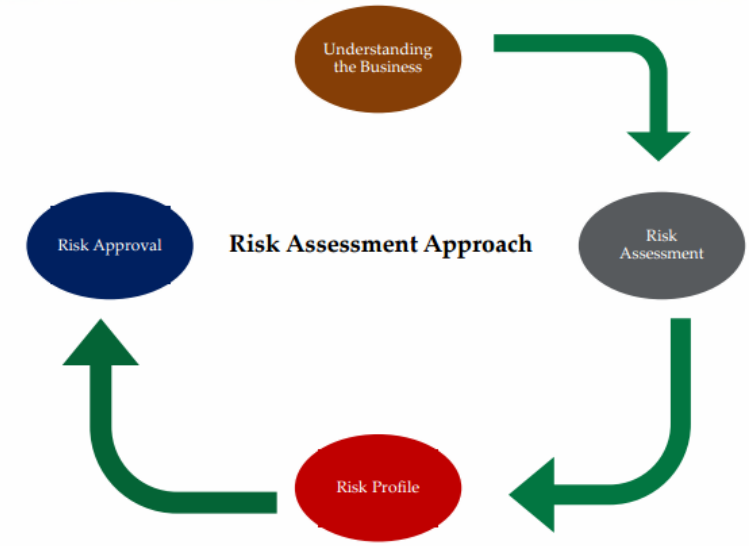
[3] BIS June 2006, foot-note (page 144)

framework also provides the interrelation with other risk categories. Where appropriate, risk is mitigated by way of insurance.

a) Operational Risk Elements

NBAD aims to embed operational risk management elements into its day-to-day activities and processes. NBAD annually develops an implementation calendar which details the risk assessments across a calendar year. The key elements of the NBAD Operational risk framework include:

- Risk Assessment (RA), which aims to understand and assess the business risks and associated controls



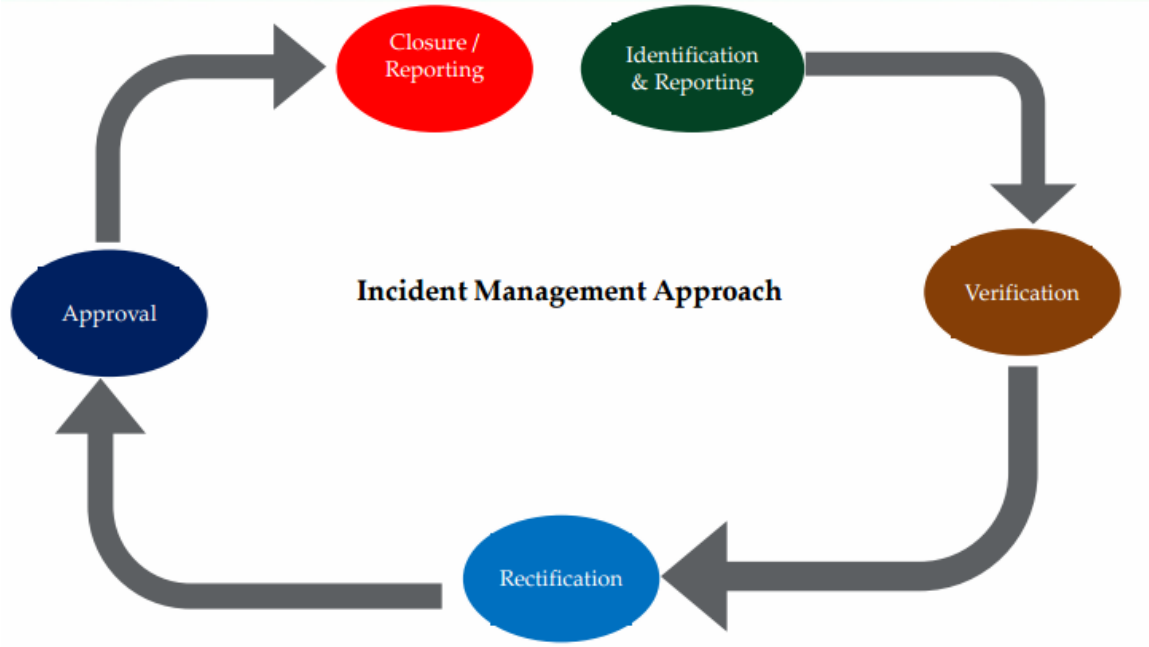
- The key steps in the risk assessment process include:
  - Collating relevant Business Environment and Internal Control Factors (BEICF) information to provide a context for assessment of risks for a business unit. RA is conducted as a workshop with key stakeholders including the business unit head and other experts, as appropriate
  - The outcomes of RA are the Risk Profile and the Key Indicators. The risk profile represents risks and key control ratings along with a risk map in which each residual risk is rated on a combination of the impact and likelihood rating
  - Action plans are defined for every gap identified in order to mitigate the identified risk

- Key Indicators (KI) are used to monitor the risks and controls of the business unit and reported on a monthly basis
- Operational Risk Assessment of Projects ("ORAP"): ORAP aims to identify and assess risks and associated controls related to change initiative / project. The policy applies to all non-product change initiatives except new products. It includes changes to processes, activities, system and organizational operating setup. ORAP is to be conducted post business case approval. Projects / changes are managed at NBAD either by a) PMO (Project Management Office) Projects (ii) Business Initiated (non -PMO projects)
- Product Program (PP): The Group has established PP for the assessment, and approval of residual risks in new or significantly changed products that require the formal risk approval of the designated authorities. Participation and approval of key stakeholders such as Operations, IT / Systems, Legal, Compliance and ORM unit are mandatory in a PP

- Incident Management (IM), which articulates the principles and minimum requirements to manage operational risk events and incidents at the NBAD Group includes:

  - Timely identification, verification, rectification, approval and closure of incidents
  - Aim to minimize financial, reputational, customer and regulatory impacts
  - Aim to minimize reoccurrence of incidents including similar/related incidents
  - Ensuring quality of incident data for risk measurement
  - Assisting NBAD in meeting its regulatory and compliance

Incidents are stored in the Incident Management Database (IMD), which is managed by Group ORM team.



b) Types of Operational Risk Events

Typically, Operational Risk events are classified as:

- Internal fraud: Risk of unauthorized activity and fraud perpetrated by employees
- External fraud: Risk of fraud or breach of system security by an external party
- Employee practices and workplace safety: Risk of failures in employee relations, diversity and discrimination, and health and safety risks across the Group
- Damage to physical assets: Risk of impact to the Group due to natural disasters
- Clients, Products and Business Practices: Risk of failing in assessing client suitability, fiduciary responsibilities, improper business practices, flawed products and advisory activities
- Business Disruption and System failures: Risk of not planning and testing business continuity and disaster recovery for systems
- Execution delivery and process management: Risk of failed transaction execution, customer intake and documentation, vendor management and monitoring and reporting

c) Operational Risk Governance

The Board has oversight responsibilities for operational risk management across the Group. These responsibilities are delegated and exercised through the Group Risk Committee, which is the senior management forum responsible for the oversight of Operational Risk.

Key responsibilities of Group Risk Committee with regards to Operational risk include:

- Approval of the Group Operational Risk Management Framework and oversight over its implementation
- Approve large incidents as per the Operational Risk management approval matrix
- Approve the strategy and direction for Operational Risk across the group
- Conducting status review of agreed action plans, aging reported operational risk incidents risk assessment's progress, and driving effective completion
- Sanctioning of ORM approaches under Basel II/Regulatory requirements, and approving capital allocation for operational risk

The Group has a Group Operational Risk Management function (GORM), as part of the Group Risk whose key responsibilities include:

- Development and continual improvement of policies, methodologies, tools, systems, practices and procedures
- Facilitating training for Business Units Operational Risk Managers (BUORM) and the Business Units (BU)
- Ensuring management of the incident management database

9.2 Operational Risk Management

Management at all levels is accountable for managing and mitigating operational risks in their areas of responsibility.

a) Operational Risk in Business Units

The business units are mandated to comply with the NBAD Operational Risk framework and policies which includes:

- Conduct risk assessments and incorporate action plans for any gaps
- Monitor risks by regularly measuring key indicators
- Report operational risk incidents on a timely basis including any mitigating measures

Business units have identified ORM coordinators to enable facilitation of Operational risk. The Group has also created risk functions within the major business lines. The embedded risk plays a greater role in ensuring the business units comply with the requirements set in the NBAD Operational Risk Framework and Policy.

b) Independent Management Assurance

Internal Audit provides independent management assurance regarding the effectiveness of controls and compliance with the approved policies and procedures across the Group, including Operational Risk.

c) Home-host Considerations

Operational risk at the Group is organised by Group Operational Risk function which establishes the framework, policies, methodologies and tools in alignment with the regulatory guidelines of CBUAE. These centrally established Operational Risk framework, policies, methodologies and tools are implemented by business units, branches (UAE and overseas) and subsidiaries.
Any changes to the centrally established framework, policies, methodologies and tools must be approved by the Group Risk Committee.

9.3 Business Continuity Management ("BCM")

Business Continuity Management is a management process that identifies potential impacts that threaten an organization and provides a framework for building resilience and the capability for an effective response which safeguards its reputation along with the interests of its key stakeholders and customers. Business Continuity Management is responsible for assuring operational resilience to the Group's key business activities under adverse circumstances.

a) Governance

Group Risk Committee is responsible for providing oversight and strategy for Business Continuity Management and IT Service Continuity Management at the Group. The committee gathers inputs from business and enablement functions from within the Group to aid in decision making and setting priorities to ensure success of business continuity in the Group.

b) Framework and Processes

The Group has in place a Business Continuity Management framework aligned to ISO22313:2012 Societal Security -- Business Continuity Management Systems Guidance; the key steps are:

- Identify key activities (and their dependencies) essential to ensure the delivery of the Group's services
- Identify and define time frames for the recovery of those key activities
- Establish cost effective strategies and solutions to achieve the recovery time frames of the key activities
- Validate the selected solutions and conduct an annualized awareness campaign

All business units perform an annual business impact analysis to identify their critical business activities and recovery objectives. Business continuity plans are developed at departmental levels throughout the group and validated through two programmes. The types of validation undertaken for business continuity include call tree checks, desktop walkthrough, business unit testing and integration. For IT Service Continuity NBAD conducts a programme of tests which range from component level to fail over for a business day.

NBAD has a dedicated local contingency site to ensure that UAE operations are not interrupted. NBAD has now completed three full office contingency exercises for business critical activities for its two main Abu Dhabi Sites. Both exercises were successfully completed and provide assurance to stakeholders that our business continuity arrangement is 'fit for purpose.' Across the international locations where NBAD has branch presence NBAD has resilience with contingency solutions aligned to our growing business requirements.

In 2016 NBAD began to enhance its IT resilience capability with new data centers in UAE to support our business growth and increasing business demands.

c) Crisis Management

A comprehensive incident and crisis management plan has been developed for the Group. Regular training on crisis management is conducted wherein different scenarios are used to further develop the capabilities of the crisis response team, which includes senior management.

9.4 Regulatory and Compliance Risk

Regulatory risk is the risk of adverse impact on the cost of conducting business due to the uncertainty associated with changes in regulations. It includes the risk of losses resulting from fines imposed by regulators due to the Bank's inability or negligence to comply with supervisory and/or regulatory guidelines.

The Group has established a comprehensive framework for managing its regulatory risks. Risk Management Committee, a board level committee exercises oversight on all the compliance related issues. The Legal & Compliance Division has responsibility for ensuring compliance with regulatory guidelines by supporting line management in their responsibility to operate in accordance with all applicable regulatory guidelines. Compliance Officers ("CO") have been appointed for each jurisdiction where required by the host regulation. The Group places significant emphasis on ensuring that the personnel handling the compliance functions possess strong qualifications, and relevant professional experience with complimentary skill sets.

Group Internal Audit has an independent oversight responsibility to monitor compliance with regulatory guidelines, and the Group's internal policies and procedures and reports directly to the Audit Committee.
The Group has established clear measures for managing its regulatory risks such as ongoing reviews of Policies, Procedures and Processes, monitor and prevent money laundering activities via Financial Crime Unit, customer due diligence, transaction monitoring, and suspicious transaction reporting and training.

Compliance Framework

The Group has established a compliance framework which is a key driver of the Group's Compliance Strategy. Group Compliance is responsible for setting the infrastructure across NBAD Group, which includes policies, procedures, processes, programs, regulations, reporting, systems, training and advice on country expansion as well as quality control reviews. Embedded business compliance, including international jurisdictions, is the executors of the framework.

The Group has established a risk-based Compliance Monitoring Program ("CMP"), managed by Group Compliance which is updated at least annually, to ensure compliance with the regulatory guidelines, international practices, Group and customized business and country level policies and procedures. The results of the reviews conducted are reported to the respective management periodically.

9.5 Fraud Risk

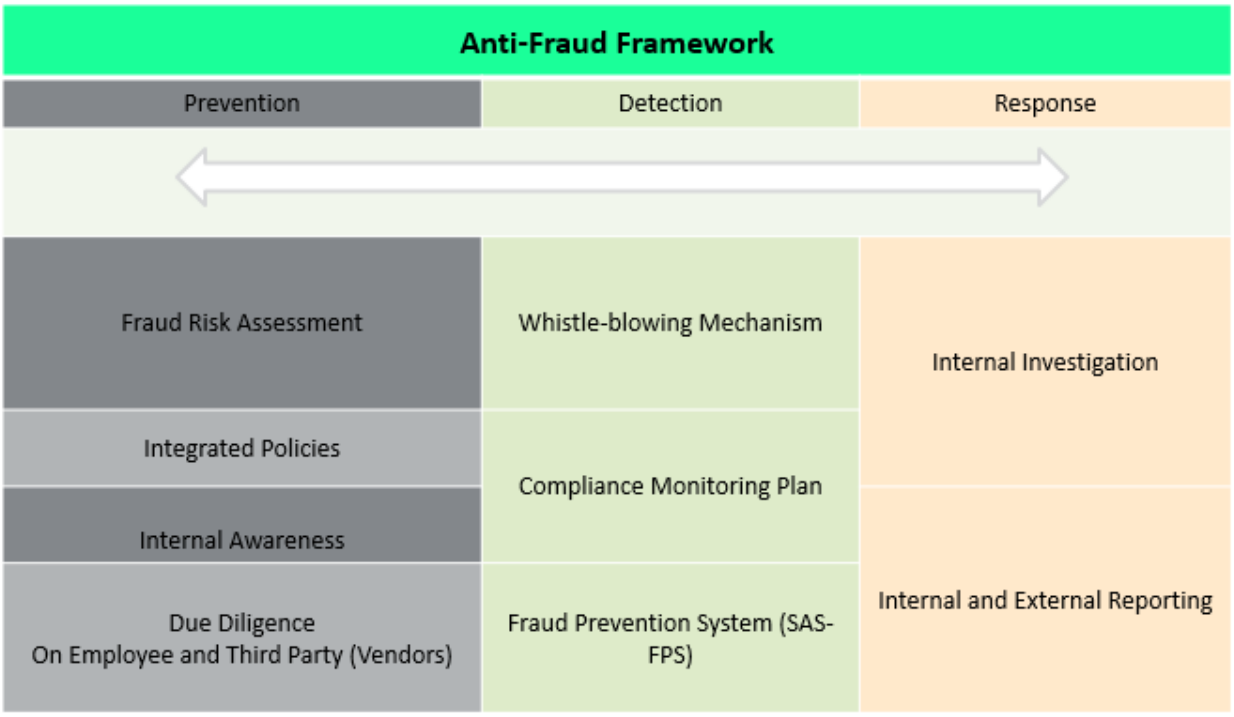
The fraud refers to an intentional act committed to secure an unfair or unlawful gain. It also includes misconduct generally referring to violation of law, regulations, internal policies and market expectations of ethical business conduct. Both fraud and misconduct can be sub-categorized into several risks that can undermine public trust and damage bank's reputation for integrity.

NBAD has zero tolerance policy for Fraud and senior management has put Anti-fraud Framework in place to address the issue of fraud. The Fraud risk team is part of Group Compliance within Group Legal and Compliance division. Legal & Compliance recognized the importance of implementing an integrated Anti-Fraud Framework which mainly aimed to:

- Support management in improving their techniques and methodologies when dealing with fraud through a framework that facilitates prevention, detection and response to Fraud
- Promote a culture that encourages ethical conduct and a commitment to compliance with the law

The key pillars of the Anti-Fraud Framework include:

- Prevention: Controls designed to reduce the risk of fraud and misconduct from occurring in the first place
- Detection: Controls designed to discover fraud and misconduct when it occurs
- Response: Controls designed to take corrective action and remedy the harm caused by fraud or misconduct



9.6 Security Risk

Security risk issues are managed at Group level by the security team headed by Group Chief Security Officer. Information security protects information assets against the risk of loss, operational discontinuity, misuse, unauthorized disclosure, inaccessibility, and damage. Information security is not only a technical issue but a business and governance challenge that involves adequate risk management, reporting, and accountability.

The typical information risk management process at NBAD includes identification, evaluation, and treatment of risk. It also includes to handle changes as a result of lessons learned and deal with external obligations related to information security and related consequences of breach. The diagram below summarizes NBAD process managing security as a whole andspcifically information security risk.

